Viyash Scientific (VIYASH)

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Proven Ability In Life Sciences

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May 26, 2023

To,
BSE Limited
Corporate Relationship Department National Stock Exchange of India Limited
Listing Department
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Mumbai – 400 001 Mumbai – 400 051

Scrip code: 512529 Symbol: SEQUENT

Subject: Intimation under Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Earnings Call Transcript for the quarter and year ended March 31, 2023

Dear Sir/ Madam,

Pursuant to Regulation 30(6) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the Earnings Call Transcript pertaining to the audited Financial Results of the Company for quarter and year ended March 31, 2023.

The same is also available on the Company’s website at https://www.sequent.in/pdf/financial/2022-2023/Q4/SequentSci-Earnings-May24-2023.pdf

Kindly take the same on records.

Yours faithfully,
For Sequent Scientific Limited

Krunal Shah
Company Secretary & Compliance Officer

“SeQuent Scientific Limited
Q4 FY 2023 Earnings Conference Call”
May 24, 2023

MANAGEMENT : MR. RAJARAM NARAYANAN – MANAGING DIRECTOR – SEQUENT SCIENTIFIC LIMITED
MR. P.V. RAGHAVENDRA RAO – CHIEF FINANCIAL OFFICER – SEQUENT SCIENTIFIC LIMITED
MR. ABHISHEK SINGHAL – HEAD, INVESTOR RELATIONS – SEQUENT SCIENTIFIC LIMITED

Moderator : Ladies and gentlemen, good day, and welcome to SeQuent Scientific Limited Q4 FY '23 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhishek Singhal. Thank you, and over to you, sir.

Abhishek Singhal: Thank you, Neerav. A very good morning and thank you for joining us today for SeQuent Scientific's Earnings Conference Call for the Fourth Quarter and Full Year Ended Financial Year 2023. Today, we have with us Mr. Rajaram, SeQuent's Managing Director; Mr. P.V. Raghavendra Rao, CFO, to share the highlights of the business and financials for the quarter.

I hope you've gone through our results release and the quarterly investor presentation, which have been uploaded on our website as well as the stock exchange. The transcript for this call will be available in a week's time on the company's website. Please note that today's discussion may be forward-looking in nature and must be viewed in relation to the risks pertaining to our business. After the end of this call, in case you have any further questions, please feel free to reach out to the Investor Relations team.

I now hand over the call to Mr. Rajaram to make the opening comments.

Rajaram Narayanan: Good morning, everyone, and a very warm welcome to our Quarter 4 and Full Year '23 Earnings Call. Joining me on this call is Mr. Raghavendra Rao, our Chief Financial Officer. We are at a very important juncture in the journey of this company and I'm happy to address this forum as we take some decisive steps towards building this company as a major player in animal health.

I'll start with an overview of the company.

We are the largest animal health company from India and amongst the top 25 in the world. We have a presence across nearly 100 countries and about two thirds of our revenue comes from regulated markets. We have a unique combination of strength in the formulations area, we have a front-end presence in key animal health markets of the world. And at the same time, we are the only company in India to have set up a U.S. FDA-approved greenfield veterinary API facility. So, that's a set of strengths, which stand with us as we build our next few years.

Last quarter, we had indicated that we are initiating steps to improve our margins and adjust our plans so that we are well prepared in this fast-changing environment globally and in India. And as part of this strategic shift, some of the actions we have taken in this quarter's results are reflected and they prepare us for an accelerated growth to profitability in the next 2 to 4 quarters, while setting the foundation for long-term competitiveness.

As a broader background on the global market situation, I'll comment on 2 areas. One is the macro environment. This remains challenging. Inflation and other consequences of geopolitical developments continue to put pressure on costs and consequently on demand. In our case, some markets like Turkey and parts of Europe are impacted, but we are also seeing silver linings as these situations tend to create opportunities for exploring new business models.

Second, the industry we operate in. Although, the year gone by has been difficult due to the impact of agri commodities and feed costs, which in turn affect the economies where they keep food-producing animals, the animal health industry overall continues to hold long-term promise. The underlying drivers for long-term growth of the industry, which is focused on is the animal protein, adoption of pets and the g

rowth of emerging market continues to remain intact. While
Raghav will talk in detail on the quarters and full year financials, let me share some highlights of our overall results.

Our revenues in the quarter have been a mixed bag. Overall, the quarter 4 revenues have declined year-on-year by 4.4%. But however, within that, our formulations business has grown by 2.6% year-on-year, and we are seeing in constant currency terms. And in some markets of Europe and emerging markets, we actually are seeing high growth, in fact, in double digits.

The business in Turkey, of course, has been impacted by the disruptions caused on account of the devastating earthquake. While our people and facility were not affected, it has, in fact, impacted some of the demand. At the same time, we also see important developments in our product portfolio, and we have launched a range of formulations for gut health of animals in Europe, which, in a short span has actually crossed EUR3 million of sales.

On the API front, our revenues have been a bit muted because we expect some of the customer orders to spill over into the next quarter. At the same time, we have continued to file for new products with 8 new filings this year and we have started the commercialization of new products as part of our long-term contract with a leading animal health player in the world. We have also invested in expanding our R&D capacity as we anticipate a fast-growing requirement for new products in the next 3 to 5 years.

As we navigate this mixed environment, we are taking some decisive steps to make sure that we are future resilient by operating in areas, which offer the best opportunities for growth and profitability. And in this regard, we have taken a few major initiatives this quarter, those benefits will start showing in the coming year and beyond. First, our manufacturing operations in Germany have been facing challenges for a while in terms of operating costs due to the prevailing economic environment.

And after assessing our options, we have decided to close the manufacturing facility. This will translate quickly into accretive and sustainable margins for the company. We will continue to serve our customers through alternative partners and CMO entrants. There is a one-off charge in the results due to this strategic shift.

Our API business is unique. It has 72% of its revenues from regulated markets and the top 10 customers account for nearly 60% of the business. But as we grow, we will need to be more competitive. Therefore, we have initiated a large-scale cost transformation and margin improvement project, which is internally called Project Pragati across the business, and this will start showing in our margin profile in the next 2 quarters.

On formulations, we are bullish about India and Brazil. We intend to accelerate our organic growth through new launches and expanded reach. At the same time, we are reshaping our

portfolio and operations in markets like Turkey and parts of Europe to focus on growth segments and also improve our profitability. And finally, across the group, we have intense efforts on costs and working capital and we are already beginning to see the results in this quarter itself.

Before I hand over to Raghav, I would like to emphasize the following. We are a unique company in a unique industry. The environment, however, requires us at times to adjust our plan so that we remain competitive in the long term. With the actions outlined, we expect to be better prepared for the opportunities ahead and do so profitably and responsibly.

On one hand, we are cutting costs where we see little long-term value. But on the other hand, we are investing in capacity, in R&D, in quality and in people because we believe that in the next 3 to 4 quarters, we would be well placed to ride the recovery in our industry.

I will now hand over this to Ragh

av for more details on the financial performance.

P.V. Raghavendra Rao: Thank you, Raja. Good morning, everyone. I will now briefly update on this key financial metrics for Q4, as well as for the full year '23. I will start with the formulation revenues.

Formulations business contributed INR255.9 crores to the top line with a 2.6% year-on-year growth and down by 1.1% Q-on-Q on reported terms. On constant-currency terms, formulation has grown by 2.9% year-on-year. Europe business continues to grow and clocked a revenue of INR114.6 crores, which is a growth of 9.1% quarter-on-quarter and 11.9% year-on-year. The API business revenue is at INR94.1 crores.

Total revenue for the quarter is INR366.7 crores, down 4.4% year-on-year and down 2.3% Q-o-Q. For the full year FY '23, the revenue is at INR1,420.9 crores, which is 0.6% growth year-on-year and 2.2% growth in constant-currency terms. This is despite the headwinds that we faced across multiple businesses. Europe clocked a sale of INR414.7 crores for the year, which is a growth of 1.7% in constant-currency terms.

Emerging Markets segment clocked a sale of INR480.7 crores, which is 7.8% year-on-year growth and a robust 15.9% in constant-currency terms. India clocked revenue of INR105.5 crores, which is a growth of 3.5% over the previous year. The API business contributed INR380.8 crores to the revenue on a full year basis.

Overall, gross margins for the quarter is at INR39.5 crores compared to INR42.1 crores in the previous quarter. We have taken multiple actions in controlling the working capital. There is a significant reduction, particularly in material inventory on account of these actions. The impact on gross margins on account of this is about 1.5% in the current quarter. Our full year gross margin is at 41.3%.
In spite of the inflationary pressures, we have managed to control our operating costs. Our operating expense at a full year level is at INR288.6 crores compared to INR279.1 crores during the previous year. In Q4, EBITDA, excluding ESOP cost stood at INR12.8 crores. And on a full year basis, EBITDA pre-ESOP of INR75.6 crores, ended at 5.3% of revenue.
During the quarter, we have had an exceptional EBITDA of INR61.6 crores, driven by closure of plant operations in Germany and also impairment impact on sourcing because of the

prevailing account situation in Turkey. This is -- other than the INR5.6 crores hyperinflation-related impact that we have taken because of the conditions in Turkey.
Exchange loss for the quarter is at INR2 crores. This is mainly driven by the movement in Turkish lira and euro. For the full year, impact on account of exceptional items is INR65.8 crores. This includes other than costs that I just mentioned about, which are relating to the closing down of Germany operations and Turkey impairment, this also includes a loss due to fire at Vizag, which is taken in Q1 not FY '23. We also have INR15.8 crores impact on account of hyperinflation adjustments on a full year basis on the P&L. We continue to work on bringing efficiencies due to the operations across the globe.
Our working capital has reduced by 11 days over the previous quarter and now stands at INR426.1 crores as compared to INR480.4 crores as on December-end. The capital expenditure in FY '23 was approximately INR86 crores, which is -- significant of it being utilized for capacity enhancement in our Vizag facility, increasing demand. Net debt is at INR366.1 crores against INR363 crores in December more or less response.
I thank you all for your support. I wish us for the forum to be now open for Q&A.
Moderator: Thank you very much. We now begin the question-and-answer session. The first question is from the line of Vishwas, an Individual Investor. Please go ahead.
Vishwas: I had a couple of questions. And my first question is relating to the API plant. So, how much is the u

tilization there right now? And are we planning to add more capacity for API business?
And what are the products we have in our pipeline relating to that? And what are the revenue, which we can get from these new APIs? So, this is my first question.
Rajaram Narayanan: Thank you for asking this question. So today, our capacity utilization of our API business is between 70% to 75%. And going ahead, of course, we will have requirements, but there are 2 components to increasing capacity. One is the debottlenecking the capacity which we have right now. And as I did indicate in my call, one of the big initiatives we have is on improving productivity and margins. So, we will be debottlenecking some capacity.
And of course, we are investing in capex to increase our capacity because we have some new products and some new partnerships, which are coming up with leading players. And therefore, we will add capacity as those requirements come in. You had some -- another -- some more question on the API, which was...
Vishwas: I just wanted to know how much revenue or any indication which we can get from these new APIs, any broad view?
Rajaram Narayanan: So, we expect that we will be adding 1 to 2 products immediately in terms of new products and probably going up to 6% to 7% in the next 3 years. And typically, we should expect about 8% to 10% of our revenues to come from new products in the next 2 years.

Vishwas: My second question is on the actions you are taking in Europe, like closing a factory which you indicated, so can you elaborate some more reasons on the -- like behind the scenes and what benefits can we expect from these actions on the performance of the company?
Rajaram Narayanan: So, we have a factory in Germany, which is the injectables plant. It also makes some other liquids for animal health. And the markets for this plant are some markets in Europe, some in East Europe and emerging markets in Africa. But being located in Germany, it's an old plant. We had plans of putting in capex and modernizing this plant to be able to take the products outside of Europe like the U.S.
But there has been a significant change in the operating environment in Europe. The operating costs have gone up quite substantially in terms of both energy, utilities as well as labour costs.
And at the same time, it will take us also more investment to be able to upgrade the plant.

So, we felt that since we've been incurring a loss from this plant for the last few years, there were no alternative options a couple of years ago. But now there are alternatives to actually get these products manufactured at more competitive CMO than third parties.
And that's the reason why we want to close the operations in that plant and that will help us conserve currently the burn, which is happening in that factory, and we should be able to get the benefit coming in about a quarter from now. As far as the quantum of the benefit, I think we've indicated it -- Raghav, what could it roughly be about?
P.V. Raghavendra Rao: It could be about -- annualized basis, about INR22 crores to INR24 crores.
Rajaram Narayanan: Yes, so we should take about INR20-odd crores would be the annualized basis of it. But as when we sort of implement it, it should actually start somewhere around next quarter.
Vishwas: And lastly, one question on the Turkey side. So, what is the situation there in our business there?
Rajaram Narayanan: Do you have any more questions? Or is this the last one?
Vishwas: I have just one question on Turkey business. So, what is the situation there? And how is the business there? What is the situation with respect to hyperinflation? So, these are the broad questions.
Rajaram Narayanan: So, I'll answer the first part. Turkey is a very important animal health market. It is in the top 10 markets of the world. And we also, as a company, have a very strong presence. We

are in the
top 5, in fact, now in the top 3 of the ruminant cattle animal health business. And the brands are very strong. So, it's an important market. Unfortunately, in recent times, the country has gone through an economic challenge because of which there has been high amount of inflation and also the rise in agri prices have meant that there is a reduction in the demand for some of the animal meat and animal protein.
And therefore, it is beginning to impact the business performance. But we have taken actions in that regard in terms of aggressive pricing in terms of looking at our portfolio, reducing some of our costs. But we have to wait and watch because these actions in recent times has not been

adequate to compensate for the level of inflation. But we do see other opportunities in Turkey, which we are getting into action now, which is to use Turkey as a potential export location because when you have this degree of -- it will also become more competitive as a cost base for supplying to some markets in Europe, etcetera. We also make injectables in that plant, which is one of the few plants, which makes injectables. It's Europe GMP-certified facility.
So, all those things put together require us to adjust our own business because we have a strong presence there, but we are conserving costs and we are doing everything to make sure that we remain profitable in Turkey. So, that's really the situation. Of course, there has been a devastating earthquake which did not impact our facility or our employees but did impact the market where the earthquake incident took place, which was about -- which is about 10%, 15% of the Turkish business. And that trickle down has impacted the current demand, but we do expect that things could change. In any case, our actions are to make sure we are profitable in that regard. On the macro hyperinflation, I'll probably ask Raghav to comment and explain what the principles are.
P.V. Raghavendra Rao: So, if you see the face of the P&L, we have taken for the current year an impact of almost INR16 crores for the full year. And there is another INR2.8 crores, which have impacted the EBITDA, other EBITDA.
Moderator: The next question is from line of Siddhant, Individual Investor. Please go ahead.
Siddhant: I just had a couple of questions. Sir, my first question is, as you mentioned, there has been a large exceptional item during this quarter. So, is this the end? Or do you expect more of it going further?
Rajaram Narayanan: So clearly, because this is exceptionally large, the idea was that this was it's like to be taken now and it was the right time to rebase some of our operations and actually act so that we can take advantage of the accretive margin and the lower cost base as we begin to go ahead. So, I don't expect any more exceptional items in this regard in the coming quarters.
And that's the reason why we've decided that even though it is large, and it is -- it does impact the results of the quarter, we would rather take the charge one shot in this quarter itself. So, that we can sort of go on a clean sheet moving ahead.
Siddhant: Sir, in the presentation, it was mentioned that inventory reduction has affected the gross margin. So, can you comment why such -- like why it has led to losses this year?
Rajaram Narayanan: Raghav?
P.V. Raghavendra Rao: Yes. So, like I said, we have been working on bringing new efficiency into our overall working capital. So, actions on inventory were aligned to that step up. So, what happens when you do actions on the inventory, there are a couple of pieces that come into your gross margin. One is that you make -- you liquidate some inventories.
You make closing credits. More importantly, when you reduce your inventory, some of the overhead sitting on inventory also impact your -- impact your overall gross margin for the period.

So roughly, broadly, as I indicated earlier, it's about 1.5% impact on the gross margin for the quarter.

Rajaram Narayanan: So, it's the right direct thing to do, which is to reduce your inventory, but you do end up having an accounting charge, which comes on the P&L. So, I think from a health of the business operation, it's absolutely the right direction to go ahead and reduce inventories. But in terms of an accounting charge, it can come your -- that's what has really happened.

Siddhant: Sir, one last question. Like historically, you have mentioned that the company is going under restructuring, but the employee costs have been more over the same or latest increasing. Can you point out any reason for this?

Rajaram Narayanan: So, we really don't have a significant increase. I would comment, but just before that, let me say that some of the impact of the restructuring, which we have just spoken about, some of these will obviously trickle in, in the margin improvement as it comes in, in the coming quarters. The second part of it is that some of the increase in employee cost trajectory, because of annualization of when you recruit them in hiring as well. But in terms of our headcount, we are directionally going lower than what we have. But Raghav, anything else in this?

P.V. Raghavendra Rao: Nothing -- so, you are right in the sense that we had -- we are taking in some of the restructuring impacts from the -- on the manpower line, sorry, on the employee benefit line. But what we have to also remember is that there will be increments and there may will be replacement cost that will come on this line. So -- and I believe that it is more or less stable between the 2 quarters, between December and in March.

Moderator: Next question is from the line of Pranav, Individual Investor. Please go ahead.

Pranav: So, I have a couple of questions. So, what are the company's plans for acquisitions in the future for growth? And how is the importance of India in this plan?

Rajaram Narayanan: So, we clearly, will look for any attractive assets, which we can acquire, but it will be done in terms of responsible funding for this, and it should be an asset that adds value to the business and where we also can add value. So, we are completely open. We are also, at all points of time in engagement with different potential assets for acquisition. Obviously, from a market point of view, India is attractive, but we also see some interest in one or two assets outside of India, but largely that interest is in India at this point of time.

Pranav: Another one of my questions is regarding the sales in margin growth. So, what is the expectation that the management is having for the next few years?

Rajaram Narayanan: As I said that there is clearly a lot of initiatives, which we have started, some of it due to reshaping restructuring, but also the growth that we are seeing in some of the markets in the short and medium term. We really don't take this as any kind of guidance, but what we expect some of our initiatives and to deliver and split it into two horizons.

One is that in the short term, it would be really the exit of FY '24. We should expect the exit margins to begin to come into double digits. And that's something that is on our plan. And as far

as we look at medium term, which would be about 24 to 36 months, we should expect our margins to come to late teens. So, roughly in a short term, which is the next 12 months, we should expect the exit margin of the company to be somewhere in double digits. And in 3 years, we should be in about late teens in terms of our margins.

Moderator: The next question is from the line of V.P. Rajesh from Banyan Capital Advisors. Please go ahead.

V.P. Rajesh: One on the EBITDA side, you are saying, your sort of adjusted EBITDA is INR110 crores for the year. If you ca

n share the corresponding number for the Q4?

Rajaram Narayanan: Corresponding, Raghav, Corresponding numbers for Q4.

P.V. Raghavendra Rao: So, I'm just thinking about we had exited Q4 at a reported EBITDA of about INR12.8 crores. So in this, you can add a couple of amounts, particularly the INR6 crores inventory is Q4 item as well as about INR1.1 crores on the hyperinflation is a Q4 item. You can add about INR5.5 cores for the discontinued operations. So, it will come -- roughly it comes to about INR21 crores, INR22 crores, Rajesh.

V.P. Rajesh: INR22 crores, okay. So, how should one think about? Is it the new basis of INR88 crores, if I analyse Q4 or INR110 crores? Like what is your jump-off point in terms of how the EBITDA will start to improve from here?

Rajaram Narayanan: So, I think you should look at more from exit to exit than to look at it because some of the actions of these don't follow 1/4 for a quarter. So, I think on a -- you should look at a base -- my sense is on a more like INR22 crores kind of update on which we should see us as going in line with the kind of direction which I have given. On an annualized basis, I think it would be about INR110 crores. Yes?

P.V. Raghavendra Rao: Yes. So, what you have to remember Rajesh, is not all impacts are injected into Q4. So therefore, it is better to make of it on an annualized basis.

V.P. Rajesh: Right. That's why I was saying that one should think of INR110 crores is the number that is sort of on a...

Moderator: Sorry, you are not audible.

Rajaram Narayanan: I think you are not audible. But if you're asking, I think you should -- whether we should take a quarter as a reference or should we take the annualized adjusted INR110 crores as a reference, I would say that you should take the annualized as a reference, yes, on this.

V.P. Rajesh: And then one quick question on the inventory side. When you have taken the markdown in this quarter, is it actually a cash loss? Or is it just accounting entry you have taken and then you liquidate that inventory, and you may get some write-back from that? How should one think about that?

P.V. Raghavendra Rao: The way inventory works Rajesh, it's not entirely a markdown. There is a very small element of actually markdown. It is actually what happens is when there is a drastic change between your

working inventory and your present inventory for a period, there's a lot of overheads sitting in the inventory in the balance sheet to the P&L. So, it has a significant impact and particularly, if the period is only 1 quarter, it appears significant. So, that is the major impact on inventory.

Moderator: Next question is from the line of Ankush Mahajan from Axis Securities. Please go ahead.

Ankush Mahajan: Most of my questions have been answered, sir. Just on the -- my question is catering to margin that you already have answered. Just trying to understand, sir, if we could -- we have closed these operations in Germany and what kind of impact we can see in terms of quantitative impact in the upcoming quarters?

P.V. Raghavendra Rao: So yes, Ankush, I anyway answered that as well. So, I think over an annualized basis, INR21 crores to INR24 crores equities to the profit in margin.

Ankush Mahajan: Do you mean that's EBITDA margins?

P.V. Raghavendra Rao: Yes.

Moderator: Next question is from the line of Giriraj Daga from Visaria Family Trust. Please go ahead.

Giriraj Daga: Just few clarifications first. About Germany, API unit or formulation unit? And what percentage of API was there if APA was there?

Rajaram Narayanan: So, Germany is a formulation unit. It's not an API unit. It is where we make some injectable products where we buy APIs from other suppliers, and it's marketed to within Europe and to some other markets.

Giriraj Daga: Second, when you look at your capacity utilization number of API to 70% to 75%, like what percent of

API goes for our internal consumption?

Rajaram Narayanan: Very little of our API is used for probably 2% to 3% maybe at best and that too at times because most of our APIs are -- as you know, most of our APIs are for regulated markets in the U.S., we don't have U.S. operations. So, between U.S. and Europe, most of our customers will be purchasing this. So, it's not for internal consumption.

Giriraj Daga: So, when we look at like last quarter, 4Q, we had revenue of INR127 crores. This quarter, it's INR94 crores, and you're talking 70%, 75%. Like we were operating at more than 100% in fourth quarter or is the price reduction such drastic that volume is intact, and prices have crashed?

Rajaram Narayanan: So, there are two parts to it. When I say 75%, it's our mean plant, which is there in Visakhapatnam that operates at about 70%, 75%. We have another plant, which is a non-U.S. FDA plant, which is in Mahad, which is in Maharashtra, which is at about 55% to 60%, but that largely makes albendazole.

So, that is one. I think the second part of it is that last year, at the same time when we saw a large base of INR127 crores, there was a substantial amount, which was a spill over from quarter 3 of that year, which was almost to the extent of about INR14 crores to INR15 crores, which came

in as a spill over because the December ending of that year could not -- there were a lot of issues around shipping, etcetera, and it couldn't be sent.

The third part of it from a capacity is that we also use CMOs for some of our requirements. And therefore, while our own plants may be occupied at about 70%, 75% in Vizag and about closer to 60% in Mahad, we utilized our CMO capacity also for some products.

Giriraj Daga: Two more questions. One on the margin. When you mentioned double-digit margin exit rate, late teens margin, you're talking about the adjusted margins, not after the ESOP cost, right?
Rajaram Narayanan: No, I think all our discussion is on EBITDA margin pre-ESOP, because ESOP is a non-cash item, we don't sort of tell, but it's pre-ESOP operating margin.
Giriraj Daga: So practically, like if I add the INR20 crores, INR24 crores to INR110 crores this year, we're anywhere at INR130 crores, INR135 crores, right, on a revenue of INR1,400 crores. So, we're already close to 9.5% already. So, the improvement like -- are we not expecting any material improvement from here up to quarter 4?
Rajaram Narayanan: Yes. As I said, we do expect it. And I think we have a big variation in the margins this year. And therefore, the indication is that we will do double-digit, nearly double teen margin as we exit the year.
Giriraj Daga: My question is that INR110 crores should be like even if I add this additional INR20 crores, should become INR130 crores, right? So ideally, we should be looking at INR150 crores, INR160 crores minimum to start with for FY '24 full year adjusted number?
P.V. Raghavendra Rao: Giriraj, I'm not sure what integer you are adding.
Giriraj Daga: Germany operation cost, INR21 crores to INR24 crores, you mentioned, right?
P.V. Raghavendra Rao: That is basically in the INR110 crores, that is basically in the INR110 crores. So, the way if you see, this INR110 crores over INR1,400 crores, is not 10%. So, we will move close to the -- we will move into the early double-digit as we move into the end of the year.
Giriraj Daga: Last question on the capex. So this year, we have some step-up in the capex, some INR86 crores. What was that pertaining to, which facility and other things? And what is the capex outlook for '24 and probably some visibility on '25?
P.V. Raghavendra Rao: It could be somewhat of a similar number for FY '25 as well and the many investments, predominantly in the capacity expansion in Vizag.
Giriraj Daga: No, sorry, like, if we look at our revenue for the last 2, 3 years, it's like flat broadly, right? And we will

have some asset turnover of almost 2.5x, 3x, if I'm not wrong. So, then why do you need capex for this year also for INR86 crores, somewhere like INR85 crores to INR90 crores?
P.V. Raghavendra Rao: So, this capex, Giriraj is basically -- I mean, we have line of sight of business expansion, where we are trying to lock new customers, new projects. So, it is more in line with our -- with what we want to do in the future as we move ahead.

Giriraj Daga: And location would be?
P.V. Raghavendra Rao: Like I said, predominantly Vizag, as of now.
Rajaram Narayanan: It will be in India, largely in our U.S. FDA plant.
Moderator: Next question is from the line of Darshan Shah, Individual Investor. Please go ahead.
Darshan Shah: Sir, can you hear me?
Rajaram Narayanan: Yes, Darshan, go ahead.
Darshan Shah: So, I just wanted some updates on what are our growth prospects in Brazil, like?
Rajaram Narayanan: So Brazil is one of the world's, it's in fact, in the top 5 market as far as animal health is concerned. We have been growing well in the last couple of years in Brazil. It is -- we think that we -- it's a market where we should grow in double digits, partly because the -- we've also made an entry into companion animals last year because we have acquired a small company to sort of make the entry into companion animals.
And this year, we will be expanding the range and the reach and the impact of that team. So, it's an attractive market, which should give us double-digit growth. But we have to make sure that it is profitable also, it is right now profitable, but there are some sort of headwinds in terms of agriculture and commodity prices, hopefully, they will be managed, and we should be able to see double-digit growth there. But for us, it's a strategic market going ahead.
Darshan Shah: And any updates on Nourrie?
Rajaram Narayanan: So we've done the integration of that team. We have put in a new sort of, expanded the team now to be able to go to more the OTC and kind and veterinary doctors who are there because this was more of a nutrition kind of a portfolio. So, we are also expanding our portfolio. I think we should begin to see the results by quarter 4 this year of Nourrie because it will be annualized by then.
Moderator: Next question is from Kaustav from BMSPL. Please go ahead.
Kaustav: So, if I observe from your calls that you did a few years ago, you kept talking about the potential U.S. FDA approval for formulations. And since then, over the last few quarters, we haven't really spoken about this. So, I was just trying to understand what happened over there? And what is our plans to eventually enter this U.S. market in formulations?
Rajaram Narayanan: Thanks for this question. So, the entry into U.S. for formulation has two parts to it. The first is in the development of the product itself and the validations which are required and then there is manufacturing and then there is the eventual launch. The manufacturing of this was planned in

Germany. The R&D for it and the development of the product and the registrations are all driven out of India in our R&D. We are completely on track on the registrations and filings, which we had planned.

However, the upgrade, which we had planned in Germany is the one which we are now discontinuing for U.S. FDA upgrade. But instead, we have arrangements right now to be able to manufacture these products at CMOs, so that we don't miss the timeline, which we have with us on that. So, it's only the manufacturing location for validation and eventual supply, which will change because a few years ago, it was not available. But today, there are CMOs with strong manufacturing capabilities for the U.S., which are available. The more important thing is to have the registration and the filing for that.
Kaustav: No. So,

my question being that -- okay, so the arrangement is changed, but when do we plan to enter this market? And are we going to enter this market anytime soon given we've got so many other geographies to focus on and to still scale in? I mean, could you just speak a little bit about this whole thing and as to where you -- no, that's it. Yes, I think you got my question.
Rajaram Narayanan: We are not scaling back on the current route to get there because we have about close to 8 products and then eventually 12 for which we are developing the necessary dossiers. So, that process is going on right now. I think we'll be able to probably get a clarity once we sign up formally the arrangements with the manufacturing. We don't see too much of it, but a typical plant should be anywhere in about 24 months.
Moderator: Next question is from the line of Vignesh from Harmoney Wealth Advisory. Please go ahead.
Vignesh: I just wanted to understand that full year ESOP cost, which we need to put in for the financial year.
Rajaram Narayanan: It's not very clear Vignesh, can you just repeat your question? It's not very clear.
Vignesh: So, I just want to understand the full year ESOP cost we need to tap in for the current year?
Rajaram Narayanan: It's not clear.
P.V. Raghavendra Rao: Your voice wasn't clear, so can you just repeat once again?
Vignesh: I just want to understand the full year ESOP cost for the current year.
P.V. Raghavendra Rao: It is about INR35 crores, Vignesh. Current year, it's INR35 crores and we expect it to come down as...
Vignesh: For the financial year FY '24?
Rajaram Narayanan: FY '24, it will be lower.
P.V. Raghavendra Rao: It will be lower. It will be significantly lower, yes.
Vignesh: And then on the API side, in the last 4 years has been muted. So, some colour on the API business and I mean, some update on the pricing pressure if there are reductions in the pricing pressure or some colour on the API business.

Rajaram Narayanan: So, I think every year has been a little different because the last 4 years, if you take, we've had a couple of years of COVID as well. So, from that point of view, the steady state is really what we should look at, which is perhaps this year. In terms of the pricing, yes, the pricing pressures do continue across.
And partly, it is led by the fact that there's a reduction in demand in some of the end products for our customers. And there are people who are sort of supplying the APIs. So, there is going to be that pressure and that is the reason why we should do the kind of initiatives, which we are doing in terms of improving our margins and cost competitiveness. That's how we retain our customers.
Having said that, we have nearly 70% our business, which is with customers in regulated markets and that, while it may not give us the immediate opportunity to increase prices because that tends to be more dependent on when your contracts end and get renewed. We definitely don't have a downward pressure on prices when with some of these regulated market customers. Yes, in the less regulated markets, where it is what we call spot trading of products, there is obviously a pressure both from suppliers in other emerging markets as well as some in India as well.
Having said that, we should also remember that there was a big spike in costs some time ago, but in the last 5 to 6 months, there is also some softening in terms of input prices. And therefore, we should be able to move towards protecting our margins even if there is a slight pressure on pricing because of the initiatives both in terms of the kind of stuff, which we are doing as well as the softening of input prices.
Moderator: Next question is from Prashantkumar, an Individual Investor. Please go ahead.
Prashantkumar: Sir, my question is like how long we have to bear this ESOP cost? How many more years to go

for it?
P.V. Raghavendra R

ao: Prashant, it will continue next couple of years, at least, where it will come down significantly
later.
Prashantkumar: In FY '23, we had cost around INR35 crores, like what can be the -- what can be the for-instance cost, like any tentative number? I'm not looking for the numbers.
P.V. Raghavendra Rao: It could be approximately about 18% to 22% lower than this, next year?
Prashantkumar: 18% to 20% lower, right? So, around INR25 crores to INR28 crores, kind of, right?
P.V. Raghavendra Rao: Yes, yes, approximately, yes.
Prashantkumar: So, are we planning -- another question is, are you planning to enter into the Chinese market?
Rajaram Narayanan: Into China?
Prashantkumar: Yes.

Rajaram Narayanan: We have no immediate plans to enter into China. I think from a formulation point of view. From an API point of view, at this point, it doesn't really play out because China is a manufacturer for
most of the APIs.
Moderator: Thank you. I now hand the conference over to the management for closing comments.
Rajaram Narayanan: Thank you very much for -- to all of you for joining this call and I hope you've had an opportunity to answer your questions as well as give you clarity on the results of the recent quarter as well
as more importantly, the direction which we are taking in terms of substantially improving the
competitiveness of our business as well as the near and long-term -- medium-term forecast that
we have for our growth as well as for our margin profile. Thank you very much.
P.V. Raghavendra Rao: Thank you.
Moderator: Thank you very much. On behalf of SeQuent Scientific Limited, that concludes this conference.
Thank you for joining us. You may now disconnect your lines. Thank you.

Call: Aug 2023

(no extractable text — likely a scanned image PDF)

Call: Nov 2023

Proven Ability In Life Sciences

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November 13, 2023

To,
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Subject: Intimation under Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Earnings Call Transcript for the quarter and half year ended September 30 , 202 3

Dear Sir/ Madam,

Pursuant to Regulation 30 (6) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the Earnings Call Transcript pertaining to the Unaudited Financial Results of the Company for the quarter and half year ended September 30 , 202 3.

The same is also availab le on the Company’s website at https://www.sequent.in/pdf/financial/2023 - 2024/Sequent%20Transcript_Nov07_2023.pdf

Kindly take the same on your record .

Yours faithfully,
For Sequent Scientific Limited

Krunal Shah
Company Secretary & Compliance Officer

“SeQuent Scientific Limited Q2 FY '24 Earnings Conference Call ”

November 07, 202 3

MANAGEMENT : MR. RAJARAM NARAYAN – MANAGING DIRECTOR &
CEO , SEQUENT SCIENTIFIC LIMITED .
MR. SHARAT NARASAPUR – JOINT MANAGING
DIRECTOR , SEQUENT SCIENTIFIC LIMITED .
MR. SAURA V BHALA– CHIEF FINANCIAL OFFICER ,
SEQUENT SCIENTIFIC LIMITED .
MR. ABHISHEK SINGHAL – HEAD OF INVESTOR
RELATIONS , SEQUENT SCIENTIFIC LIMITED .

Moderator : Ladies and gentlemen , good day and welcome to SeQuent Scientific Limited Q2 FY'24 Earnings Conference Call.
As a reminder all participant lines will be in the listen -only mode , and t here will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal the operator by pressing '*' and then '0' on your touchtone phone . Please note that th e conference call is being recorded.
I now hand the conference over to Mr. Abhishek . Thank you . And over to you , sir.
Abhishek Singhal : A very good morning and thank you for joining us today for SeQuent Scientific's Earnings Conference call for the 2nd Quarter and Half Year Ended Financial Year 2024.
Today we have with us Mr. Rajara m Narayanan (Raja) - SeQuent's Managing Director & CEO ; Sharat Narasapur - Joint Managing Director; and Saura v Bhala - CFO to share the highlights of the business and financials for the quarter.
I hope you have gone through our results release and the quarterly Investor Presentation , which have been uploaded on our website as well as the stock exchange website. The transcript for this call will be available in a week's time on the company's website.
Please note that today's discussion may be forward -looking in nature and must be viewed in relation to the risks pertaining to our business. After the end of this call, in case you have any further questions, please feel free to reach out to the Investor R elations Team .
I now hand over the call to Raja, to make his opening comments.
Rajaram Narayanan : Good morning, everyone. A very warm welcome to all of you on this call for the Quarter 2 Earnings Call for the Financial Year '23 -24.
Joining me on this call is Mr. Sharat Narasapur - Joint Managing Director, and Mr. Saurav Bhala our new designated Chief Financial Officer. A bit about Saurav , for whom this is the first Investor Call here at SeQuent , Saurav brings again a wealth of leadership experience in Finance and Operations across pharmaceutical, chemical and FMCG sectors. Saurav was with the Godrej Group for 16 years with the last five of those as the CFO for Astec Lifesciences which is the NSE listed chemical manufacturing entity of the Godrej Group.
On the same lot I would also like to extend my thanks to Raghav our outgoing CFO who has to relocate out of Mumbai for personal reasons. And his contribution to the company has been immeasurable and we thank him for his service.
Moving on to the performance for this quarter :

In the last earnings call I had shared with all of you about the various initiatives around cost s and commercial excellence across both API and formulations that have either been implemented or were in the process of being implemented during the last few quarters so that we could meet our priority of profitable growth. I am really please d to share that we are progressing well towards that goal and the results of those initiatives are beginning to reflect in our financial performance.
Before diving into the specifics of our performance I would like to briefly touch upon the macro - environment, which is relevant to us, given our geographical spread across all our markets, inflation remains at elevated levels. While on the one hand this is putting pressure on the end's

consumer demand, it will be beneficial for companies which are competitive in cost s and have a strong franchise of quality customers. We see our company getting ready to win in such an environment.
We also see some green shoots of recovery in demand. And this is evident in the sequential growth witnessed in some of our formulation markets. These indicators along with the reshaping of our operations on the ground seem to indicate that we should see momentum early in th

e next
calendar year which is our last quarter of this fiscal.
As I ha ve explained before our industry has two segments, medicines for Production Animals and medicines for Companion Animals . While the Production Animals business globally was impacted by high feed costs, input cost s and issues related to war and farm productivity there seems to be some softening of input cost s of late which would help in the revival of demand in a couple of quarters. At the same time the demand for Companion Animal medicines is beginning to accelerate and we too as a company are reshaping our po rtfolio to meet this trend.
While Saurav will talk in detail on the quarter financials, let me share some headlines of our overall results and also give you a sense of the direction going ahead.
Our overall revenue in the quarter has come higher, growing at 3.8% sequentially and 2.5% year - on-year. We must note that this is after the discontinuation of some of our less profitable operations in Europe , plus, the growth of the retained and continuing business is higher and will begin to show an annualized positive impact by the end of the year.
We are also progressing well in our plans which have been designed to help us deliver consistent quality , profitable growth. And during the quarter, our EBITDA margins, pre -ESOP cost have expanded by 480 this year to 7.6%. This is in line with the direction we have given during our earlier calls on profitability.
Starting with the performance of our Europe operations, the actions that we have taken in the Europe market has begun to give positive results. And these are reflected in the margin expansion we are seeing in this quarter ’s financial results.

The portfolio reshaping which involved exiting certain unprofitable businesses and increasing our focus on growing certain attractive products lines is now largely complete and these positions us well for the next leg of growth.
We are on course to build a strong portfolio in gut health products as we expand these launches to other markets outside of Europe.
In Turkey, we continue to deal with high inflation and currency devaluation, but I am please d to share that the price interventions that we put in place in Quarter 1 has started to yield results and these are reflected to some extent in our Quarter 2 financials.
Turkey is one of the leading markets in the world for animal health and our company has a strong presence there. We continue to take proactive measures both on cost excellence and further price intervention given that we are inherently strong in that geography. We are also launching new products in Injectables for Ruminant animals later in this year . Of course we remain cautious till the current economic initiative stabilizes .
The Formulations business in India has remain steady with sequential growth on the back of new products as well as expansions of the team on ground. The year -on-year decline is mainly on account of a high base quarter last year during the breakout of the Lumpy Skin Disease in Quarter ‘22-23. And also the short -term non -availability of one of our key product lines this quarter, which will be restored by the end of this year.
Coming to our API business :
We are midway through the implementation of Project Pragati which is a Comprehensive Cost Improvement and Commercial Excellence Program . The business has seen a healthy margin expansion this quarter on the back of the initial work.
During this quarter, our Vishakhapatnam facility underwent a US FDA inspection at the end of which we had one procedural observation and a response to which has been shared. The US FDA audit completion will continue to strengthen our presence in regulated markets while also opening new opportunities. This is truly a good achievement for the company.
While we make continuing progress on operational and

cost excellence, the market demand
continues to be a bit erratic , due to pricing pressures and high inventory levels amongst some API customers.
In line with our priority of high-quality revenues, we will remain disciplined in these kinds of situations and await a gradual pickup in volumes towards the start of the calendar year in 2024.
Before I hand over to Saurav, I would like to emphasize that in spite of a volatile environment globally we are beginning to see sequential and profitable growth in most of our market s. While

our priority this year is more focused on margin improvement, the foundation for acceleration has been set and we are well positioned for acceleration on the back of these operational improvements.

On the M&A front, we will continue to look for appropriate assets and partnerships. We believe that on the API side as well, we must keep our options open for inorganic growth to build scale , enhanced backward integration across promising products and accelerate investments towards R&D , talent and infrastructure in API.

I will now hand it over to Saurav for more details on the financial performance.

Saurav Bhala : Good morning, everyone. I am happy to be part of SeQuent's transformation journey and work closely with our exceptional teams to solidify SeQuent's position as a prominent global player in animal health sector. I will now briefly update on the key financial matrices of Q2 and H1 Financial Year '24 respectively.

Q2 Financial H ighlights

Our total reported revenue for the quarter is Rs. 3,460 million up by 2.5% YoY and 3.8% QoQ .

Formulation business contributed Rs. 2,532 million to the top -line with a growth of 5.2% YoY and 2.2% QoQ .

We have seen a good boost in our European operations driven by our strategic actions focused on our portfolio reshaping. Europe clocked a revenue of Rs. 1,191 million which is a growth of 30.7% YoY and 1.6% QoQ .

Our decision to implement substantial price increases in Turkey has help ed us improve our margin effectively without impacting the sales much in that geography.

India business clocked a revenue of Rs. 273 million which is a growth of about 7.6% QoQ . We faced some headwin ds in emerging markets that is basically due to unavailability of U.S. dollars to make the payments, in some key markets which we operate in. Our own emerging market has grown by 1.5% QoQ .

The API business revenue stands at Rs. 804 million against Rs. 908 million. Our own gross margins for the quarter are at 45.1% compare d to 41.5% in previous quarter. Our gross margin has seen significant improvement driven by strategic shift in our product mix, various cost saving initiatives which we have initiated, and a very well executed price increases in some of our key markets like Turkey and Spain. This demonstrates our commitment to enhance profitability and financial health of the company.

In Q2, EBITDA excluding the ESOP and FX movement stood at Rs. 263 million which is at 7.6% of our revenue as against Rs. 150 million in Q2 Financial Year '23 which is at 4.4% of the revenue.

Through the various operational reorganizations driven in last few quarters we have been able to manage our operating cost pretty well. Our total operating expense was Rs. 697 million as compared to Rs. 713 million during the previous quarter.

Employee cost is Rs. 602 million, against Rs. 678 million in the previous quarter. The slight increase is due to a one -time settlement initiated as a part of the overall operational reorganization process.

HI Financial Highlights

During H1 our total reported revenue is Rs. 6,792 million against Rs. 6,789 million last year H1.

Our Formulation business contributed Rs. 5,014 million to the top -line with a growth of 3% YoY. API business is at Rs. 1,611 million against Rs.

1,794 million in last year H1.

In H1 EBITDA excluding ESOP and FX cost stood at Rs. 356 million which is 5.2% of the revenue as against Rs. 351 million last year which is almost from the same range, 5.2% of the revenue.

Other than this hyperinflation related impact driven by Turkey is in fact reflected in our Ind AS 29 adjustment which is showed in the financial s also and that is Rs. 25 million in Q2 Financial Year '24 as against Rs. 33 million in Q2 Financial Year '23 and for H1, '24 the impact is Rs. 52 million against Rs. 74 million last year.

We have a exchange loss of Rs. 26 million INR in the current quarter, almost entirely driven by the depreciation in Turkish lira vis-à-vis exchange gain of Rs. 11 million in Q2 Financial Year '23.

Our working capital now stands at Rs. 3,595 million as compared to Rs. 4,261 million as on March 23 and that is majorly driven by our focus on effective working capital management.

Our net debt as of date is Rs. 3,591 million as against Rs. 3,561 million in March '23.

So, those are the key highlights. I, thank you all for your support. And I now request for the forum to be open for Q&A.
Moderator : Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Dinal Jain, who is an Individual Investor. Please go ahead.

Dinal Jain : My questions are regarding the API business. So, API sales have been flat sequentially. When can we expect a recovery ? And what will a full number look like ? And secondly how many products are in the API pipeline and how are you expecting thos e to drive sales going forward?
Rajaram Narayan an: So, the API business is clearly, this is not the level at which this business will carry it self, at the current Rs. 80 crores to Rs. 81 crores levels . As I spoke about this, this is a business which is more likely to be closer to three -digit level s in terms of an average. And we expect that kind of a number coming closer to Rs. 100 crores to be reach ed soon. At this point of time some of the transformation initiatives that we have taken, have indeed subdued some of these sales. In addition to that of course there is some pricing pressure on some of our products because of which we have decided to stay away from low margin, low quality opportunities.
I am of the view that with the initiatives that we have, as well as the visibility that we have to some of the projects and contracts , we should be back closer to a level of Rs. 100 crores a quarter, which is what we have indicated earlier and we expect that to be reached definitely early next year.
Coming to the second question of how many products we have in our pipeline. So, I think every year we typically file three to four new dossiers, and these filings are normally in line with our R&D plan. So, at this point of time we would typically have between three to four projects which are in the pipeline for the next year. And of course, in line with our plan to have three to four every year, the further product s are also under development .
Moderator : Thank you so much. The next question is from the line of Shantanu Maheshwari, who is an Individual Investor. Please go ahead.
Shantanu Maheshwari : So, my first question is on the Turkey business. The Turkey business seems to have improved this quarter given the macro challenges there , is its performance sustainable?
And the second question is on the India business. What is happening on the India formulations business front, i t is meant to be one of the growth focus areas?
Rajaram Narayan an: So, on the first question on Turkey, I think the Turkish market is not completely out of the woods. But I think there is a sense of some clari ty coming on both the economic policy as well as the market demand.
From our side, what we have done is to focus on three areas :
i) Is in the ar

ea of pricing because it’s a high inflationary economy. And we have taken bold pricing decisions in that market because of our market presence and that has gone through very well. We believe that pricing will continue to be some lever which establish ed companies like us, can continue to exercise. And therefore, I think we will be able to match as much of the inflation with some of our pricing decisions.

ii) The second part of it is really on exports. We have been saying before that Turkey is a base for exports. And we are seeing increase in our exports from Turkey. And that will form a natural hedge for foreign exchange for us in Turkey. So, that will take care of the exchange fluctuations which take place in Turkey. Having said that , after one initial sort of change in the exchange rate right after the elections we are beginning to see some sort of stability in the current Turkish foreign exchange situati on.
iii) The third of course is that Turkey is a very large market for animal health. And it is important to keep innovating and launching new products . In a situation like this the smaller players tend to fallout of the market or get impacted and we are seeing that happen . And therefore, our market share is actually increasing in Turkey and that is on account of some of these initiative s, but also because we are launching new products. So, a combination of new product launches , pricing as well as exports, I think will keep this business pretty steady going ahead. But of course, given the situation there we are watching very carefully. We expect that this is a market where the results can only be positive going ahead.
On the second part of your question is what’s happening on India formulations, the India formulation business for us is performing well. It is a combination of two parts, one is our own products and the second is a distribution business that we do one of t he largest multinationals. On both these fronts we are continuing to grow in line and slightly ahead of the market. We are also launching new products so that’s what you are seeing in the results.

So, this particular quarter there is bit of an aberration because last year in the same quarter there was a big breakout of the Lumpy Skin Disease in the ruminant animal markets because of which there was a disproportionate jump in medicine consumptions. That has eased a bit this quarter. And also one of our products which we distribute was out of stock for various manufacturing reasons and that is expected to come back in the next quarter end. And therefore we should begin to see that stability.

We are of course very confident that India will be a steady growing market and that 's something we have said before and we continue to stay by it. We will keep our eyes open for any kind of partnership opportunities to take this business further.

Moderator : Thank you. The next question is from the line of Darshat Shah from Sabnis Financials. Please go ahead.

Darshat Shah : So, one of the first questions I had was like there is a visible increase in gross margins during the quarter when I compare it to YoY and QoQ . And so just can you give me a sense of what are the major contributors to it and what are the steps you have taken to ensure that ?

Rajaram Narayan an: So, I think we have spoken earlier as well as in the last two calls that we have a few initiatives across the company to improve gross margin s and those have started now giving the results. This required some tough calls which we took in the last couple of quarters. So, if I really split it into

two, the API side we have a project called Project Pragati which is a comprehensive cost improvement program. And that is beginning to give us results as we are getting more competitive in our product pricing, in our cos

t structure and that is of course improving the gross margins of our API business.

The second part of it is really the mix of products we are selling; we are of course focusing more on quality customers as well as products which are the higher margin accretive. And therefore we are seeing the second sort of lever play out now.

The third is that on our formulations business, both in Europe as well as in Turkey it is a combination of getting out of low margin product mixes, focusing on higher margin products. And also, on some aggressive pricing actions given that we are in an inflationary environment.

The last part of the course is there is better management at the end of procurement. So, there is some softening of prices as well which is coming to play for us, beneficial for us.

So, I would say that there is a very comprehensive set of actions. This is in line with what we have been speaking for the last couple of quarters that we intend to take our margins by the end of the year towards a double -digit kind of a margin. And that's the direction in this quarter as well it's going.

Darshat Shah : Next I wanted to know our increase in employee cost . So, have we had some key signings or management signings or something like that?

Saurav Bhala : So, Darshat , as I also touched upon briefly in my introduction, the employee increase is one -time expenses which we are paying to for all the operational reorganizations we are doing across our geographies. So, this is a one -time ex pense this is not a normal, and going forward we will see all this normalizing back to the normal level s. In fact, we will see improvement going forward post that restructuring.

Darshat Shah : Next I have just a couple of questions on strategy moving forward. So, in the Europe business you have guided that you moved out of some unprofitable businesses so just I wanted to know what will be a long-term strategy for this continent in Europe?

Rajaram Narayan an: So, Europe for us is important but at the same time it is a business that we need to run profitably. So, we have two kinds of businesses , we have our own manufacturing operation, which is there in Spain, which is an important market for us. It's also one of the largest animal health markets in Europe. So, in Spain, we are having sort of restructured and rationalize d the p ortfolio, we are now of course expanding with new product launches. So, we continue to launch new products in Spain , in the area of ruminant animals which is Production Animals .

And in the area of Companion Animals, we have increased our distribution footprint. So, we are now distributing more Companion Animal products in the area of pet care. And we are also there

in Belgium, we are there in Netherlands, we are there in Scandinavia, and we are setting up some distribution opportunities in other markets in Europe as well. So, overall, for us in Europe, the first stage was to make sure we have a profitable portfolio. And now the next stage of it is of course to expand through new launches as well as new distribution arrangements.

Darshat Shah : And a follow up on that is that we have mentioned that we generally cater to two types of live stocks which are you know Companion and for the Food Consumption . So, just can you name a

couple of animals that you primarily or our products primarily cater to this could be you know
cattle, horses, so just an idea of that?
Rajaram Narayan an: So, look this industry when we say Production Animals , this is meant essentially there is cattle,
which is Bovine cattle ; and then there is Swine , and of course there are also other production
animals which are used for food like poultry . And with companion animals of course it tends to
be the typical pet like dogs and cats. Beyond that we are not more sophisticated than that, I mean
if we just leave at that Production

Animals and Companion Animals.
Darshat Shah : So, my naturally extension to that question will be so what will be our geographical mix in terms
of are we also going to focus on country such as Argentina, or Mexico or developed market such
as China or even Australia because they also have a large bovine cattle , USA . So, how is that, is
there something t hat is in plans for the company?
Rajaram Narayan an: We will probably come back to this at the end, if we have some time. I will take the question at
the end.
Moderator : The next question is from the line of Nikhil Shetty from Nuvama Wealth Research. Please go
ahead.
Nikhil Shetty : Can you provide some clarity on capacity utilization levels in API business and how
Albendazole is doing ?
Sharat Narasapur : So, the capacity utilization has been about 70%-75%, its hovering around that. While you will
notice that the volumes have picked up in some of the deworming molecules ; however , there is
a pricing pressure , because of the reasons which Raja already elaborated .
Coming to Albendazole, yes, it's the same story, volumes are not as high as they used to be
because of muted demand in Europe , otherwise the key businesses which are there in
Albendazole remain intact .
Rajaram Narayan an: On the capacity front just to add, I think there are two p arts, one is of course we are at 7 5%
capacity. Also, some of the initiatives which we have done in Project Pragati, which is really on
manufacturing excellence as well, that itself also has helped us to ensure that th ere is adequate
capacity available for our products, for both this going ahead.

Nikhil Shetty: And I understand currently our focus is on cost and margin improvements, and you also provided
guidance on the same for '24-25. It would be great if you could give us a sense on revenue
growth for '24-25 as well because I believe targeted margin cannot be achieved so lely based on
the cost control measures.
Rajaram Narayanan: We have given you some indications earlier, but I think at this point of time it's very clear that
this margin growth is a state we want to reach and quickly and then begin to accelerate our top -
line growth as well. So, that we are able to actually get the leverage from it because that's when
there is a real benefit. But I think to a bit more clearer guidance on the top -line growth, we will
probably give it to you next quarter as we sort of play out the entire market scenario, but suffice
to say that what we had said earlier that our ideal situation would be that we would be in double
digit, early double digit top -line which is low teens in t op-line and moving towards mid to high
teams, in bottom line growth, that's really the structure that we would try to reach in the next
two to three years.
Nikhil Shetty : And lastly if you can help us to understand overall how much cost we can save o n an annual
basis from th ese cost optimization measures we have taken?
Rajaram Narayanan: I wouldn't want to guide specifically on that, I am sure that when you would see the results of
the forward quarter, we will then be able to annualize it and then make that estimate. At this
point of time I can't give you that specific.
Nikhil Shetty : So, does this quarter include major portion o r it will reflect in Q4?
Saurav Bhala: So, Nikhi l this quarter has just started showing the benefits which is not a major reflection, the
benefit majorly will start reflecting from Q4 onwards. Q3 will see that improving for the current
quarter, but the major benefit, one part of it will start from Q4 and onwards. So, Q4 is when you
should look at it more closely .
Moderator : Thank you so much. The next question is from the line of Vishal Manchanda from Systematix.
Please go ahead.
Vishal Manchanda : A question on the API business, could you share if we are exploring any CMO opportunities
th

ere and what's the status of th e CMO contract we had earlier got from a global innovator?
Rajaram Narayanan: Yes, CMO continues to be a key focus. The important thing is that we do have a couple of
contracts which we have spoken about earlier. Some of these are taking a little longer to
commercialize. So, we should beg in to get some benefit from this towards the end of this year
and then of course towards next year from a commercialization opportunity on the contracts that
we spoke to you earlier about.

And of course there are other conversations which are also on and we see ourselves becoming more and more attractive as a company where large sort of global players are keen on partnering

with us for this, because with the recertification of a US FDA status, we definitely would be amongst the few fully dedicated, veterinary API companies around. And with the increasing need of companies across the world to diversify th e supply footprint and move towards India that's something that we see as an emerging opportunity , but those things will take some time to play out next year.

Vishal Manchanda : So, we have been in a range in the API business say around Rs. 90 crores ballpark per quarter. So, any timelines when we expect to kind of breakout of this range and maybe do in excess of Rs. 100 crores per quarter and then build on from there?

Rajaram Narayanan: Certainly , you know next year we are looking and as we begin to start from Quarter 4 itself, we should look more at averaging at the three digits mark, at least on an annualize d basis. And that's what we should look at the first sort of destination for us. And then when some of these CMO partnerships fructify we should see the next acceleration happening after a year.

Vishal Manchanda: And do we need capacity expansion next year or the year after?

Rajaram Narayanan: Certainly, for next year we do not see any need for capacity expansion because we have managed thanks for some of the work which we have done to debottleneck some of our operation s to makes sure there is capacity available. Of course, when you get a very large CMO contract you will begin to look at some capacity expansion and of course also when three or four of our new products begin to commercialize and get scale that's when we will need some capacity expansion , but not for next year.

Vishal Manchanda : And just one on Turkey, so this used to be a quiet a profitable business for you at a point in time, is it still profitable after the price increase ? And is this at the same level that it used to be earlier?

Rajaram Narayanan : We are beginning to reach closer to the level at which we were. And I think on a steady state basis, this business will be closer to the profitability that it used to be. Certainly in the constant currency term it is , the question really it to make sure that when it is translated in our currency then it becomes profitable and that's what the current efforts are. Because it's not just about pricing it's also about hedging for foreign exchange and making sure we are launching new products. But we expect it to come back to the kind of levels by next quarter. It's already actually beginning to come closer to that, but make sure it's the steady state it should be in the one or two quarters.

Vishal Manchanda : So, there might be geographies which are currently a candidate of turnaround in terms of they maybe loss making , so any opportunities that you see eminently within your portfolio that you can turn them around into good profitable businesses?

Rajaram Narayanan: I think we are generally most markets we have been, profitable, it's just that in some markets we lost profitability, it's not that we were having losses in any of those markets, but we lost some profitability in Europe that 's more or less come back to the original levels. Turkey should c

ome

back to the original levels. So, we have to keep an eye on Brazil of course because at this point of time, that's the market which is important for us and we need to hold on to our performance there, but I don't see any big turnaround issue, but I think the bigger opportunity there is tha t now that we have settled to a new level of margins how do we accelerate our top -line and get the leverage , so our focus ahead is really going to get our top -line given that we would have reached a reasonable steady sta te of margins by the end of this year.

Moderator : Thank you. The next question is from the line of Mr. Nakul Joshi from Winshine Financials. Please go ahead.

Nakul Joshi : I have a couple of quest ions, starting with the revenue, EBITDA margins guidance for H2 and the full year. So, what would be our margin guidance as our margins have fluctuated quite a bit in the past.

Rajaram Narayanan: So, look we have given a sense that we should exit the year at double digit of margins and that's the guidance more or less we are holding onto . I think what it give s us is the confidence that we have in that direction. And that's at this point of time the only thing I can tell you about this year.

As far as revenue is concerned, as I said, it's a bit more complex for us right now , because there is a continuing business revenue which is really if you remove some of the restructuring which we have done, that is for growing at a much higher rate. And then if you net it off with some of the businesses that we have decided to close, the revenue will come down to low single digits. So, the revenue I expect will be more like a low single digit this year, because of the

restructuring , but going ahead on a continuing basis, because we would largely be left with the
retail profitable business, we should expect this piece of it to accelerate. But as I said this is
something that in the past also, we have indicated that over a three -year period we would like to
be in the early teens as far as the top -line growth is concerned, and in the late teens as far as
margin is concerned.
Nakul Joshi : And going forward, how do we see our debt position, are we comfortable with the current leve ls
of debt or are we looking for any restructuring?
Saurav Bhala : Yes, so Nakul currently our gross debt to equity is at 0.61 and our net debt to equity ratio is at
0.53. We would say we are okay with this, but our focus is on reduc ing that and we are looking
at various options to bring it to a lower level. We hope that in coming quarters we will work on
that direction and in taking th ese levels down .
Rajaram Narayanan: But generally , just to build on what Saurav is saying, I think we are fairly clear on where we
stand right now with our debt situation and our actions are to make sure that we are always
comfortable on this front.

Saurav Bhala : Yes, that’s a priority.
Moderator : Thank you so much. The last question is from the line of Ms. Saloni Shah from SK Investors.
Please go ahead.
Saloni Shah : I just have one question, what are the implications of US FDA in context to the API business ,
could you just throw some light on that?
Sharat Narasapur : So, this is, see we have been inspected twice earlier and this was the third one. This was a routine
GMP in spection . And in order to make sure that the firm is maintain ing the GMP standards and
is fit to sell it s goods in U.S. this ins pection was conducted. And that gives a tremendous amount
of confidence to customers that we are there in the business and it also opens up new
opportunities since the track record has been really good.
Rajaram Narayanan: Doing it for three consecutive sort of inspections I think this will give much more confidence to
our customers that especially the customers who ar

e looking for new projects and opportunities ,
because they would like to work with organizations where there is a continuity of supply and
quality. So, I think such kind of opportunity which we will unlock going ahead on this .
Moderator : Thank you so much. I would now like to hand the conference over to the Management for closing
comments.
Rajaram Narayanan : Thank you very much to all of you who have attended this. And wish you all a very Happy
Diwali from all of us at SeQuent. Thank you for staying with us and look forward to meeting
you next quarter at the same Investor call.
Moderator : Thank you. On behalf of SeQuent Scientific Limited that concludes this conference. Thank you
for joining us. You may now disconnect your lines.

Call: Feb 2024

Proven Ability In Life Sciences

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February 2 2, 202 4

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Subject: Intimation under Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Earnings Call Transcript for the quarter and nine months ended December 31, 202 3

Dear Sir/ Madam,

Pursuant to Regulation 30 (6) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the Earnings Call Transcript pertaining to the Unaudited Financial Results of the Company for the quarter and nine months ended December 31, 202 3.

The same is also availab le on the Company's website a t https://sequent.in/pdf/financial/2023 -2024/Sequent%20Scientific -Earnings -Feb15 -2024.pdf

Kindly take the same on your record.

Yours faithfully,
For Sequent Scientific Limited

Phillip Trott
Company Secretary & Compliance Officer
Membership No. F -7403

"Sequent Scientific Limited
Q3 FY 20 24 Earnings Conference Call "
February 15, 202 4

MANAGEMENT : MR. RAJARAM NARAYANAN – MANAGING DIRECTOR –
SEQUENT SCIENTIFIC LIMITED
MR. SAURAV BHALA - CHIEF FINANCIAL OFFICER –
SEQUENT SCIENTIFIC LIMITED
MR. ABHISHEK SINGHAL – HEAD OF INVESTOR
RELATIONS – SEQUENT SCIENTIFIC LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to SeQuent Scientific Limited Q3 F Y '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on a touch -tone phone . Please note that thi s conference is being recorded.

I now hand the conference over to Mr. Abhishek. Thank you, and over to you, sir.

Abhishek Singhal: Thank you, Ria. A very good afternoon, and thank you for joining us today for SeQuent Scientific's Earnings Conference Call for the Third Quarter and 9 months ended financial year 2024.

Today, we have with us Mr. Rajaram Narayanan, SeQuent's Managing Director; and Mr. Saurav Bhala, CFO, to share the highlights of the business and financials for the quarter. I hope you've gone through our results release and the quarterly investor presenta tion, which have been uploaded on our website as well as stock exchange website. The transcript for this call will be available in a week's time on the company's website.

Please note that today's discussion may be forward -looking in nature and must be viewed in relation to the risks pertaining to our business. After the end of this call, in case you have any further questions, please feel free to reach out the Investor Rela tions team.

I now hand over the call to Mr. Rajaram to make the opening comments.

Rajaram Narayanan: Thank you, Abhishek. Good afternoon, everyone, and a very warm welcome to everyone on the call for the quarter 3 and 9 -month earnings for the financial year '23 -24. This is the first call of the new year, and I wish you all a very happy new year and a good start to 2024. Joining me on this call is Mr. Saurav Bhala, our Chief Financial Officer.

Now moving on to the performance of this quarter. Over the last few earnings calls, I have emphasized how we have been undertaking multiple initiatives towards making our business more competitive. I am pleased to share that many of those initiatives, part icularly around improving profitability, have now begun to reflect in our financials.

Over the last few calls, I had indicated that we were working towards exiting the year with a double -digit EBITDA margin pre -ESOP costs. and I'm really pleased to share that we continue to improve our margin and the EBITDA margin pre -ESOP costs for this quarter stood at 9.2%. So EBITDA pre -ESOP costs also grew 15% sequentially and 9% on a year -on-year basis for the quarter.

So on the revenue side, however, we've been focusing on building a quality business with high - quality customers and a strong sustainable portfolio. Adjusting for the discontinued operations in Europe and the currency depreciation in Turkey, our sales have grown 1.3% on a quarter -on- quarter basis, if you translate to INR terms, and 2.5% on a constant currency basis. So with now most of the restructuring behind us, we feel confident that the business is ready for acceleration .

Before getting into more specifics on our performance, I would also like to touch upon the macro environment, which is relevant to us as we operate in multiple markets. In most countries, inflation continues to be a worry. And the recent geopolitical events have also made most businesses cautious. And at the same time, we are also seeing central banks and the economic industry intervening very aggressively to stimulate demand. We believe that at such time, companies like ours will have the opportunity to leverage our strong front -end presence and create even a more stronger competitive position in these markets.

As I explained earlier, our industry is in 2 distinct segments. There

are medicines for production
animals and medicines for companion animals. Over the last few years, the production animal business globally was impacted by high feed costs due to issues r elating to water and farm productivity. And this, in turn, impacted the demand for medicines.

On the other hand, the demand for companion animal medicines have remained intact and are growing now as pet adoption, incidence of diseases and lifespan of pets is increasing. We are the leading animal health company from India with a presence across over 100 countries in both regulated and less regulated markets.

Our business is a combination of strength, our formulation business with a front -end presence in key growing animal health markets of the world and supported by a strong API back -end with an established USFDA -approved API facility, supplying primarily anim al health APIs.

We have a unique platform in that sense. We believe that our back -end API ops will give us a good base to help us capture the growing and emerging opportunities, which are there in formulation; at the same time, help us supply to some of the largest custom ers independently while customizing for their requirements.

As mentioned in the last couple of calls, we have taken some decisive structural actions for long -term competitiveness on the back end of our API side as well as the formulation side. We believe that from here on, using a combination of both organic and in organic opportunities, we will continue to have a unique play into some of the largest markets, adding value to all our stakeholders.

While Saurav will talk in more detail on the quarter 3 and 9 -month financials, I'll share with you some highlights of the overall results. Our overall revenues in the quarter came in lower, declining by 5% sequentially and 12% year -on-year. Our formulation business, post the Turkey hyperinflation adjustment, declined 1% sequentially and 3% year -on-year. However, these metrics do not consider the impact of some of the divestments and discontinuation that we have done of our loss -making unprofitable units as well as the adverse translation impact in the currency in Turkey.

So adjusted for this, our total revenues actually grew sequentially 2.5% over quarter 2 FY '24 in constant currency. In some areas, our performance has really picked up. For example, in the performance of our European operations, the sequential growth is a t 6.5% and year -on-year performance at 20 -plus percent demonstrating the impact of the strategic actions that we

undertook a few years ago like the discontinuation of loss -making operations in Germany and also some smaller sales units elsewhere in Europe.

Demand has been driven by a sharper focus on more attractive and high -growth segments such as gut health, where we are now expanding to many global markets. Operating efficiencies, combined with a considerably stable product mix, have aided our margins in Europe, and this is reflected in the quarter's financial results. With this, we have reason to believe that the next leg of growth in our European operations is underway. In Turkey, the inflation has remained at elevated levels and currency devaluation ha s continued, although at a more predictable rate.

I'm pleased to share that the decisive price actions we took in June last year have continued to yield positive results, reflecting in this quarter's performance. Turkey is one of the leading markets in the world for animal health, where we are among the t op 3 players in the ruminant segment, and we are committed towards strengthening our position.

Turkey is now accelerating new launches and exports. Recently, we launched Tulaject, a generic of injectable tulathromycin in Turkey, and we would be building our portfolio with more launches in the coming year. The India formulation business recently laun ched

3 new brands
from our international portfolio. As I mentioned earlier, India is a priority growth market for us, and we continue to remain excited by the prospects.

In terms of quarter 3, '24 specifically, this was a weaker quarter due to the supply disruption in the availability of one important product, which we distribute, but we expect this to be resolved in the coming quarters as distribution gets restored.

Coming to our API business. We are focusing on quality business and decreasing low -value commodity operations while building competitiveness for long -term customers. We are seeing promising results from the implementation of Project Pragati, a comprehensiv e cost improvement and commercial excellence program. This has been our second consecutive year of healthy margin expansion in the API segment and we are positive about this program continuing to yield results wel l into the coming few quarters.

On the demand side, we are seeing customer interest increase in some parts of our portfolio. And in quarter 3, however, the orders were a little muted as for some of the products which we sell to our regulated market customers, the requirements have been p ostponed from quarter 3 to the current quarter 4. While our revenue performance during quarter 3 was muted, we have seen a marked improvement in gross margin and have visibility towards a much stronger quarter 4.

Before I hand over to Saurav, there are 3 areas I would like to emphasize. The first is growth. Some of our efforts on cost optimization and reshaping of the organization over the last few quarters are now providing us with a very stable, profitable platfo rm to pursue growth opportunities.
These are signs that the demand is improving, and we are confident of our position to benefit from this recovery. We are excited about the growth prospects in our key markets and will continue to focus on growth.

The second important aspect is that of profitability. We are progressing well on our plans to deliver profitability improvement and expect further benefits to accrue with the pickup of demand as well and also the sort of cost optimization initiatives that have been set into motion internally.
During this quarter, our EBITDA margins pre -ESOP costs have expanded by 160 bps quarter - on-quarter to 9.2% and 180 bps year -on-year. We expect to exit the current financial year at double -digit EBITDA margins. On the M&A front, we believe that this is an exciting time to be in the front -end animal health sector as protein consumption in emerging markets is taking off, along with increasing focus on companion animal care.
M&A plays into some of these areas is a key part of our strategy, but it also rests on our API backing capability. One of the most important competitive advantages we see in such a situation will be in the scale of operations. We are seeing new pharma players lined for multiyear upstream opportunities with some API customers.
And in order to participate more meaningfully in the large and attractive opportunity in the animal health care sector and strengthening our position as a truly integrated global admiral health platform, we are looking to further augment our R&D and backwa rd integration capabilities on the API side as well in a way that allows us to move more upstream in the customer value chain.
I now hand over to Saurav Bhala, our CFO, for more details on the financial performance. Thank you. Over to you, Saurav.
Saurav Bhala: Thank you, Raja. Good afternoon, everyone. It's my pleasure to be here today and share insights into the consolidated financial performance of our company. I'll start with Q3 highlights. Our total revenue and EBITDA pre -ESOP cost for the quarter stands at INR3,294 million and INR302 million, respectively.
Formulation business contributed INR2,510 million to the top line

with a growth of 5.3%
quarter -on-quarter and 25% Y -o-Y in constant currency terms. We have seen continuous growth in our European operations, driven by strategic actions focused on portfolio reshaping. Europe clocked a revenue of INR1,269 million, which is a growth of 6.8% quarter -on-quarter and 13.3% Y-o-Y in constant currency terms.
India formulation business clocked a revenue of INR278 million, which is a growth of 1.7% quarter -on-quarter basis. We faced some headwinds in our emerging market operations, which is primarily due to U.S. dollar availability in those markets and which led to some volume loss and our tender business in Bra zil operations also was impacted slightly.
Overall, the emerging market has a growth of 4.6% quarter -on-quarter in constant currency terms. The API business revenue for Q3 financial year '24 is INR690 million, against INR804 million of Q3 financial year '23, which is last year. This is primarily because many of our orders in Q3 current year have shifted to Q4. And whereas in last year, quarter 3 was one of the strongest quarters. So it is just a shift in the quarter. Overa ll, gross margins have improved by 310 basis points Y -o-Y from 42.1% in Q3 fi nancial year '23 to 45.2% in Q3 financial year '24. The

improvements here are driven by various focused strategic actions, improving the sales mix optimization and a very well -executed price increase across various geographies.
Operating cost optimization is one of the key focus area as Raja has already highlighted, and in that through our focused initiatives for optimizing the cost and as well as enhancing the operational efficiency, we have successfully achieved a notable reduction in our operating expenses of INR116 million Y -o-Y, which is now at so which was at INR1,302 million in Q3 financial year '23 to INR1,186 million in Q3 financial year '24.
EBITDA improvements. So mix of above measures have resulted in significant improvement in our EBITDA margins by 180 basis points on a Y -o-Y basis, which has moved from 7.4% in Q3 financial year '23 to 9.2% in Q3 financial year '24.
Moving on to YTD performance highlights. Our total revenue and EBITDA pre -ESOP costs for

the quarter is at INR10,085 million and INR658 million, respectively. Our formulation business contributed INR7,520 million and API business contributed INR2,301 million to the revenue. Overall, EBITDA has improved by 50 basis points from 6% YTD '23 to 6.5% YTD financial year '24. Also, I would like to comment on few line items for better clarity of all. So in the exceptional item during the quarter, company has accounted for exceptional gain of INR54 million on account of monetization of various assets in our Germany operations, which is going under a restructuring and an exceptional loss of about INR26 million due to a cyber incident, which happened at one of our subsidiaries in Sweden. Other income during the company includes a gain of INR22.98 million on transfer of leasehold rights on our Ambernath land in India.
Net monetary loss on hyperinflation economy continues and the same is on account of hyperinflation -related impact as required by Ind AS 29 for our Turkey operations, which is currently a hyperinflation economy. Exchange loss is primarily on account of Turk ish lira depreciation against USD. Again, primarily because of being a hyperinflation economy, the fall is pretty significant.
Those were the highlights. I thank you all for your support. And I request for the forum to be open now for the Q&A. Thank you.
Moderator: Thank you very much. First question is fro m the line of Divyanshi Davi , an individual investor. Please go ahead.
Divyanshi Davi: So my first question is on the margin side. Your margins seem to have improved sequentially to 9%. So what are the contributing factors behind the same? And do you see s

ome improvement?
I mean, do you see this improvement to be sustainable? And what's the margin improvement on the API or the formulation side?
Saurav Bhala: Okay. I'll take that. The margin improvement, as I explained in my opening remarks also, is because of combination of factors starting from our sales mix optimization, which is focused towards high -margin products across geographies followed by various CIP initiatives which we have initiated in our API operation, which is also leading to the margin improvements that is at

gross margin level. And below that, if you see, we have also focused on our overall opex cost optimization. So there is a significant reduction in our opex due to those efforts.
So all this cumulative is making our margin go up. And we believe the current level of margin is sustainable. And we have always been guiding and then also mentioned by Raja earlier in the call, we are looking at ending at double -digit margin towards the y ear-end. Thank you.
Rajaram Narayanan: I must add over here, the important part to know is that strategically, we are improving the quality of our business, whether it's in terms of API or whether it's in formulations, which really means focusing on high -value customers, high -value products and those which have a more sustainable road map ahead and opting out of wherever possible commodity kind of operations, which tend to put a lot more variability in the business and do not necessarily always stay to our strength. So we will see a quality of business improvement as being the primary driver of margin. Apart from of course the very intensive competitiveness program and cost as well as operations. Yes, thank you.
Divyanshi Davi: Okay. And sir, just a follow -up question. So what's the overall outlook on the revenue and EBITDA margin side for the next year? And so the m id-teen margin that was guided in the earlier calls, would we be able to achieve those?
Rajaram Narayanan: So I think what we have indicated earlier, we'll pretty much hold to that volume on the margin side. We had indicated that we would exit FY '24 more in the area of the double -digit margin. I think we are trending to that. As far as the next year is concern ed, we have said that as we move towards the next year, we would like to move more towards an outer side of mid -teens in terms of margins and higher -teens as we go forward for 2 to 3 years.
And that's ballpark the direction in which we are proceeding and our plans are on that line. As far as top line growth is concerned, I think it's going to be a combination of where we are going to different markets and different businesses. So we will see our continuing business, and that's important because we are also discarding some nonprofitable or low -margin businesses. I think as continuing business, we should begin to start moving from mid -single digits to early teens before the end of the year. Tha t's the kind of direction which will go.
Moderator: Next quest ion is from the line of Amar from Lucky Investments.
Amar: Sir, number one, you indicated that now you're talking about API as a backward integration for your formulation business. What I understand here is that currently, we don't have any formulation which basically source s API from our own manufacturing. So, if you can elaborate on that . Secondly, when you're guiding for the double -digit margin in the current year exit, this is pre -ESOP or post -ESOP? And thirdly, sir, on an absolute basis, including the discontinued operations, what kind of growth we are targeting for next year?

Rajaram Narayanan: So we'll do one question at a time. So as far as API is concerned, we are not designing for seeding in APIs into our formulation businesses. That's not how we've built the business. The opportunity is there for us as we begin to build the business going ah ea

d. We are seeing that there is some opportunity to both create formulations from our API businesses as well as supply APIs to our existing formulation entity. So this will increase. It's small at this point of time, but that is an

area of growth for us. And it will take some time for that to sort of materialize, but it's an important component of our strategy.

The second part of it, all our margins, which we've been talking on EBITDA basis is really we're talking about EBITDA pre -ESOP. That's a noncash component and ESOP is a part of our structure. And therefore, this guidance that we're giving you is always on EBITDA margins which are pre -ESOP.

And we have in the past indicated to you also on how we expect the ESOP costs to move over the next few years. On the last question on absolute growth including and nonincluding, I think for the immediate period ahead, we think the growth will be in more t han single digits. But with the pipeline that we have as well as some of the new launches that we have, I think on a 2 to 3 year framework, we should be looking at early teens to mid -teens kind of a top line growth, for sure.

Moderator: Next question is from the line of Bharat Sheth from Quest Investment Advisors Private Limited.

Bharat Sheth: Congratulation to you and your team for successfully turning around the business. Sir, if I put it, I mean, my question is in 2 parts. If we look at , I mean, we have done a lot of discontinued a lot of several business unprofitable and going more for formulation and more qualitatively we have improved, which is a high price and sustainable kind of a business model. So in that, are we really through wit h all this exercise or still there is some exercise that we expect to have some kind of an im pact, maybe 1 quarter, 2 quarter on the top line as well as the EBITDA side? If you can give some color on that?

Rajaram Narayanan: So thank you for this question. One always hopes that this is the end of it. As we see it, I think in the last 18 months, there have been several unexpected developments more on the macro level, if you look at it, what happened in Europe 2 years ago and wh at has happened in some markets like Turkey, etcetera .

And that has impacted both the formulation business where we have a front end and our customers who are there for API post-COVID. So I think the period of '22 -'23 has gone around with most markets and most customers coming to terms post -COVID as well as the kind of economic challenges that these countries have had.

And this is true for all industries and all businesses. And therefore, all companies have had to reshape their operations, and those who have a higher exposure to some of these geographies or some of these businesses have had to take more drastic action. A nd we have, therefore, had to take some of these changes because these are all sound businesses before many of these unexpected events happened.

And therefore, we will have to readjust our business to make sure that we take into account some of these changes. And therefore, I think that given our outlook and given the fact that we have made these specific adjustments, and we've taken fairly hard ca lls, I think we should not have any serious exceptional issue in the next 2 to 3 years, at least as we sort of see the current. And we've also made our business very strong and resilient. And that's why it's very important to

have quality business and quality customers and because we tend to hang on with you much longer, even when you have disruptions.

So if you have business or a part of your business, which is depending on commodity kind of cycles or rapidly responds to some kind of inflationary pressure impact, then you tend to get more impacted than something exceptional happens. And therefore,

I think we have now structured our business where we have a good p ortfolio.

We have got out of assets which might have been depleting our value in the company. And I think we have now a set of strong products and customers who are here in the long term to remain with us. So I expect a little sort of surprise coming in the next 1 t o 2 years, but we need some luck also along it, but we are well prepared for it.

Bharat Sheth: Sir, on the second side, is my understanding correct that you said in near term, maybe, say, 2, 3 quarters you'll grow in mid teens I mean single digit and after 2, 3 years, it will lead to early teen to mid -teen top line. And then the same thing in margins, maybe from next year onward early teen to then going to a mid -teen kind of next 3 years' timeframe. Is that a fair understanding ?

Rajaram Narayanan: No, I think we've been guiding as below, and I think it's important that we said that in FY '24, we will exit at double -digit margins. We said as we move towards the next 1 year, we expect to move closer to mid -teen margins and thereafter, we expect to go to high -teen margins. Okay? So that's the direction as far as margins are concerned.

As far as top line is concerned, I said that we've completed more or less the restructuring. I expect next year to be more in the single -digit top line growth. That's more because the arithmetic impact of what we are discontinuing or discontinuing next will play out a bit some part of next year. But thereafter, I expect it to be a mid -teen kind of a growth.

Bharat Sheth: May I ask our CFO to understand, see, what are we doing, I mean, to reduce the finance cost and depreciation will automatically come down as a percentage to sales once we start growing. But on this debt part, how we would like to play really?

Saurav Bhala: Sure. So on the debt part, since Raja explained how we have done a lot of restructuring. So various assets are getting monetized, which we are utilizing to optimize our debt structure to the best extent possible and while at the same time, investing around business growth. Also debt level is correlated to the kind of business growth we are foreseeing and that is how it will be correlated going forward as well also.

On the depreciation part, I think most of our capex has been done, and we are pretty ready with that. So depreciation, I don't see much of increase happening soon. There will be some maintenance capex to optimize and do some backward integration. So depreciation should be pretty on the same line or maybe a slight increase.

Bharat Sheth: So finance costs will keep on coming down or it will remain at this level, I mean?

Saurav Bhala: That depends on the overall guidance given or the rate movements by RBI, which is also dependent on the global factors. We all are hoping starting second half of the financial year, we should get some respite. So it is kind of dependent on that as well.

Bharat Sheth: Sir, but my question is reduction on the debt can also bring down . So for reduction of the debt, what exactly are we doing? You said after discontinuing Tarapur plant, are we handing of f that asset? Or we will continue to hold the land parcel the way it is? And so what other asset that we have, which is the noncore and we may bring down the debt apart from bringing it down from the generating the profit of the company.

Saurav Bhala: No, sure. So I think I have explained that, but let me repeat that. So wherever we are seeing a noncore asset, which can be monetized, we are monetizing those assets. And that is being used either to trim down the debt, if possible, or to fund our operation, not to increase the debt at least. So either ways, the debt level is getting managed. If we d on't repay, but we don't add on to the debt that itself is a kind of optimization of the debt level.

Rajaram Narayanan

: And I think it's also that with the kind of growth that we have seen, both in our margins and therefore, in absolute EBITDA and top line, we expect that we will be very, very prudent with any of the ratios which are there. And therefore, we don't expect th at to move off. In fact, over a period of time, it will come down.

Bharat Sheth: Okay. And sir, last question on our presentation, what we offer API, formulations, and last piece is analytical services. So what exactly that suggests? And are we already doing some kind of services?

Rajaram Narayanan: No, so we have a subsidiary, which is called SeQuent Research Limited. Now because it's an independent, fully owned subsidiary, it provides testing and analysis services both in -house to our own business as well as to some other customers outside. So it's listed as a separate line item, it is not a strategic area for us. It is an in -house company which supplies services to our own business.

Moderator: Next question is from the line of Sachin Kasera from Svan Investments.

Sachin Kasera: Congrats on improved numbers. A couple of things I just wanted to say. One on the capex side. What are the type of capex plans we are having for the financial year '25? Any broad estimates that we are having?

Rajaram Narayanan: Do you have any other questions or that's the only one?

Sachin Kasera: I have 2, 3. I just thought I'd take up one by one.

Rajaram Narayanan: So can you put all the questions together, then we can just put them together?

Sachin Kasera: Sure. Second was in terms of the fact that you indicated that now that we are more or less done with the restructuring, every year, we'll see both improvement in terms of margin as well as the rate of growth. So does it mean that we should be able to repay some of our debt?

And finally, in terms of what are the values you share some aspirations in terms of revenue growth and margins? How about the return on capital, which is the most important parameter to the health of the business? Right now, obviously, because of the spreads and the restructuring, we are in the negative terrain. B ut what is the aspiration there over 2, 3 years period?
Rajaram Narayanan: So maybe I'll just go to the second piece of it, which is on margin. I think we've already margin and we have already indicated before, we are looking at ending this year in double digit. We will move more towards mid -teens by next year, and then the idea is that we should be moving towards high teens in EBITDA margins in the following years.
As far as revenue growth is concerned, we will still have some legacy, I would say, financials in next year. So we expect it to be in single -digit growth as far as top line is concerned. But thereafter this business is clearly set for mid -teen double -digit growth from the following year.
Sachin Kasera: That was not my question. My question was that if I understand that you indicated improving margins and improving growth, so does that mean that the free cash flow from operations will go up and we should be able to repay some of the debt or we have a high capex plan?
Rajaram Narayanan: Yes, I'll come to the second question. On capex , generally, we do not have any out -of-the-ordinary plan. We have our certain capacities, which are enough to meet what are immediate requirements. Though as I have indicated also that the place where we are looking for is in the area of back -end intermedi ate capacities, etcetera , as there are opportunities. But we expect, obviously, an improvement in the cash flow situation available after that.
So there's no extraordinary capex expected. Most of the increase in earnings should help us improve both from a debt side as well as improve our cash flow, yes? Obviously, like Saurav said, as we begin to dispose of some of the assets, those will be utilized both for

retiring some of the debt that we may have, if required, and at the same time also funding any of our existing operations. So we don't see any significant capex requirement which is coming up over here.
Saurav, do you want to add anything?
Saurav Bhala: No, I think you have provided everything. So on the debt, I think the question Raja has already explained, but debt again, so our working capital requirement will go up once we increase our business size. So that will always be a combination of the busines s growth. So we are very conscious of our debt level, and there is internal benchmark we have on our debt equity levels.
We monetize it very, very closely. And only depending on the business requirement, we will fine-tune it. So we'll do the best required on that area, be assured of that.
Sachin Kasera: Yes. But just to take it a little further. If I see our working capital is slightly close around 110 to 115 days. And from the type of growth that you are indicating, the incremental requirement there should not be more than like INR40 crores, INR50 crores according to me. And hence, this question , because see, our debt levels are currently fairly high for the EBITDA that we are generating? And hence, that is one of the key things investors are looking forward to that if we can reduce our abs olute debt and you could give some indication on that front either in terms of debt-to-EBITDA targets that you are having or in terms of debt to equity, that would provide us

some more comfort on the balance sheet strength and our ability to see through some of the , maybe in case any stress that comes in the economy.
Saurav Bhala: Yes, sure. Sure.
Rajaram Narayanan: I think that we can take that in a one -on-one separately, we will be able to give you better answer.
Saurav Bhala: Yes. Yes, that would be better.
Sachin Kasera: Yes. And my other question was on the return on capital employed or return on equity. Are we having any on aspirations on that front apart from the improvement in growth and margins that you have indicated?
Saurav Bhala: Surely, that will improve. So, as we explained also in last few quarters, the entire thing is to improve our efficiency and EBITDA going up. If the EBITDA starts going up, which we are seeing in last 2 quarters, and we believe it will further continue, EBITDA going up will automaticall y drive all the parameters, including ROCE, ROE, etcetera .
Sachin Kasera: Okay. And just one question in terms of you have also mentioned about inorganic opportunities. So what is the type of opportunities you are pursuing in terms of some indication on size like small opportunity, there could be a little larger ones and how wil l we fund it considering that our debt levels are fairly high? In that case, you may look in terms of raising some equity? Or how do you plan to fund that? Are we are comfortable even getting up some more or do we have some noncore assets th at we can monetize for acquisition? If you could give some insights on that?
Rajaram Narayanan: So first on the kind of assets we are looking at. There are only 2 areas which interest us. One is anything which is in the companion animal side, if it's something which we can bolt on. That's an area we're of course doing organically as well, but that's one area which we could be interested

in the formulation side.
And on the API side, we certainly will look for any asset which helps us augment our portfolio or gives us a step jump in our R&D capability as well as any backward integration, which makes us more competitive, right? That's really the 2 core things.
We're not really looking for product supplementation only. We're looking primarily to look at where there can be a real step -up or which gives us an advantage in terms of time to market, etcetera, in term s of either R&D or in terms of cost improvemen

t through backward integration on API.
So that's really from the kind of assets we're looking at and in terms of the size, well, I think it's very clear, we are not going to leverage ourselves to beyond what we are currently at in order to do this, yes?
And so that brings us to the third question of where will raise funds. I think we have a strong belief from our principal shareholders as well as other companies who are interested in our success. And we believe that if required, we'll be able to raise any kind of capital, which is

required for that. But we're certainly not looking at leveraging ourselves unreasonably to fund any acquisition.
Moderator: The next question is from the line of VP Rajesh from Banyan Capital Advisors.
VP Rajesh: Sir, I have 2 questions. One is on your revenue guidance. Will that growth be primarily coming from the current business? Or you are expecting in that guidance from acquisition that you have been elaborating about?
And the second question is regarding the gross margin. So we have shown a significant improvement year -over-year. So when you talk about your EBITDA margin improving, is it going to be a factor of gross margin improvement? Or is it purely the operating lev erage that will come about from revenue?
Rajaram Narayanan: Thanks. I'll leave the margin question to Saurav. But I'll answer the first one, which is on growth.
So the guidance that we are giving is most of the growth we are expecting from existing businesses We expect a lot of the work which we have currently done to actually flow into revenue growth towards the end of next year. And therefore, going ahead that should get us into the kind of growth level, which I have indicated, but that will be from I mean I e xpect it to be designed around our c urrent business. It's not designed around any kind of M&A.
M&A is not really only for growth. It's also, as I said, it needs to be strategic, it needs to give us R&D capability, it needs to give a backward integration capability. So immediately, we are not sort of jumping into M&A just because we want to add somet hing to top line. The top line growth will come more from existing businesses. On margin, on gross margin and how it flows through, I think, Saurav can elaborate.
Saurav Bhala: Sure. On the margin, it will be a combination of various factors. Obviously, our gross margin will improve because , as Raja has already explained much in detail about the strategic restructuring of our portfolio, there are various price increases which we are taking proactively and also reshaping the overall portfolio to improve our margin profile.
Second is on the various CIP projects which we are driving, which helps us reduce our RM cost overall. So because of these 2 factors, our gross margin is improving and we believe it should continue in the current trend. We see some more improvements coming up in the next few quarters.
On the operating expense part, we have been very conscious to control the opex overall. And if you have compared or seen our financials, it is going down quarter -on-quarter. So now we have a base reduction in the opex , and we want to maintain that. So opex will also contribute its part.
Overall, on EBITDA level, it will be a mix of both. There will be increase in gross margins, and there will be optimization of opex . So both will drive the EBITDA margin up.
VP Rajesh: Understood. Saurav, if I may quickly ask a follow -up. Any guidance around the gross margin?
From 45% today, where do you think it can go to the next 2, 3 years?

Saurav Bhala: See, the exact quantification will be difficult, but we can see 150 basis points increase in the next couple of quarters minimum. And then after that, we'll see it will further improve. But th

e
improvement would be consistent in the next few quarters.
Moderator: Next question is from the line of Kaustav Bubna from BMSPL Capital.
Kaustav Bubna: So just wanted to understand what your outlook is on the Turkey market? And is there any way

we are thinking of protecting our business in this market from the currency volatility?
Rajaram Narayanan: So thank you for asking this question. I think Turkey has been through a lot of challenges economically : one, because of inflation and two, because of surging direction of economic policy, which did not help as far as the currency is concerned in the current inflation setup.
What we've seen on the economic side is that the government certainly has brought in completely sort of more conventional approach to managing the economics. And therefore, we are seeing higher interest rates. We're seeing a bit more steadying at the rate of devaluation.
And inflation, of course, is continuing to be high, and that's being managed now with higher interest rates, which is quite the opposite of what was being done 2 to 3 years ago. So the sense we have over there is that things are a bit more predictable. The y are on the higher side, but they are more predictable. It's a very large market for us as well as for the industry.
Therefore, we want to take actions which are going to help us strengthen our position, and be there for a longer time in terms of improving our competitiveness. We have done Q3 very quick and fairly aggressive actions on that. We have been fairly aggressiv e on pricing, which was something which earlier was not part of the way in which most companies did it.
So we are seeing that benefiting us. It is helping us to hold on both to our market share, but at the same time, it is also helping us counter the inflation level there. And because we are a strong company over there, we are, in fact, somewhat benefiting f rom it because some of the fringe players in the market are the ones who are actually closing down or moving out so our market share is strengthening.
The second, the government is also intervening in terms of including the demand side. So we saw for a couple of years, a reduction in cattle population in Turkey as farmers began to opt out of rearing cattle because of inflation, but the government has now stepped up and have started importing cattle into the country and to restimulate the availability of farm animals in the country.
And we hope to see some pickup going up there, and that should help our business. And the third and most important thing for us as a company is that we have a strong manufacturing footprint in Turkey.
We have a good brand over there. And we are stepping up using Turkey as an export base for the company. That helps us in 2 ways. One of course it helps us in revenue, it helps us in getting good business. But at the same time, it also helps us hedge naturally for the foreign exchange risk which is there.

So our exports from Turkey are getting stepped up. And we think that very soon, we will be able to offer a natural currency hedge for the import and export based on our operations there, and therefore, should be less exposed to issues like devaluation and be able to be stronger compared to other companies that are there in the business.
So overall, I think we will see still some volatility, and that's not because there'll be a translation of currency issues, which may be there for the short term. I think from a fundamental business viability as well as running the business in Turkey, I th ink the market is now getting to stabilize.
So we are very careful in everything that we do.
Kaustav Bubna: Thank you so much for this detailed response. Really appreciate it. Best of luck for your future performances and hope you keep this turnaround strong.
Rajaram Narayanan: Thank you.
Moderator: Ladies an

d gentlemen, in the interest of time, we will take last few questions. Next question is from the li ne of Jay Jain from Finnovat e Finan cial Services Private Limited.
Jay Jain: I have a couple of questions. First, What are your plans on the China front, which was one of the regions that the company was showing interest in post the Carlyle acquisition? Are we focusing on that right now? And the second one is, when are we expecting to do more filings in the U.S. on the formulation side? And is there any time line on them commercialization of those filings?
Rajaram Narayanan: So firstly, on the China front, I think a lot has changed. And on China, from a n API point of view, China is more a competitor for us at this point of time. There are, however, opportunities for us to be able to export certain APIs to China.
And it still remains as and when we have an opportunity, we will move into supplying there, but it's not a strategic thing for us because much has changed in the opportunity, which was over there in China for us right now. So it's not something that we wil l be discussing as we don't have it on top of our priorities in the next couple of years.
On the second part, on the U.S. formulation piece of it, we've completed the validation, etcetera from Germany. We then took a pause for it because we closed the plant. We still have that live on our project list. As I said earlier, we are looking at a couple of FDA preapproved CMOs, which we have shortlisted. And this is something that we will be cle arer in the next couple of

quarters once we have finalized our CMO in India.
And the completion of our dossiers, etcetera , is in progress, and we will be ready with the necessary tech packs, etcetera , which are ready for validation, I expect in the next quarter or so. But whether we will go all the way into filing formulations, etcetera , will be something that we see it within a couple of quarters, which is the project having been delayed even the market opportunity may be different now. And the approach to doing this may be very different after 6 months. So we'll probably give you clarity on it only after about 6 months.

Moderator: We will take the last question from the line of from Saurabh Patwa from Quest Investment Advisors Private Limited.
Saurabh Patwa: Sir, just 2 questions. One is, can you just help understand on this ESOP cost. How do you see trending it over the next 2, 3 years? And second question was if an investor wants to have a detailed discussion, have you started meeting investors apart from the call?
Rajaram Narayanan: So I'll answer the second piece of it, and Saurav will take on the one in the ESOP. Saurabh, you can always write to us. We meet investors. We regularly do these calls, and as any investor you can certainly write to us if you have any clarification either on our results or on any other point of view that you have in the company, and we will be more than happy to share with you on that. If you want any further interaction, then please write to our investor cell and we'll take it up immedia tely after that. On the ESOP piece, Saurav, maybe you can give a glimpse on the trend, etcetera .
Saurav Bhala: Sure. So on the ESOP, generally, in all the companies, the scheme is generally the cost is front ended. First few years are very high in terms of ESOP cost and then it starts going down. Same is the case with us. First few years, which have already passed was high in terms of. If you see this quarter itself, Q3 last year versus this year, we are almost kind of getting about 40% saving. I think that trend will continue. And next year onwards, it would be very normalized cost because most of the funded cost has already happened in the last 2 years. So you will see a reduction there also.
Moderator: Thank you. Ladies and gentlemen, that was the last question of t

he day. I now hand the
conference over to management for closing comments.
Rajaram Narayanan: Thank you very much for attending this call. And I think you would have noticed that we are progressing in the right direction in line with what we have indicated, which is keeping our margins sort of moving upwards steadily and also building the capabilit ies which we need for further growth and expansion, both on API as well as on formulation and then using that foundation for triggering growth in the coming 2 to 3 years. So we look forward to seeing you again next quarter with the resul ts. Thank you very much. And with that, we can close the call.
Saurav Bhala: Yes. Thank you. Thanks for your trust on us.
Moderator: Thank you. On behalf of SeQuent Scientific Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2024

Proven Ability In Life Sciences
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To,
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Dalal Street, Fort,
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Scrip code: 512529 Symbol: SEQUENT
Subject: Intimation under Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Earnings Call Transcript for the quarter and Year ended March 31, 202 4
Dear Sir / Madam,
Pursuant to Regulation 30(6) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the Earnings Call Transcript pertaining to the Audited Financial Results of the Company for the quarter and year ended March 31, 202 4.
The same is also available on the Company’s website at https://www.sequent.in/pdf/financial/2023-2024/Sequent-Earnings-16May-2024.pdf
Kindly take the same on your record.
Yours faithfully,
For Sequent Scientific Limited
Phillip Trott
Company Secretary & Compliance Officer
Membership No. F-7403

“Sequent Scientific Limited
Q4 FY 20 24 Earnings Conference Call ”
May 16, 202 4

MANAGEMENT : MR. RAJARAM NARAYANAN – MANAGING DIRECTOR – SEQUENT SCIENTIFIC LIMITED
MR. SAURAV BHALA – CHIEF FINANCIAL OFFICER – SEQUENT SCIENTIFIC LIMITED
MR. ABHISHEK SINGHAL – HEAD OF INVESTOR RELATIONS – SEQUENT SCIENTIFIC LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the SeQuent Scientific Limited Q4 and FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Abhishek. Thank you, and over to you, sir.
Abhishek: Very good morning and thank you for joining us today for SeQuent Scientific's Earnings Conference Call for the Fourth Quarter and Full Year Ended Financial Year 2024. Today, we will have with us Rajaram, SeQuent's Managing Director; and Saurav, CFO, to share the highlights of the business and financials for the quarter.

I hope you've gone through our results release and the quarterly investor presentation, which have been uploaded on our website, as well as stock exchange website. The transcript of this call
will be available in a week's time on the company's website. Please note that today's discussion
may be forward -looking in nature and must be viewed in relation to the risks pertaining to our
business. After the end of this call, in case you have any further questions, please feel free to
reach out to Investor Relatio ns team.
I now hand over the call to Rajaram to make the opening comments.
Rajaram: Thank you, Abhishek. Good morning, everyone. A warm welcome to all of you on the call for
the quarter 4 and financial year '23/'24 Earnings Call. Joining me on this call is Mr. Saurav
Bhala, our Chief Financial Officer.
Before I move on to the performance for this quarter, I would like to extend my heartfelt thanks
to Mr. Sharat Narasapur, our former Joint Managing Director, who has moved on from his role
at SeQuent. His contributions to the company have been invaluable, and we thank him for his service. Sharat will, of course, continue on the Board of our subsidiary, Alivira Animal Health
Limited, as a Non -Executive Director. I also take the opportunity to welcome Mr. Vedprakash
as Executive Director on the Board of SeQu ent, responsible for API operations.
Coming to the performance for this quarter. I'm really pleased to share that we continue to
progress well on the transformation journey that we have embarked upon last year. In the last
couple of quarters, we have seen the results of our efforts reflect in the financial performance of
the company.
In quarter 4, our EBITDA pre -ESOP cost came in at INR 411 million, which is the highest in the
last 12 quarters. Our EBITDA margin pre -ESOP cost for the quarter stood at 11.4%, which is in
line, in fact, slightly ahead of our guidance and the target of exiting the year at double -digit
margins.
Even on the revenue side, if we adjust for some of the discontinued operations in Europe, and
the current currency accounting impact in Turkey, our sales for the quarter could be considered
to have been grown at 6% on a year -on-year basis in rupees terms and 11.4% year -on-year in
constant currency terms.

I would really like to take this opportunity to thank all our employees and teams across and our
partners who have worked really hard to make these results come alive for us and set us on the
path of growth. With several optimization initiatives implemente d over the last few quarters, we
are now confident of accelerating our efforts towards higher growth in the coming year.
The macro environment is very important for us as we operate in multiple markets. While there is some volatility on account of inflation and currency issues in some pockets, there has been
also some uptick in demand across the board. January to March typic ally se

e some seasonality
impact on a year -on basis, but we've seen encouraging results from our European business.
And in Turkey, where we are one of the leading formulation players, while the inflation remains at elevated levels of over 60%, the government in Turkey has taken several actions, including
rate hikes. While we see some early signs of a stable currency goi ng ahead, we would need to
remain very agile.
While Saurav will talk in detail on Q4 and full year financials, let me share some highlights of
our overall results and also give you a sense of the direction going ahead. Our overall revenues
in the quarter grew about 10% sequentially. On a year -on-year basis, the revenue declined by
1.5%, mainly on accounts of the higher base that we had in quarter 4, last year. And it also
includes some of the discontinued businesses in our base. However, adjusted for the impact of
discontinued business, as well as som e of the currency accounting adjustments in Turkey, our
quarter 4 revenues have grown by 6% year -on-year in reported terms and 11.4% in constant
currency.
Starting with the European operations, our conscious efforts to position ourselves towards higher
growth and higher -margin businesses, combined with improving demand sentiment and range -
bound inflation, we have delivered another strong quarter in Europe.
The January to March quarter typically see some seasonality impacts, but our European
operations have grown 7.9% on a year -on-year basis for the quarter. Our margins there, too,
have benefited from a favourable business mix and continue to expand. Our priority is now
firmly on driving growth in this market through further geographical expansion, innovative partnership arrangements and new product launches.
In Turkey, I'm pleased to share that the various decisive price and incentive actions that we have
taken since last year, both in June and in January, have yielded very positive results and are
reflecting in the quarter's performance. Turkey is one of the leading markets in the world for animal health. And we are committed towards not just maintaining, but also investing and
strengthening our presence there and gaining market share.

By leveraging our inherent strength in that market in terms of our field force strong competitive positioning, we continue to take proactive measures on further price intervention opportunities and cost optimization. Our priorities in Turkey for the upcomi ng quarters, is to drive higher volume growth as the demand situation starts to normalize. Our India formulations business has continued to do well on the product launches that we have had recently and the expansion that we have undertaken, evidenced by a 9% year -on-year growth that we delivered in quarter 4. This

is despite a short -term non -availability of a key distribution product, which we expect to be reintroduced soon.

During the quarter, we also launched 3 brands in the market, which aided revenue growth.

Eventually, like I said earlier, Jan to March tends to be a softer quarter due to seasonality.

However, as I have mentioned, India is a strategic market for us, and we continue to remain excited by its growth prospects. To that effect, we have initiated large-scale business expansion plan for the India formulations business, the results of which will be visible in the coming quarters. Our priority in India is to achieve greater scale through this expansion.

Coming to our API business. This has been a very strong quarter. In quarter 4, FY '24, we received and executed most of the regulated market orders that were expected and thereby resulting in a strong sequential growth of 39% and also a 2% year -on-year gro wth. I'm optimistic, looking at our current order book and our stable regulated market orders coming in through also allow us to be selective while participating in growth opportuniti

es in some of the more price-sensitive markets.

On the back of the various manufacturing and procurement, revamp initiatives we have implemented through the last few quarters, we continue to see a marked improvement in gross margins and expect to see the current trajectory to continue into quarter 1. More importantly, on the margin front, our API business stands to benefit from the annualization of savings of all the initiatives that we have implemented at various points last year.

Our priority for the upcoming year is to drive growth in the regulated market business through targeted engagements with our customers and also accelerate the backward integration of some of our front -end formulations using the API facilities that we have. We have, also, successfully completed audits from WHO and many other global customers. This will enhance our credibility as a preferred supplier.

Before I hand over to Saurav, there are three areas I'd like to emphasize. The first is growth.

Having completed the reshaping of our portfolio and discontinued some product lines in our formulation business, we have set the base for high growth and importantly, quality growth.

Our expansion plans have commenced in quarter 4 of the last financial year, especially in India, and this will help us accelerate the top line. Second, on profitability. We are pleased to deliver in line with what we had guided. And in quarter 4, we delive red on our margin commitment of exiting FY '24 at double -digit margins. This is, of course, attributable to various operational and cost excellent actions we have taken as well as a superior portfolio mix.

That said, we expect further benefits to accrue. And if the demand were to pick up as well, the next set of cost optimization initiatives, that we have set in to motion internally, will benefit us.

During the quarter, our EBITDA margin pre -ESOP cost have expanded by 220 bps quarter -on-quarter to 11.4% and 790 bps year -on-year.

The third is the area of business development and M&A. We believe that the animal health sector is in an exciting and dynamic phase as can be seen from some of the multiyear contracts that large global innovators are entering in with Indian as well as glob al players. On the companion

animal side, there is a growing focus on pet care and we are looking out for opportunities in our strategic markets such as India and Brazil.

On the API front the generalization and outsourcing of new drugs over the next few years combined with the need for innovators to diversify the supply chain creates an excellent growth opportunity for us to play into. And in order to capture these opportunities we would be looking to augment our capabilities to build a stronger R&D bas e and manufacturing competeveness.

I will now hand it over to Saurav for more details on the financial report.

Saurav Bhala: Thank you, Rajaram. Good morning, everyone. It's my pleasure to be here today and share some key insights into the financial performance of our company for quarter 4 and financial year 23 - 24 respectively.

Starting with quarter 4 financial year '24 highlights. Our total revenue and EBITDA pre -ESOP cost for the quart er stands at INR3,612 million and INR 411 million respectively. Formu lation

business contributed INR 2,476 million which is about 69% of the total sales. European operations delivered strong growth driven by our strategic actions focused on overall portfolio reshaping and despite price increases.
Europe clocked a revenue of INR 1,236 million. Emerging markets delivered a revenue of INR1,007 million and our Indian formulation busi ness delivered a revenue of INR 232 million. The API business contribute d INR 959 million whi ch is 27% of the top line in this quarter. I'm happy to share that our gross margin ha s improved by 660 basis points t hat is from 39.5% in quarte

r 4 financial year '23 to 46.1% in quarter 4 financial year '24.
This increase is driven by various strategic actions taken over the last quarters which includes sales mix optimization, various operational excellence initiatives and a very well executed price increase across geographies we operate in. Through focused initiatives aimed at optimizing our overall cost structure and which remains to be a key focus area for us has enhanced our operational efficiencies and also helped us successfully achieve a notable reduction in our overall operating expenses. Y-o -Y savings is about INR 65 milli on, that is from INR 1,321 million in quarter 4 financial year '23 to INR1,256 million in quarter 4 financial year '24.
The above measures have resulted in significant improvement in our EBITDA margins. Y -o-Y, the improvement is about 790 basis points t hat is from 3.4% in quarter 4 financial year '23 to 11.4% in quarter 4 financial year '24%.
Now I move on to overall year highlights that is the highlight of financial year '23-24. Our total revenue and EBITDA pre -ESOP costs for the financial year is IN R13,697 million and INR 1,068 million respectively. Our formulation business contributed to INR 9,997 million a nd API business contributed INR 3,260 million to our top line ..
Overall, our EBITDA ha s improved by 250 basis points t hat is from 5.3% in financial year '23 to 7.8% in financial year '24. Highlighting some of the items which need some explanation. In exceptional items, you will see expense book in this current quarter which is primarily on account of the consultancy fees we gave to our partners for the cost optimization initiatives the

impact of which has been very significant in improving our operational efficiencies and that will help us improving our base further.
And there were some writing also on account of our Germany operations where earlier we have provided, but we were able to liquidate various assets and some writings has happened on account of that. In other income during the quarter company also realized a gain of INR 22 million on transfer of leasehold rights in one of our Ambernath land which was not a very operative asset. So we liquidated that.
Net monetary loss on hyperinflation economy which is Turkey is shown under IndAS 29 adjustment which continues because the situation in Turkey. Turkey is amongst one of the 3 or 4 countries in hyperinflation as of now, so that still continues. Our working capital stands at INR4,201 million as on March '24 as compared to INR 4,354 million as of March '23.
Net debt as on date, as on March 31, '24, is INR3,789 million against INR 3,654 million in March '23. Net debt -to-EBITDA ratio has seen an improvement and which stands at 3.55 as on March '24 versus 4.70 in March '23. These are the key highlights from my side. I thank you all for your continued support and may I request a forum to be opened for any questions now.
Moderator: Thank you very much. We will now begin the question and answer session. O ur first question is from the line of Vilina Jain who is an individual investor. Please go ahead.
Vilina Jain : My first question is on the API business. So it is good to see that our API business revenue is closer to INR 100 crores quarterly run rate. What has been the driver of sequential revenue growth? And can you maintain this momentum in the coming financial year? Also, are there any new contracts that you have received in your API business which can materi ally add to your sales ?
Rajaram: Thank you, Vilina . Yes, first of all, I think it's good to see the API business accelerating. I think we've delivered over INR90 crores in this quarter and we do expect that we will begin to come closer to the INR 100 crores run rate.
But as you know that the API business is a B2B business and if there are going to be some variations across di

fferent quarters depending on the stocking levels that our customers may have as well as what is the success of th eir end products in the market, b ut directionally, I think I can say that we are beginning to see acceleration in our API business.
So now what has gone behind this, I think a couple of reasons. One we are a very strong regulated markets player n early 70% of our business comes from markets which have -- which are from Europe or the US a nd in these kinds of customers tend to give a lot of premium and reference for suppliers who are quality suppliers as well as the developments which we do on our products

in partnership with some of these customers.
So that has really contributed quite a bit to the orders which we have got for the quarter which is gone by as well as we expect that these relationships and these preferences from these customers should help us going ahead.

Any new -- the second part of the question on do we have any new contracts. Yes, we are expanding our customer base. I think we are having new customers who have joined our current set of customers who we cater to with our products. Some of the older contr acts, which we had signed, which are getting commercialized as well as we speak in this year. And we also have, of course, a lot of conversations going on. I cannot specifically disclose any one contract or two contracts, obviously, for confidentiality re asons right now.
Vilina Jain: Got it. And secondly, gross margin has improved nearly by 100 basis points on a Q -o-Q basis. What are the drivers of the same? And by when can we get back to the historical 50% margin?
Rajaram: So I think gross margin for us is a combination of three or four things, which Saurav alluded to some time ago. On the API front, it is on account of, one, the initiatives which we have undertaken last year with project called Project Pragati , which involves cost optimization, operational efficiency, procurement, so it's a comprehensive program, which was undertaken. And that's one driver of improved margins.
The second driver of improved margins on our formulations business has been the reshaping of the portfolio itself. We have driven business growth with -- on portfolio, which are high growth, higher margins, and at the same time, we have also discontinued l ess attractive segments that we participate in. So that's really the two main drivers for this.
And I think the third one would be our whole cost optimization efforts that we have undertaken as well. Yes, that's the mix . Now the other part of the question is, do we get back to 50% historical levels. I can't give you any forward guidance on this. I think we've continued to give you guidance on our EBITDA margins pre -ESOP that we would exit last year at a double-digit marg in, which we have. And directionally, we are looking at that improvement going forward. Of course, the initiatives that we have when you annualize them from last year should see an improvement in our gross margin.
Moderator: The next question is from the line of Naman, who is an Individual Investor.
Naman: First question pertains to the EBITDA margin, and I'm happy to see that you have touched the double -digit guided margins, which we are given. Can we expect to sustain these margins for the next financial year on a full year basis? And by when can we reach the mid -teens margins, which we have indicated in the earlier calls?
Saurav Bhala: Thanks for the question. We believe, based on the projects that we are undertaking and the structural changes we had done, the margin of Q4 should be sustainable next year as well. Only add-on would be there are some quarterly fluctuations because of the s eason and production exchanges, which will happen. But the margin, to our mind, has continued. And we are working further to improve it. So our expectation is from low -teens

to the mid -teens is where the journey is, which we are taking ahead.
Naman: And secondly, on the overall outlook of the business as in over next few the years, over the 3-year period, how are we seeing a top line growth on a guidance basis? And lastly, on the debt side, that when can we expect the debt to start coming down? And what levels of debt -to-EBITDA are we comfortable as an organization?

Rajaram: So I'll take the first part on the next 2 to 3 years. Saurav just said, we do expect next year our EBITDA margins to be the low to mid-teen range in terms of what we will exit. And we hope that we're able to do better. But that's, of course, what is the band in which we would like to give the guidance right now.
In terms of how we are going ahead, we have said that over a 3 -year period, we would like to come towards the high teens range in terms of EBITDA margin, and we would like to grow our top line in double digits for the next -- on a 3-year basis. That's what as far as our top line and our margin line is concerned. Now coming on to the question on debt, do you want to give some...
Saurav Bhala: Yes. So on debt, the levels, we don't see decreasing very immediately because as you understand, the businesses are expected to grow strongly. We are looking at a lot of -- so debt would be kind of funded for two things. One is to fund the working capital increase with the business growth, there are some requirements on that.
And also, as Raja has already mentioned, we are looking at various opportunities that the market is presenting. So debt, as of now, based on today's projections, we remain to be at the same level.

Having said that, debt -to-EBITDA will go down strongly. Even in my initial speech, I have said, already mentioned, last year it was at 4.23x. Now we are at 3.55x. And as the business performance improves with the EBITDA and margin improvement, we see debt -to-EBITDA level going down consistently.
Moderator: The next question is from the line of Chintan Chheda from Quest Investment Advisors Private Limited. Please go ahead.
Chintan Chheda: Congrats on a good set of numbers. Sir, my first question is related to the API business. So the deworming portfolio, which had gone down during COVID, is that fully recovered? Or there is some more headroom for improvement over there?
Rajaram: Do you have any -- do you have a second question? Then I can take it together .
Chintan Chheda: Yes. And secondly, sir, if you could just shed some more details about the API portfolio, l ike what is the filing and development pipeline for us? And thirdly, for this API business, say, from this quarter's base of INR96 crores, right , say over the next three to five years, how should we look at the growth?
Rajaram: Okay. Thank you for this. So let me start with the first one, Chintan. Yes, it's been a good set of results. We hope to hold it as we continue with our plan. First on the deworming portfolio, there are different markets where this portfolio exists and we are not seeing any further reduction in the deworming portfolio, which is what seemed to be a trend a little while ago. In fact, we are seeing an uptick happening on the deworming portfolio.
There is, of course, a shift in the kind of markets where the portfolio is growing. And also in the deworming portfolio, there are different sets of molecules. It's not just one. So on a total aggregate basis, this is a portfolio which -- where we are very strong and at the same time, it is also a portfolio which is seeing volume growth.

The other important thing is that we have -- a lot of our cost optimization initiatives have been in this portfolio and those have given us more competitiveness and improved margin, which allows us to expand our volume. So I would say, this is -- from

an outlook point of view, this
portfolio is a ste ady portfolio right now.
The second, in terms of our new filings, our typical rate is that we do about three to four every year. Last year, it was a bit back ended where we filed more in the last quarter, we did two filings. We expect typically around three to four filings happening every year.
But in terms of the choice of the products that we will file for, we will have a bias towards companion animal products rather than production animal APIs. And we have already with us three to four filings, which will happen next year. Most of it are in companion animals. And that's the area where we believe that there is an opportunity for faster and more sustainable growth.
The third question on the API volume for the next three to five years, I don't think I can give you specifics on where the INR96 crores will go. I think on an overall basis, it is fair to say that a three-digit number per quarter is what we certainly aspire to have consistently in the next 12 to 24 months. But beyond that, it would, of course, depend on how fast we are able to commercialize some of the new products which we have launched and are planning to launch. And in the API business, the first one or two years of the launch tends to be fairly muted in terms of volumes as the validation get completed, etcetera, and then the acceleration starts. It will also depend, of course, a bit on how the pricing environment is.
We would hold on to volumes, but if the pricing environment remains what it is right now, which is the pressures continue, then of course you could have volume growth and a bit of lower price growth. So ballpark, I would say that a three -digit per quarter number is what we are aspiring for in the next 12 to 24 months average.
Chintan Chheda: Perfect. Got that. And secondly, on the ESOP side, so are we looking to issue any new ESOPs? And for the next couple of years, how should we look at this cost?
Rajaram: So on the -- whether we've got to issue -- see, we constantly keep looking at issuing ESOPs to our employees. But there is an overall pool, which is reasonably sort of fixed. So we don't expect the cost impact to be anything dramatic or additional from what we have. But maybe Saurav can tell us a bit around how do we see the next two to three years ? It is a declining trend based on its impact.
Saurav Bhala: Yes. So as Raja has already mentioned, ESOP generally, the impact is very high in initial few years, which we have seen in the last couple of years. And since last two quarters, the trend has already, if you see, has started going down. We believe that based on our current calculation, yes, the trend continues and our ESOP cost keeps on coming down.
Having said that, one thing to be kept in mind is the way business is growing, we would look to increase our management strength and add on to some leadership positions. If that happens -- as and when that happens, there will be some ESOP impact to the extent.

Moderator: The next question is from the line of Divyanshi , who's an individual investor. Please go ahead.
Divyanshi : So I have two questions. Firstly, the Europe revenues are back to single -digit growth after the last two quarters of strong growth. So what is the reason behind the same? And what is the growth rate that you're targeting for overall Europe business over the next couple of years? That's the first. And second, you've indicated in your earlier calls that you're looking at strategic M&A. So could you provide an update on the same? Would we have any M&A activity in the near term?
Rajaram: So the first question on Europe. In fact, our Europe business has started. It's, in fact, performing better than it was. And we have begun to see strong growth in Europe. If you remove some of the portfolio decisions which we have taken la

st year, then our growth would, in fact, be closer to double digit as we go ahead. Europe continues to be strong. Spain is performing well. Markets in Belgium, Netherlands continue to do well.
So going ahead, we certainly look for the European business to be always in the higher single digit, early double digit kind of growth unless, of course, there are any surprises. But right now, our portfolio is strong and building on that.
The second part of it in terms -- is to remember that in Europe has been a big contributor to our margin improvement profile. And it went through a serious challenge post the Ukraine war had started. But now things have stabilized . And therefore, we are seeing that flow into our results of this year. And I think in the coming financial year, we should begin to see even better performance in Europe.
The second part of it on strategic M&A, we are looking for different opportunities to expand our business. Some of it is around licensing. Some of it is around strategic partnerships. M&A is part of our growth plan. We are constantly evaluating targets, including some in India.
And as far as the nature of targets are concerned, we are open both to targets and formulations as well as any opportunity on the API side, which allows us to -- which is complementary to our business in terms of supporting us for, for example, in the area of acceleration of R&D or acceleration of manufacturing synergies. And so that's something we are actively looking at. But of course, we will need to make any such move very, very responsibly. It has to be something that is accretive to our business. And this company has been built on acquisitions in the past, and that is an important part of our journey so far. So it continues to remain as our priority.
Moderator: The next question is from the line of Rishika Mehra, who is an individual investor.
Rishika Mehra: I have two sets of questions. One is on the emerging market, that the business has been weak since last few quarters. So when do we expect growth to come back in the business? And is there any update regarding the pricing and the currency situation in Turkey, that being one? And the second one is on the India business that we've seen some growth year -on-year in quarter four . However, it has been down sequentially? So when do we expect the revival in the business? What kind of growth are we targeting for India business? And what would be the drivers for this year? That's it.

Rajaram: Thank you for this question. On emerging markets, it's a large set of countries. So it's a bit -- we would have to deconstruct it in terms of our big markets and in terms of the smaller markets. If you look at -- and I'll combine the first and the second question because it involves Turkey. So one of our big markets in emerging markets is Turkey. In Turkey, we have seen some stabilization in terms of the economic policies which we have put in, etcetera. And therefore, even though there has been hig h inflation, our actions in terms of price increase, in terms of portfolio optimization and also stepping up efforts for volume growth have helped us grow the Turkey business, and there has been a significant improvement in terms of margin as well.
Of course, in Turkey, it makes no sense to only talk about top line growth because the inflation itself is at 60% year -on-year. So suffice to say that we are able to take our pricing increases to completely compensate for any inflation. And therefore, that helps us keep the margin in place as well as the top line. And the reason we are able to do that in Turkey is because we have a very strong competitive position in terms of market presence.
I mean our portfolio, the fact that we have one of the large teams over there, we are in the top 5 players over there as far as the production animal segment is concerne

d. So in Turkey, pricing is one of the drivers right now to compensate for inflation. B ut at the same time, we are also looking at expansion in volumes.
The second part of the emerging markets is, a big country for us, is Brazil. After 3 or 4 years of

very strong performance earlier, Brazil has seen pressures. And some of that is a bit short term because our business, which is there in Brazil, has a compon ent of contracts and tenders. And sometimes you get a tender, you lose the tender. And those kind of variations have impacted some of the aggregates in emerging market results.
But one important thing, which has happened in emerging markets, is really the Middle East, North Africa segment, countries like Egypt, etcetera, where we have faced a currency challenge in recent times. It's not that there is an order challenge in terms of business or sales, but releasing money from the Central Bank to be able to pay the suppliers has been a bit difficult for all the importers. So we're seeing some pressure there as well in emerging markets.
But the way to look at emerging markets is to take them as 1 large bundle and begin to accelerate wherever there's an opportunity and derisk ourselves when we go through these kind of challenges. And therefore, I would say that emerging markets will be a mix for a while. And the fact that the larger market sector, Turkey etcetera, for us are growing, we'll make sure that at an aggregate level, we will do well.
The India business, which is the third question which you have asked, is very strategic and important to us. India has a large population of production animals, which is cattle and dairy.
And we are a midsized player in India, and therefore, the opportunit y is for us to really grow very fast here. We have grown well last year. As you know, we have 2 parts of our business: one which we distribute for one of the large internationals, and we also have a part of the business which we manufacture our own brands .

On the distribution side of the business, we had a couple of supply challenges from the principal, and that is hopefully getting restored and we should continue to maintain that momentum. On our own brand, we are, of course, growing very fast, well ahead of the market in double digits. And going ahead, therefore, we should expect that the India business should be a double -digit growth business for us.
Moderator: The next question is from the line of Bharat Sheth from Quest Investment Advisors Private Limited .
Bharat Sheth: Congratulations on excellent turn around. okay. Secondly, I mean, your overall 3 years perspective, what you have said. So first of all, I mean, API, we are operating at what capacity API business? And if we have to dissect, I mean API, say, last year, we did around INR325 crores if we continue to maintain run rate of around INR95 crores to INR100 crores. So I understand that our first -- I mean, growth will be in the first year itself largely then relatively in second and third year, it will be kind of a muted growth in API business. Is that fair understanding?
Rajaram: Can you just complete your question, Mr. Bharat Sheth. The first one is on API capacity, which you asked about how much are we utilizing. I didn't get the question on your -- very clearly on the numbers you are talking of -- can you just repeat the second part of your question?
Bharat Sheth: On API last year, I mean, in FY '24, we did around INR325 crores kind of a run rate annualized. And if we take around INR95 crores to INR100 crores quarter ly run rate then it was out somewhere a INR400 crores kind of a thing in the '25 itself. So then first that, I believe that the growth will be muted kind of a growth? Or if you can give a little more color? And second thing, in API, how do we plan to improve the EBITDA margin? So we may get some lower -end margin and will keep

on increasing higher -end products, whichever generate higher end margin?
Rajaram: Thank you for your questions. So the first one, in terms of API capacity utilization. We are today at about 70% to 75% is what we use. And that -- we have capacity with us, as for our current portfolio, is something that we largely have at least for another year. We do have plans to reshape some of this capacity. So it's not necessarily increasing the capacity, but it is also about using the right product mix in this. And our project in terms of manufacturing excellence has also allowed us to get m ore out of the capacity that we have.
So in terms of how we look at the year ahead, yes, last year was, of course, a difficult year. I would not annualize the INR95 crores, INR100 crores straight away into next year and say that it to be INR 400 crores. I think that's closer to what we want to reach when we exit the year. So expectation is certainly that we should be ballpark anywhere between INR 80 crores to INR 100 crores average per quarter. Some quarters will be INR 100 crores, some quarters may be closer to INR80 crores, INR 82 crores. That's because this is the phase in which we are also introducing new products. And then going ahead, of course, we certainly expect to be at the INR 100 crores plus range from the following year.
Then coming on to the way in which we improve EBITDA margins. There are 2, 3 levers for that. The first is, of course, at the gross margin level itself. And there, there is -- there are

initiatives in terms of reduction of some of our costs with CI, cost improvement program and
also in terms of some optimization efforts that we do in procurement. The second area is really
enough product mix, which we have. Because that is an important part as we begin to get more and more confirmation of businesses from the regulated markets, which is where our historical sort of advantage has been and strength has been.
So as that mix improves, we would tend to get customers to value U.S. FDA production and the
certified production from our side. We should get the product mix and regulated market is the
second way in which we include our margin. And third, of course, is t hat scale itself gets you
better margins as we begin to expand our production capacity volumes over there. And I think
Saurav will talk to you about cost optimization. Yes.
Bharat Sheth: Okay. Great, sir. Sir is that fair understanding over three period our revenue mix will be more
tended toward India , which is one of the largest, I mean, focused market and regulated market
on the formulation side. Because emerging market, we keep on taking some kind of a tailwind.
So it tends to have muted kind of growth in our aspiration to grow double -digit over the next 3
years. Is that fair understanding?
Rajaram: I think there are 3 -- you split them into 3 areas. One is the regulated markets for the API business
is our focus. But we must remember that the emerging markets are very fast -growing end product
markets, for many marginals. And therefore, those markets also do provide an opportunity. We
need to be competitive in those markets and some products. And when you have a leverage
because of your regulated market supplies, you can be competitive in the emerging markets as well. So it's not a market that we're going to ignore. It's just that we will not be selling at any
kind of price and compete just for that. Margins are going to be important.
The second part of it is that India is important for us from a domestic formulation business. It is something that we are expanding. It's a big market. It is fairly underpenetrated in terms of
medication for animals. And we also have a good advantage in te rms of having overseas
formulation facilities. So unlike many other generic players, we are able to import fast.
Recently, we launched 3 products f

rom international range, which was there in Turkey and
Spain, and we've brought them into India. So we have some advantage of bringing it at speed
and introducing at India. And the European business, of course, is an impor tant business. So it's
a combination of all our presence in regulated markets and India gives us the leverage to be able to compete in emerging markets as well.
That's probably the good part of our business is that we're dependent on only the emerging
markets, which even though they may have a high demand, have some risks at sometimes in
currency, et cetera.
Bharat Sheth: Okay. Sir, any color on our entry into the U.S. formulation market?
Rajaram: I think the U.S. formulation piece, as we have said before, is on hold for us. We will look at our strategic priorities. As I said earlier, we are looking at M&A. We are looking at business development. And we hope that in this 6 to 9 months, we are able t o make some more choices
around where we want to grow for fresh investment. At this point in time, it's on hold. Although

like we have said before, development part of it is largely complete and we hold the tech packs,
et cetera, are all fully available with us to be able to expand.
Bharat Sheth: Okay. The last question for you. Understand, I mean, however, whatever project you have taken,
I mean, for restructuring and for growing in a better way, is now all over. So any exceptional
further do we expect like we had book accrual of women expert advi sory fee for API given the
manufacturing. So is there any kind of further any one -off thing do we expect or more mostly,
it is over?
Rajaram: Well, there's no planned one -off as of now, yes. Because I think most restructuring is sort of the ,
is that right? Saurav , you want to ?
Saurav Bhala: Yes. And just to add, Bharatji, we believe the expense part is already fully captured. The benefit
would keep on accruing and keep on increasing. So that would be a positive surprise, hopefully.
Bharat Sheth: On the debt, sir, can you give some color last -- I mean, quarter we said that we mean u pdate for
a whole NTT as the one and we -- Central Bank also, we did some restructuring in the borrowing.
So now how do we see that cost of borrowing going ahead?
Saurav Bhala: Borrowing, as I've already indicated in my earlier slide, we expect it to be at the level. But the
debt-to-EBITDA level and other metrics will keep on improving with our EBITDA improving,
is what we forecast as of now.
Bharat Sheth: And what is the cost of borrowing at the moment? And how do we see it going ahead?
Rajaram: Sorry?
Bharat Sheth: Cost of borrow ing? So interest rate that we are exiting growing?
Saurav Bhala: Probably all those questions because -- can be taken offline also.
Moderator: We will take the last question from the line of Kaustav Bubna from BMSPL Capital. Please go

ahead.
Kaustav Bubna: So basically, I wanted to understand when you talk about mergers and acquisitio ns, you already have around INR400 crores, INR500 crores of debt on your balance sheet. So how do you look at this leverage angle when you consider mergers and acquisitions? Because our interest costs are pretty high. It's not really helping our profitability when we are making acquisitions because we're taking on debt to do this. So given where we are right now, how do you look at mergers and acquisitions?
Rajaram: So look, if there is an opportunity, I think we -- there are different ways of doing that. We would not lose out on a really good opportunity. We do have a very strong prime promoter with us, who is always encouraging us to look at any kind of growth. And therefore, there are different ways of doing it if we ever come to that stage.
I think -- but we are not averse to getting a strong business development opportunity which comes in. As I said very clearly, it will b

e something very responsible and more importantly,

something which is accretive. And we are supported well in terms of our primary promoter on this.
Kaustav Bubna: So just last question on this. When you talk about double -digit growth aspirations over the last -- over the next three years, does that include are you factoring in acquisitions or acquisitions will be on top of that? Are you talking about organic double -digit growth from here? Or are you talking about...
Rajaram: Yes. We're only talking organic right now because -- Kaustav, because we don't have -- we don't have close visibility on the inorganic part of it. It's just that we continue to scan and we continue to look at accretive opportunities. But right now, everything that we've spoken about is, call it, purely on the organic front.
Moderator: As there are no further questions, I would now like to hand the conference over to the management for closing comments.
Rajaram: Thank you very much. Thank you for being on this call. It is, as I've said before and we've shared, a good quarter for us. It is encouraging the way our efforts are now playing out. We do hope to sustain going ahead. And our plans currently give us the confidence that the guidance that we have given, we will be able to hold on and deliver on that. Thank you very much for being on this call.
Moderator: On behalf of SeQuent Scientific Limited , that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2024

(no extractable text — likely a scanned image PDF)

Call: Oct 2024

Proven Ability In Life Sciences
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Listing Department
Exchange Plaza, Bandra -Kurla Complex,
Bandra (East),
Mumbai – 400 051 October 04, 2024
To,
BSE Limited
Corporate Relationship Department
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai – 400 001
Scrip code: 51
2529 Symbol: SEQUENT
Subject: Intimation under Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Earnings Call Transcript for proposed strategic merger with Viyash Lifesciences
Dear Sir/ Madam,
Pursuant to Regulation 30(6) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the conference call transcript held on Tuesday, October 1, 2024, The Company officials discussed the proposed strategic merger with Viyash Lifesciences
The same is also available on the Company's website at https://www.sequent.in/pdf/Arrangement/SequentScientificLtd-Oct01-2024.pdf
Kindly take the same on your record.
Yours faithfully,
For Sequent Scientific Limited
Phillip Trott
Company Secretary & Compliance Officer
Membership No. F-7403

"SeQuent Scientific Limited
Transaction Update Conference Call "
October 01, 202 4

MANAGEMENT : MR. RAJARAM NARAYANAN – MANAGING DIRECTOR – SEQUENT SCIENTIFIC LIMITED
DR. HARI BABU BODEPUDI – CO-FOUNDER , DIRECTOR AND CHIEF EXECUTIVE OFFICER – VIYASH LIFE SCIENCES
MR. RAMAKANT SINGANI – CHIEF FINANCIAL OFFICER – VIYASH LIFE SCIENCES
MR. SAURAV BHALA – CHIEF FINANCIAL OFFICER – SEQUENT SCIENTIFIC LIMITED
MR. ABHISHEK SINGHAL – HEAD OF INVESTOR RELATIONS – SEQUENT SCIENTIFIC LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the SeQuent Scientific Limited Transaction Update Conference Call . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note th at this conference is being recorded.
I now hand the conference over to Mr. Abhishek Singhal. Thank you and over to you, sir.
Abhishek Singhal: Thanks, Sagar. A very good evening and thank you for joining us today for the SeQuent and Viyash Merger Transact ion Update Conference Call . Today we have with us Mr. Raja ram, SeQuent Managing Director and CEO and Dr. Hari Babu, Co-Founder, Chairman and CEO of Viyash Life Sciences. The transcript for this call will be available in a week's time on the company's websi te. Please note that today's discussion may be forward -looking in nature and must be viewed in relation to the risk pertaining to the business. We request you to kindly restrict the discussion for this call to the transaction announced.
After the end of this call, in case if you have any further questions, please feel free to reach out to the Investor Relations team. I now hand over the call to Mr. Rajaram to make the opening comments.
Rajaram Narayanan: Thank you, Abhishek. Good evening, everyone. Today we have the opportunity to throw more light on the announcement which was made on the 27th of September regarding the proposed merger between SeQuent Scientific Limited and Viyas h Life Sciences Limited. I'm really delighted that Dr. Hari Babu, the Co -Found er, Chairman and CEO of Viyash Life Sciences, is here on the call with me today.
Dr. Hari Babu is well known in the industry for his experience and expertise in the area of pharmaceuticals globally. Over the last 35 years, he's been a Scientist, a Technolo gist, Global CXO, and an Entrepreneur . I'm also joined by S aurav Bhala, CFO of SeQuent , and Mr. Ramakant Singani , CFO of Viyash . This is a significant step in the journey of the company as we move forward on our SeQuent 3.0 plan to secure a leadership position in animal health with end-to-end capabilities. The proposed merger will create a unique and differentiated platform to serve global markets and pharmaceutical clients.
The combined entity will have access to over 150 countries with a strong R&D, IP, and product development capabilities apart from state-of -the-art manufacturing facilities. The combined entity will have 5 x higher R&D talent pool and 9 x more in terms of USFDA -approved manufacturing facilities, which will form a strong operating backbone to serve our customers better.
The entity will also have a more robust financial profile as reflected in its margin and balance sheet. The merger will be accretive to SeQuent in revenue growth and margin in the very first year itself and de-leverage the balance sheet. The transaction would be at a valuation that is at a significant discount, in fact 44% discount to the current trad ing multiples of SeQuent , and we believe that it will be value accretive for SeQuent shareholders.

The process we have followed to arrive at this announcement as well as the swap ratio has adhered to the highest standards of governance. Throughout the proc ess, we have worked with highly reputed leading advisors and valuation agencies. The proposed merger is subject to receipt of customary, statutory, and regulatory approvals, including from shareholders, Stock Exchanges , NCLT competition commission, etceter a.
Upon the scheme becoming effective, all shareholders of Vi yash will be issued shares of SeQuent in the ratio of 56 shares of SeQuen

t for every 100 shares of Vi yash. The new shares of SeQuent so issued will be traded at the National Stock Exchange and the Bombay Stock Exchange. I will now request Dr. Hari Babu to introduce himself and talk to us about the Vi yash business and its outlook. Over to you, Dr. Hari.
Hari Babu Bodepudi: Thanks , Rajaram and good evening, everyone. So, my name is Dr. Hari Babu of course industry known as Mylan Hari Babu. So, I have been with industry almost last 30 years, of course, after completing my PhD in Organic Chemistry started in API R&D then I handled various functions Quality Regulatory and jo ined in Matrix in early 2000 and grew naturally with the company.
Almost 20 -25 years with Matrix M ylan together. Started actually as a Head of take -ups and Head of Quality , then India's Chief Operating Officer , CEO.
So finally ended up as a Global Chief Op erating Officer for M ylan, so there I have seen actually beginning of the Matrix, there was a small company to the big global company actually, where I handled almost 25,000 people. So, a lot of excitement, I did a great job.
Then after that, I decided to quit M ylan. Then started Vi yash sometime in 2019. So before starting, I debated myself, I actually debated with a couple of people. What should we do? How can we strategize differently? Since this market is so crowded, if you do the same as what others are doing, how can you differentiate? How can you grow the company? So, we had actually a lot of debates and had a thought process to start these things. The intention of building the right quality company.
So, the intention of building this company was, day one thesis was, build the right company with

small company execution capability, with big companies, regulatory, quality, R&D, IP capability. That's how we thought we can differentiate the company. So , in that process, we acquired a couple of companies. One started with an internet company, then a few API manufacturing facilities. Then we partnered with Carlyle. The reason was with Carlyle partnering was actually to build a big platform.

Today's scenario, unless you have a scale, it's very difficult to grow. And also face all advents in between. Unless we have scale and financial strength, it's very difficult to do that. That's how we worked together. We partnered, then we acquired a couple of other companies like Symed . That was one of the biggest acquisitions.

Then one of the formulation company . All put together, we thought actually we can build the right integrated pharmaceutical company. That's the thesis initially. Then first one, two years, this all was done in 2021. We completed all these activities by the end of 2021. And first year, two years, we spent a lot of time to understand these companies because they're different entities,

different styles of working. We thought let's first understand and address whatever are the things required to build the right company. That's how we took almost two years to reassess, to rebuild the company. That's how we rebuilt our entire team, our senior management team. Entire team is new. I picked up personally from various industries. All pretty a ctually very well experienced guys in big pharma.

We started building the team. Then we built R&D capabilities. Then most important to grow and differentiate all quality and DHS, R&D are very essential to differentiate and grow. That's how we spent a lot of time, a lot of resources for two years to rebuild these entities. A couple of divestments also done part of optimization.

Then finally, we ended up having nine high quality USFDA approved facilities. All if you see, every facility is USFDA approved. That 's a minimum thing. Of course, majority of API factories are approved by all of the regulatory agencies. So, with that, I feel probably actually we have a strong plat

form build with respect to team, with respect to culture, with respect to R&D, our quality .

It's a fantastic job was done by team first two years and buil t a right base at 2024. I feel actually starting point for us 2024 is the right base to grow. That's how we started growing from ' 24. You can see the numbers, how we have grown. We have a fan tastic opportunity to grow further. We still learned a couple of things, whatever we acquired, integrate business, we don't say somewhere, wherever is a long -term opportunity, we try to build the business with high-end markets like innovators, backward int egration, or actually a little more advanced intermix for the new products.

Then API, we stepped up a lot. API, we started growing very well last two years. So, API is the biggest vertical for us today. Formulation also, we started growing, of course, in between there were advanced, actually now we started rebuilding that. With these three companies, we were able to do many things. One is wherever we are strong on the Internet, we are able to do forward integration. Wherever we are strong in API, where it requires either forward integration to pre -stores or backward integration to Internet, all was initiated. A couple of things are done already or in the process of doing. All these things work pretty well. Today, we have a strong base . We have a great custo mer base. If you see our presentation, we sell almost 150 countries.

All kinds of countries, we do that, whether it is highly regulated, developed countries, or even the very low -end countries, but we are able to compete in every market. The regulated mark ets
we are able to compete with respect to IP or R&D skill set. At the same time, with the small markets, $100 markets, we are able to compete with our cost efficiencies.

It started growing, 150 countries, a lot of products. You can see almost 60-plus products are commercial products, and at least I can say 5 to 10 products w e are the market leader. We have good market share globally, and it's very sustainable. It's not a one -year market leader. It's demonstrated a couple of years actually showing growth an d sustainability on that.

We have a strong product mix with large volume or mid- volume or technology-driven, all kinds of things. We have good product mix, commercial 60-70 products, and of course another 30- 40 products intermediate, and pre-stores, we hav e about 30 NDAs, so all kinds of products. R&D, you know, you must have seen that 200 resources in R&D with high-end analytical capabilities is able to do 10 -12 products in a year.

It's a fantastic journey so far, but I see even better journey near future, and I strongly believe coming together with Se Quent, we have a lot of synergies on various things like business

development, expanding market, or utilizing better whatever we have capabilities like R&D or manufacturing. That, I think, is going to give a l ot of synergies together, and I think I am very
excited to work together. I see it's a big growth opportunities for company, and of course, end of the day, it gives value to the investors and shareholders.
With that, thank you so much, Rajaram, to give thi s opportunity.
Rajaram Narayanan: Thank you, Dr. Hari . It's indeed a pleasure to have you here and have this conversation. I will now invite Saurav Bhala, CFO, to share the details of the proposed transaction. Saurav ?
Saurav Bhala: Thank you, Raja , and Dr. Hari. Let me run through the deal structure and the merger ratio. You would be happy to note we have done a very extensive due diligence and valuation exercise, taking help of leading firms and investing class experts in domestic M&A as follows.
Our deal advisors are J M Financials. Commercial diligence has been done by Bain & Company , Financial and tax diligence has been done by KPMG , Le

gal diligence and advisors are AZB &
Partners. Valuation jointly done by KPMG on behalf of Se Quent and P wC on behalf of Viyash .
Fairness opinion has been provided by ICICI Securities.
Based on the recommendations of Valuers and Fairness Opinion Providers and also an independent review by our Board, the approved merger ratio as sanctioned by the Board is all the shareholders of Viyash will be issued shares of Se Quent in the ratio of 56 shares of Se Quent for every 100 shares of Viyash based on the approved swap ratio.
We believe this merger is structured to deliver stronger combined growth and deliver long -term value t o all the stakeholders. The benefit would start flowing from year one and will keep on improving over the years with the various energy effects coming into place.
The merger is anticipated to conclude over next 12 to 15 months , subject to the various regul atory and other approvals required. In the indicated timeline, we would require key approvals from Stocks Exchanges, Stock Credit, our esteemed shareholders like you, NCLT, CCI and others.
I would now request Abhishek to initiate the Q&A session.
Moderator: Thank you very much. We will now begin the question-and -answer session. Our first question is from the line of Amresh Kumar from Geosphere Capital. Please go ahead.

Amresh Kumar: Hi, sir . Thank you so much for the opportunity and congratulations on this transaction. Sir, I just wanted you to elaborate a little bit more on the synergistic part of the deal. How we are going to help SeQuent and vice versa. Given that what I understand is we are since largely a human API company, and we are an animal health company. So how are we going to help each other going forward? So that would be my first question, sir.
Rajaram Narayanan: Do you have mor e questions, Am resh? You can put all of them together.
Amresh Kumar: And the second question is what will be the role of our promoter going forward after this transaction is over?
Rajaram Narayanan: Sorry, just repeat the second one. What would be the …
Amr esh Kumar: Role of our promoter or the Carlyle after this transaction is over?
Rajaram Narayanan: Okay. And so, you have two questions, right?
Amresh Kumar: Yes.
Rajaram Narayanan: Okay. Thank you very much, Am resh. I'll answer this and I will also then in vite Dr. Hari Babu if he has any comments. So, I think the first thing is that if you really look at the way we need to look at SeQuent growth in the next 5 to 10 years, there are clearly a couple of shifts happening in the market. I think the first is tha t in the animal health space, there has been an increasing move from the growth of the livestock business and it's now moving more and more towards the growth of companion animal business, which is really the pet care piece of it. Some years ago, 40% of the developed market used to be in pet care.
Today, it's well over 50%. And therefore, as the market for companion animal treatments keeps growing faster than what it is for farm animals, we also are looking at what do we need to do to build the necessary c apabilities that are required to win in such a market. And it is a fact that the product treatments, etcetera, which are required for companion animals increasingly are converging and are becoming closer to the kind of capabilities which are required from human pharma.
And so clearly, we need capabilities in R&D, chemistry, manufacturing, which at this point of time are not there within SeQuent adequately. So that's really the first piece where we've been looking for an opportunity to find a partner for this. The second part of it is that even in the farm animal space, increasingly there is a lot more stringent demand in terms of requirements from regulators, but also that you need far more competitiveness in terms of cost of supply.
And

for SeQuent , it was important to build capabilities where we could be more competitive on costs by in-housing as many of our intermediates and early stage requirements. So, when we looked at this, clearly we see a synergy with a company like Vi yash because Vi yash is a company which has a very, very differentiated play in the pharma market. It has a huge amount of capabilities in R&D.

It has a track record of launching innovative products, working with some of the best companies in the world, and at the same time also having a large manufacturing base with USFDA facilities. So clearly that's something which comes in very useful for SeQuent ambition. And on a standalone basis also, Vi yash is a fast -growing company of equal size as SeQuent , and which has established itself in a niche and differentiated way in the overall human pharma market.
The last piece of it, of course, is that financially also it is a very accretive deal because if you really look at this margin in every respect, it is accretive on revenue. It's accretive on margin. It deleverages our balance sheets. And at the same time, we've also completed the share swap in a very comparable discount because it is significantly discounted to the current trading multiples. I think it's about 44% discount to the cur rent multiples of SeQuent . So even for all our shareholders, it is a very value -accretive transaction which is being proposed.
So, I think when you put all of this together, there are clearly big advantages for SeQuent . And of course, there are also signi ficant benefits for Viyash as a company. I'll probably ask Dr. Hari to elaborate a bit on what is it for Viyash in this .
Hari Babu Bodepudi: I think Raja Ram addressed most of the part. I'll just add a little bit to that. As I mentioned in my introduction, after doing a lot of hard work and research to optimize Vi yash, we built a fantastic platform and started growing from 2024. You can see that 2024 to 2025. It was strong R&D capability, manufacturing network and manufacturing facilities that they approved and all other approved things. And we see that growth continues strongly from 2024.
It will continue, whatever you can see, from 2024 to Q1 FY 25. So that growth will continue d definitely next three to five end of things . Of course, we are continuously adding the products of tech -led platforms. Coming to the synergies, as Raja Ram indicated, there are several synergies to SeQuent . The biggest thing was R&D support from Vi yash, manufacturing network to SeQuent where we can add a lot of value for backward in tegration capabilities. And when it comes to Vi yash synergies, whatever customer base SeQuent is having today, most of the day business goes to innovative business.
That relationship can add value to Vi yash. That's how we see the big synergies. In additio n to the management teams, of course, support each other. There's a lot of synergies. Other than general synergies like material procurement and manufacturing scale utilization or optimization, all these are actually synergies. Other than that, there's a b ig synergy that comes from the business perspective, customer relationship for both the companies.
We do a few products with a few innovators whereas SeQuent do a few other innovators. And our large focus is going to be on that business. We see good synergies, at least mid-term to long - term perspective.
Rajaram Narayanan: Thank you, Dr. Hari . So, I'll come to the second question, which is the role of the promoters, which is Carlyle. So yes, I mean, Carlyle are the promoters in both these companies. And I think the fact that they have supported this proposed transaction at the Board level indicates, of course, their long -term commitment for both the companies to grow the business when they come together.

And I think the nature of the terms of the transaction also reconfirm that there's a lot of value which gets created to all our shareholders on this. Ye s. Maybe we go to the next question. Is that fine, Amr esh?
Amresh Kumar: Yes, that's very pretty clear. Thank you so much.
Moderator: The next question is from the line of Ratika, who's an individual investor. Please go ahead.
Ratika: Thank you for the opportunity. I had a question around the outlook of the capacity and capex requirements for Viyash . And are all the plans utilized? And also, what about SeQuent, i f you can highlight the capacity utilization and SeQuent as well.
Hari Babu Bodepudi: Viyash’s current capacity utilization is close to 70%. And we don't see any additional capex requirement for the near future. Of course, a little bit is required for optimizing the capacities to suit for new products. But we don't expect big cap ex near future to manage Viyash . Of course, when you combine these companies, when you start working together, if there is additional requirement requires for SeQuent , we need to work out. But at this point, we don't see any much capex requirement for the next, I can say, two years at least.
Rajaram Narayanan: Thank you. I think that Dr. Harish answered on behalf of SeQuent as well. That's the situation

on SeQuent . Do you have any other questions, Ratika?
Ritika: Thank you.
Moderator: Thank you. The next question is from the line of Nikhil Shetty from Nuvama Wealth . Please go ahead.
Nikhil Shetty: Yes, thanks for the opportunity and congrats for this merger. So, prima facie, this looks interesting. But I have a few questions. So, what i s the synergy benefit in terms of cost? So, I can understand some of the raw material which we are procuring from others , probably we will procure from the emerging entity. So, what kind of cost benefit can we see in terms of the EBITDA?
And my second que stion is on the amortization part. We have a substantial intangible asset, I believe, because we don't have access to the balance sheet. But we can see the significant amount in getting amortized every year or every quarter. So, if you can throw some light on that. Thank you.
Hari Babu Bodepudi: Let me answer the first question, the cost synergies . So, I can say short term there could be some procurement since two companies are buying, maybe some common raw materials, that's the one actually, maybe low hang ing savings. And the biggest saving what we are looking at, as I said, R&D and manufacturing capacity utilization.
So, when you say procuring intermediates from Viyash, looking at the regulatory scenario, of course, we need to do a little more deep dive, u nderstanding what kind of markets they've filed, how long it takes. But once we do that, definitely, it's going to be good synergies, that's where SeQuent can benefit at least 100 base points to 250 base points kind of thing. But we see big

term and long t erm, it's going to be the good synergies. But short term, we need to work out because SeQuent as well as Viyash is working totally under regulatory environment. You may know sometimes regulatory takes a little longer time. But we are going to work together as fast as we can get there.
Ramakant Singani: Sure. Nikhil, as you rightly mentioned, yes, we do have a significant amount of amortization in our P&L and we do have this amortization continuing for about two years. FY25 and FY26 will continue at around that 90- 95 crores is the amortization per annum. FY27 will have part of the period. So, we are left with about two years and roughly a quarter more in terms of cleaning up the amortization.
Nikhil Shetty: And sir, if I may squeeze one more question. So even if you look at the overall EBITDA, I believe for both the businesses,

we are targeting roughly 20% odd EBITDA margin in a couple of years. So, I believe because of the cost benefits and operating leverage and with a better product mix, probably we 'll be able to reach that. But what about the bottom -line part? Because I'm concerned more about the bottom -line part and how it is going to look like.
Rajaram Narayanan: Are you saying at a post -PAT level?
Nikhil Shetty: Yes.
Saurav Bhala: Yes. So general ly, with the EBITDA, which as you are saying, so we are also expecting it to move to higher teams. That will certainly flow in the PAT level too. And the PAT would see substantial improvement, vis a vis what we are projecting this year onwards
Hari Babu Bo depudi: Maybe I can add a few things. If you see both balance sheets, one is amortization, whatever tangible funds you close that. And we are going to be a debt -free company soon unless we go and invest today. Looking at our EBITDA, it can be debt -free ver y soon. So, our financial cost is going to reduce substantially. And the depreciation for this size of the company, FY25 together 3,000 flows, whatever the depreciation other than this one -time amortization, it's not much. So, with that, definitely PAT levels will continue to grow. In addition to that, both sides, I think there are some accumulated losses , we need to work on that. But I think it's going to be the good, bad percentage as well as it's going to generate good free cash flow, I can say that. So that's where we can invest on various things, that are organic or inorganic.
Moderator: Thank you. The next question is from the line of Bhavesh Gandhi from YES Securities . Please go ahead.
Bhavesh Gandhi: Yes, thank you for the opportunity. So, I had two questions, one to Dr. Haribabu and then the second one to Mr. Rajaram . So first, on the Viyash margin side, if I look at Viyash as a business, and it w as primarily mentioned its API is the largest vertical. So, if I look at EBITDA margins today of Viyash and compare it to some of the other listed entity API companies, then clearly, I think there may be a room to take up EBITDA margins of Viyash towards t he 20% range. And for that to happen, what is the nature of products that we can introduce or kind of supply on a B2B basis to customers? Any sense on that would be helpful in terms of new product launches, and especially on the complexity and capability s ide.

And a second question to Mr. Rajaram. So, with this merger, we are kind of essentially big picture combining an animal, pure animal health with a pure human API. So is this a kind of a tacit acknowledgement that in a way, animal health is kind of only so much to offer on the production animal side, like you said, things are shifting to companion and those things.
But essentially, as SeQuent model, business model sense today, would the merger is kind of an indirect kind of harbinger of things to come on the animal side? Yes , those were two questio ns from my side. Thank you.
Rajaram Narayanan: I think I'll answer the second one before we get because I think that's very clearly this merger is in fact, a reconfirmation of the fact that we are hugely confident about the future of animal health. And I t hink what is being done through this merger is to build the necessary capabilities
and capacity, which is required to turbocharge that part of the company, vertical, which is there. Because as I said before, it is important that we begin to invest in R&D and capacity if we want to win in the way in which the market is moving in the future. And it's something that obviously will happen in five to 10 years. In the short term, we will, you
know, continue to work on our current plans, but in the long term, make such investments. And the post merger is a part of our business substantially. So, I don't think it is in any way an
acknowled

gement of anything other than the fact that we want to recommit ourselves in the right way to the growth in animal heal th.
Yes. And maybe I'll just give Dr. Hari Babu on the Viyash margin question.
Hari Babu Bodepudi: So, coming to Viyash margin , if you look at the last three, four years, Viyash , Viyash margins and EBITDA margins, Viyash operates three segments. One is int ermediate, API and foundation. So, if you look at our API segment, Viyash margins is much better than ours actually compared to companies. Since we operate three verticals, that's where actually we are moving from actually the low -end margin business to hi gh-end business. So that's how slowly intermediate API business is growing.
Last two years, API business has grown almost double, whereas intermediate business we optimized. Intermediate business is going to be more focused on utilizing for API requirement s.
And the remaining business is going to move to other high-end business like trying to work with innovators or complex products, advanced intermediates for new products. That's how intermediate business is coming down.
API business is growing slowly. Gr oss margins are improving, and EBITDA percentage also is improving. Other fact is, since our capacity utilizations are gradually increasing, our office percentage is slowly coming down. So that's where we can see better margins coming future.
That's how yo u can see ‘25 or ‘24, from 12 %, 13% to it ’s reach ed to 21 %, 17%. And we are pretty confident it's going to grow.
I am very confident actually this gross margin as a EBITDA will grow further. So, API, I can say we are better than even industry, generic industry APIs. The mix is changing. Gradually you're moving to new products more than API. If you see a lot of new products are coming in

our pipeline, whatever we did last two, three years R&D deve lopment, large number of products filed, it started getting approvals now. Really the approval started from last two quarters.
So, every month, every quarter, we see at least one or two products. And we see there's a good opportunity to grow and improve m argins. I hope I think that was helpful.
Bhavesh Gandhi: Yes, that was helpful. So, one more follow -up to that, to the API business. So, if I look at the presentation broadly, I think top five, six products for Viyash contribute about 30 %, 33% of revenue, if I'm not mistaken, broadly INR 300 crore s out of INR1 300 crore s revenue. So, it implies that there is a kind of a long tail of products, presumably on the API side. So, post this, I mean, would there be some -- any rationalization of products, any removin g of low margin products in API, which we wish to exit? Are there any margin levers from that factor?
Hari Babu Bodepudi: So, let me put it two ways. One is I think that five products, 30% is put together. Correct me -- The API formulation, the top five pr oducts for company, few formulation products, few intermediate products few APIs. That's where it contributes 30% of the overall revenue. Your API itself, top five products, it contributes about 40%, 40% to 50%, 40% at least. And our API products, we have 60 commercial products. I can say majority products were gross margins are pretty good.
So, our uniqueness in this business is the product, it's not very high volume products where it contributes INR10 crores to INR20 crores of many products. Margins are good, competition is low, but margins are pretty good. I don't see any optimization is requi red on that. And if most of the products where we had little low graph margins, we worked and improved a lot. And whatever products we have I think it’s a fantastic even as in top 15 products around 60%, 70%.
Okay. But because these products, there are a f ew validation products, when you see quantities,

all these things put together, it's w

orking like that. But I don't see any products we are going to
take out. Whatever products, two, three products we took out last year, but whatever we are
doing, all are profitable products. When it comes to intermediate, as I told you, we are optimizing
intermediate business.
We downsized to almost all, and we acquired intermediate business was INR 500 odd crores.
Now it's almost out. We are trying to move into better gross margin products.
Bhavesh Gandhi : Thanks . I'll join the queue. I had one more. Thank you.
Moderator: Thank you. The next question is from the line of Prachi Sharma, who's an individual investor.
Please go ahead.
Prachi Sharma: Hello. Good evening, sir. Just two questions from my end. So, I just wanted to know what will
the management structure be like for the combined entity? And my second would be if you could
highlight maybe what could go wrong or what are the risks a ssociated with this m erger? Yes,
that would be really helpful?
Rajaram Narayanan: Thank you, Prachi. I think clearly the theme of going ahead is continuity. I think all the
management is going to continue fully committed into this role. This is a very complimentary

merger which is proposed. And clearly, we see going ahead everyone in their expertise, adding
value and going ahead on this job. So, we see the continuity of structure.
Of course, as we build this over the next 15 months, there will be some necessary structural
adjus tments which may need to be done to suit whatever is the requirement for the future. But
otherwise, right now the focus really is on continuity and making sure that we take advantage of
this merger to build the business bigger and faster.
On the second point risks to this entire thing, I think clearly there is a lot of equity in both the
companies. And the risks as I see, could be largely around being able to execute well. Yes , I
think that's really the principle thing that we all need to make sure that it's all the plans that we
have get executed well. Dr. Hari, anything from your side on these two .
Hari Babu Bodepudi: I don't see anything the truth inside, there could be some major risks. I don't know what actually
can go anywhere in the regulatory scenario. In fact, looking at two entities where there is no
overlap, whether it is market or product, we don't se e any risks on that perspective, but going
forward since both entities are growing strongly own way and the risk could be getting synergies,
actually to what extent, when.
That requires external approvals since we're handling an entire regulatory business. Whatever
we anticipate, the timeframe that could be the risk, but that's where Rajaram mentioned
execution is so critical to get there.
Rajaram Narayanan: Thank you. We will go to the next question. Thank you, Prachi.
Moderator: Thank you. The next question is from the line of Bharat Sheth from Quest Investment. Please go ahead.
Bharat Sheth: Hi. Good evening, sir and congrat ulations to you a nd Mr. Raja Babu as well as the team of both
the company for creating such a large platform. Hello?
Management: Yes, Bharat Sheth. Thank you. So good to hear you. Thank you. We can hear you.
Bharat Sheth: At this point w e have guided around say 12%, 13% kind of growth in high teens EBITDA by 27
which is giving around INR2,000 crores of top line and a proceed of around 3%. So, I have to
take it further with combined entities. How do we see if you can give some broader picture, size,
what woul d be the top line and EBITA FY27 or 28 whatever is comfortable you are. So, if you
can give some because qualitatively you have said all the thi ngs, but if you can, I mean, try to
work out in quantitative number, how do we really see this merge entity?
Rajaram Narayanan: Thank you about that. So, clearly as we have said, it is a ac cretive both in terms of revenue and

in terms of margin and that should continue. So right now, we have been guiding that top line
will be growing around 12%, 13% and the EBITDA would be more clo ser to high te ens by 27-
28. What we expect is that after the merger and we really make everything execute it well, it
could definitely be 150 to 200 basis points higher than what we have guided at any point of time.

And of course, from a top line point of view, therefore, it should be closer to INR 4,000 crores
on that time. We, of course, haven't built in syner gies, we haven't built in some other plans which
could be taking this higher, b ut I think at this point of time, we can be confident enough to say
that given that in the very first quarter, both the companies together are already at an annualized
INR400 cr ores plus run rate on EBITDA.
We should be expecting that by 27-28, we would be in the 20%-odd range for EBITDA margins

and of course INR4,000 crores plus in the area of top line. But these things have to be worked out. So, it will clearly be accretive an d we'll get some benefits which will come later from synergies.

Bharat Sheth: And is that fair understanding that even the depreciation in 27- 28 as well as the interest will come down significantly fr om what current level of merged entity here?

Rajaram Narayanan: I think Dr. Hari has made that clear because we will be moving to becoming a debt -free company soon. And that therefore would obviously reduce our finance costs, etc which are required at least for the current plan that we have. And obviously on the other aspect as well, the other lines would improve as we come closer to 27-28.

Bharat Sheth: Thank you and all the best sir and look forward to your longer term as well.

Rajaram Narayanan: Thank you Bharat.

Moderator: The next q uestion is from the line of Kaustav Bubna from BMSPL Capital. Please go ahead.

Kaustav Bubna: Yes. Thank you so much for taking my question. So basically, I have two questions on opportunities. So, the question has always been when Se Quent was only Se Quent that when will SeQuent enter the US markets in terms of animal formulation? So, I wanted to ask, does this merger help us in any way enter the U .S. market in terms of animal formulation? That's the first question. Is there a plan around that?

And the second question is, now since this entity will be merged, can we participate in a big way over the next many years and be key beneficiaries of the Bios ecurity Act in the U .S.? So, these are my two questions.

Rajaram Narayanan: I'll answer the first part. I think at this stage, it's too early to say whether we, have a clear entry strategy for the U .S. on animal formulation. Of course, both the companies are fairly strong in the U .S. market. So, those are things which I think over the next, period of time, both the companies will work out on what are some of the opportunities. It's not something we, overrule right now, but it has to be taken, more carefully by looking at it. I think on the biosecurity please, Dr. Hari, if you. And on the U .S. please as well.

Hari Babu Bodepudi: So, I think Biosecurity Act, of course, you guys know, still it has to be passed from senator thing, but if it goes through, I see t hat's one of the good opportunities for SeQuent . There's large companies that are looking, the alternative majority is coming from China. That's where they're looking the alternative.

India is the best opportunity, of course. So, I think that's going to play a big role if everything goes well for SeQuent . Since there's a large backup of U .S. on R&D as well as manufacturing. That goes, I think that's an opportunity, but it's very difficult to quantify actually, but maybe going forward 5 to 10 years, 7 years , it's going to be one of the grea

t opportu nities for this group together.

Because now together it's visible in a bigger way. All these things, Biosecurity Act, most of the things going to go to visible companies where there's a strong R&D manufacturing backup. We will have that. So, that's a good opportunity definitely. So, we will continuously work on that. That' s one of the pieces to do this. That's one of the great expansion o pportunities for together that.

So, coming to the second one, SeQuent , enter into the formulation. We are revisiting our human health formulation also with that. We'll work out the strategy. So, what kind of things required for SeQuent U.S. entry? Since this major entity is going to be a strong cash flow. So basically, to enter U .S., it requires a little longer gestation period.

And investments also a little high , because they have to build the right facility and defer all those things. Looking at all those things, investment versus opportunity, definitely come back on tha t. So, we are going to do strategy exercise soon. Maybe, I don't know, before or after. Actually, we'll do mostly probably immediately after closing. So, we'll come up with that. We want to do that. But actually, we'll just assess investment versus opportu nity.

Kaustav Bubna: Thank you so much , for those detailed answers. Best of luck.

Moderator: Thank you. Ladies and gentlemen, we'll take that as our last question for today. I now hand the conference over to the management for closing comments.

Rajaram Nar ayanan: Okay. Thank you very much, for attending this call. It is a very exciting period in the journey of both the companies. And we look forward to keeping you updated as in the coming sort of calls on how the entire merger transaction process is going, as well as on the performance of the two companies. Thank you for staying with us. And thank you for your confidence. Good evening and have a good break tomorrow.

Hari Babu Bodepudi: Thank you so much, guys, f or asking questions. So definitely, this is going to help us to refresh and rethink whatever is required. I'm looking forward to work with you all. Thank you very much.

Moderator: Thank you. On behalf of SeQuent Scientific Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Nov 2024

Proven Ability In Life Sciences

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November 22, 202 4

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Subject: Intimation under Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Earnings Call Transcript for the quarter and half year ended September 30 , 202 4

Dear Sir/ Madam,

Pursuant to Regulation 30 (6) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the Earnings Call Transcript pertaining to the Unaudited Financial Results of the Company for the quarter and half year ended September 30 , 202 4.

The same is also availab le on the Company’s website at https://sequent.in/wp - content/uploads/2024/11/SeQuentScientific -Earnings -Nov14 -2024transcript.pdf

Kindly take the same on your record.

Yours faithfully,
For Sequent Scientific Limited

Phillip Trott
Company Secretary & Compliance Officer

“SeQuent Scientific Limited
Q2 & H1 FY '25 Earnings Conference Call ”
November 14 , 202 4

MANAGEMENT : MR. RAJARAM NARAYANAN – MANAGING DIRECTOR – SEQUENT SCIENTIFIC LIMITED
MR. HARI BABU BODEPUDI – WHOLE -TIME DIRECTOR AND CHIEF EXECUTIVE OFFICER – VIYASH LIFE SCIENCES
MR. RAMAKANT SINGANI – CHIEF FINANCIAL OFFICER – VIYASH LIFE SCIENCES
MR. SAURAV BHALA – CHIEF FINANCIAL OFFICER – SEQUENT SCIENTIFIC LIMITED
MR. ABHISHEK SINGHAL – HEAD OF INVESTOR RELATIONS – SEQUENT SCIENTIFIC LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to SeQuent Scientific Limited Q2 and H1 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhishek. Thank you, and over to you, sir.

Abhishek Singhal: Thank you, Dev . A very good morning to all of you, and thank you for joining us today for SeQuent Scientific's Earnings Conference Call for the second quarter and half year ended financial year 2025. Today, we have with us Mr. Rajaram, MD and CEO, SeQuent Scientific; Dr. Hari Babu, Whole -Time Director and CEO, Viyash Lifesciences; Saurav, CFO Sequent; and Ramakant, CFO of Viyash Lifesciences, to share the highlights of the business and financials for the quarter.

I hope you've gone through our results release and the quarterly investor presentation, which have been uploaded on the website as well as the Stock Exchange website. The transcript for this call will be available in a week's time on the company's website.

Please note that today's discussion will be forward -looking in nature, and must be viewed in relation to the risks pertaining to our business. After the end of this call, in case you have any further questions, please feel free to reach out to the Investor Relations team.

I now hand over the call to Rajaram to make his opening remarks.

Rajaram Narayanan: Thank you, Abhishek. Good morning, everyone. A very warm welcome to everyone on the call for the Quarter 2 FY '24, '25 results. This is a significant quarter update as we share the progress on the performance of SeQuent and also update you on the strategic merger with Viyash Lifesciences. I'm delighted to be joined on the call by Dr. Hari Babu, Whole -Time Director and CEO of Viyash; and also joining on this call is Saurav, our CFO, Sequent; and Ramakant, CFO of Viyash.

We are now halfway through this financial year, and I'm happy to share that we continue to improve our performance in most markets and businesses. Coming to the performance of the quarter. In quarter 2 FY '25, our consolidated revenues came in at INR368.6 crores during the quarter, which translates to revenue growth of 6.6% when compared to the same quarter last year that is quarter 2 FY '24.

At the end of the first half, revenue stands at a healthy 11.7% growth versus the first half of last year. This growth continues to be quality growth, which is seen in the margin and EBITDA numbers. If you look at the EBITDA pre -ESOP numbers for this quarter, it came in at INR44.7 crores, which represents nearly a 70% growth over quarter 2 last year.

And when we consider the first half of the year, the EBITDA comes in at INR93 crores, which represents a 160 -plus percent growth over the first half of last year. So we are trending well,

not only in terms of consistent improvement but also in line with the broad guidance that we have given.

While Saurav will go into more detail, I will share some qualitative highlights and more details are, of course, available in the investor presentation. When we look at the external factors, there is always the geopolitical and macroeconomic aspects to keep in mind. We have a strong presence in the developed and regulated markets of U.S. and Europe, where there is general

stability. We, therefore, see a favorable environment for our business.
Our formulations business, which is spread over many countries has had a good quarter and a good first half for the fiscal year, growing in double digits overall and in most geographies.

We are expanding phyto -solutions range to more markets and have also introduced new products for companion animals. There has been strong growth in Europe, especially in our distribution business, and we are beginning to slowly get price increases in an inflationary environment.
Coming to emerging markets. We are seeing a more predictable and steady currency scenario in Turkey, and the government actions are also more calibrated and predictable. We have, therefore, accelerated our efforts to launch a few more products in the coming year, apart from taking judicious price increases.
As we indicated earlier, we have received EUGMP certification for our manufacturing facility in Turkey. So we have started validation of the first load of injectable products for exports from this facility. Our exports from Turkey help us in hedging foreign exchange requirements in addition to driving operational efficiencies. So this has been a good first half for exports from Turkey.
Our business in Brazil, which has seen flat to declining performance last year has begun growing this quarter as we refreshed the product portfolio and expanded to other LatAm markets. And as we have shared earlier, we have expanded our formulations team in India, and this is the first full quarter of that impact. And the India formulations business has also delivered strong double -digit growth.
Now coming to the API business. API revenues for the quarter were slightly below planned as we had to postpone a few quarter -ending shipments to carry forward to the next quarter. But our margins continue to improve, and we have successfully completed many customer audits for continuing businesses as well as for commencing new supplies.
The plants in Vizag and Mahad have received important recognitions for safety and quality from government authorities, customers and industry bodies. Some details are available on this in the investor presentation.
It is here that I wish to bring your attention to the proposed merger with Viyash Lifesciences. The merger will have a transformative impact on the company. In terms of R&D, supply chain and manufacturing, the combined entity will have significant scale, for instance, a sixfold increase in R&D strength and a fivefold increase in capacity.

Viyash is a very strong performer in all aspects of the business. And you would have seen in the investor presentation the excellent results of Viyash on a stand -alone basis as well as the impact on the combined entity. Clearly, this is a highly accretive merger, which will drive strategic advantages for the business. Dr. Hari will later provide a more detailed perspective on this.
So we are now poised for accelerated growth while improving margins. There is increasing interest in animal health, both for production animals and for pets. In addition, there is a growing demand for India to participate as an important source of products and services, be it APIs, formulations or CDMO opportunities. We remain focused and confident that our actions and plans will deliver consistent, profitable and sustainable growth in the coming years.
I will now hand over to Saurav to share the financial details of SeQuent and then invite Dr. Hari to share the highlights of Viyash performance. Over to you, Saurav.
Saurav Bhala: Thank you, Raja, and good morning, everyone. It's a pleasure to be here today to provide key highlights into our financial performance for both the Q2 and H1 financial year '25. We'll also update on the progress of our strategic M&A announced for the composite scheme of amalgamation with Viyash Group and SeQuent Research Limited, one of our wholly -owned subsidiary, which marks an exciting phase in our journey towards long -term growth and value creation for all the stakeholders.
Starting with the SeQuent financial highlights. For Q2 financial year '2

5, total revenue is at
INR3,686 million with EBITDA pre -ESOP of INR447 million. For the first half of financial year '25, our total revenue is INR7,589 million and EBITDA is INR930 million. I'm pleased to report a strong year -on-year growth of 6.6% for Q2 and 11.7% for H1 financial year '25.
Our EBITDA growth is particularly impressive with a 70% increase in Q2 and a 161% increase in H1 on a year -on-year basis. These results reflect our ongoing commitment to drive operational excellence and profitability.
Q2 financial year '25 revenue highlights. In Q2, our formulation business generated INR2,836 million in revenue, accounting for 79% of our total revenue, while API business contributed

INR773 million accounting for 21% of our top line.
Our European operations delivered robust growth with revenue of INR1,335 million, reflecting a 5.5% year -on-year growth on a constant currency basis. Emerging markets reported revenue of INR1,160 million, up by 26.5% year -on-year basis in constant currency. This growth is driven by selective price and targeted price increases and volume recovery in our Turkey market, which is one of our key global formulation markets. The Indian formulation business posted revenue of INR341 million, reflecting a strong 25% year -on-year growth.
Gross margin improvements. We are pleased to report an improvement in our gross margins, which increased by 190 basis points in Q2 rising from 45.1% to 47%. For H2 -- H1, the margin improvement improved by 265 basis points from 43.4% to 46%. This growth can be attributed to several strategic initiatives, including sales mix optimization, and implementing targeted price increase across geographies.

Cost optimization, in line with our focus on improving operational efficiency, successfully reduced operating expense despite facing inflationary pressures across geographies. We achieved a 1% year -on-year reduction in our operating expense for both Q2 and H1, respectively, demonstrating our disciplined approach towards cost management.
EBITDA margin improvements, these actions have led to a significant improvement in our EBITDA margins pre -ESOP , which increased by 452 basis points in Q2 from 7.6% in Q2 financial year '24 to 12.1% in Q2 financial year '25. And by 700 basis points in H1 from 5.2% in H1 financial year '24 to 12.3% in H1 financial year '25 reflecting our continued focus on driving profitability.
Other income and financial items. During the Quarter 2, we recognized a gain of INR31 million on the transfer of leasehold rights for our Tarapur facility in India. We also recorded a net monetary gain due to impact of hyperinflation in Turkey as required, Ind AS 29.
Balance sheet highlights. On the balance sheet, we saw a very modest increase in working capital, which rose to INR425 million, up from INR4,201 million as of 31st March '24. This increase reflects a strategic decision to support the planned growth in our Turkey and Spain business, resulting in inventory levels for short term.
In terms of leverage, our net debt -to-EBITDA ratio improved to 2.3x as on 30th September '24, compared to 3.55x as of 31st March '24. On an absolute basis, our net debt stood at INR3,774 million, a slight decrease from INR3,378 million as of 31st March '24.
Our improved leverage position gives us -- capacity to manage future business growth investments. And navigate any potential economic uncertainties, positioning us well for long - term growth and value creation for all our stakeholders.
Moving on to update on our M&A progress. I'm pleased to report that we have made good progress on the composed scheme of amalgamation. This scheme has been approved by our Board of Directors, involved a merger of Viyash Lifesciences Private Limited and its subsidiary, as well as SeQuent Research, a wholly -owned subsidiary, SeQuent Scientific Limited.
The co

mpletion of the merger remains subject to necessary regulatory approval for which the process has started and is progressing well as per the plan. Here are a brief timeline of key milestones achieved as on date. Board of -- Board approved the scheme on 26th September 2024. BSE filing of the scheme was done on 16th October '24, and the scheme has got listed on the BSE website.
NSE filing of the scheme was done on 17th October '24, and the same is listed on NSE website. In addition, we have also started the process to relocate our registered offices as follows: SeQuent Scientific Limited from Thane to Hyderabad, SeQuent Research Limited from Mangalore to Hyderabad. For the above merger process, we incurred a cost of INR43.2 million during Q2 and H1 of financial year '25, which are accounted for and disclosed as an exceptional item in the reported financials.

In summary, our strong financial performance in Q2 and H1 highlights the success of our strategic initiatives, operational efficiencies and continued focus on profitability. Progress on our M&A activities further strengthens our position for long -term growth and expansion. We remain dedicated to delivering value for all our stakeholders, and we are confident in our path towards sustained growth.
With this, I now hand over the call to Dr. Hari Babu to share further details on the performance highlights of Viyash. Thank you.

Hari Babu: Thank you, Saurav, and Raja. Good morning, everyone. I'm very glad to share Viyash's financial performance and also strategic initiatives today. So coming to financial performance, Viyash recorded strong performance in Q2 FY '25. Our revenue grew by 10% year -on-year to INR363 crores and strong EBITDA growth by 33% year -on-year to INR63 crores. Viyash had EBITDA margins of 73% with an improvement of almost 3% year -on-year.

Coming to first half of FY '25, Viyash revenue grew by 5% year -on-year and again, a strong EBITDA growth by 30% year -on-year. Viyash had a strong first half '25 EBITDA margins of again 17.2%, which is almost improvement of 3.3% from last year. And we also generated INR100 crores of free cash flow.

I think this is a big achievement for this year, mainly driven by optimization in working capital and also low capex . As we mentioned earlier also, we have actually strong infrastructure in manufacturing and also we have some free capacity. That's how we were able to reduce capex . Our net debt to LTM EBITDA ratio is 0.7%, even after actually investing to acquire 5% residual stake in first half.

The financial performance is driven mainly by focusing on high -margin API products. And also, as we mentioned earlier, we rationalized a couple of intermediate business, which are not sustainable products and also a continuous cost optimization of various projects, both API as well as intermediates. And also business growth is mainly supported by investments what we did the last couple of years, where we did a lot of investments and resources in R&D as well as operations.

With that, actually, it started resulting now new product filings as well as launches. So I think these are the recorded filings. First half, we are able to do 19 products globally. Of course, 17 are API and 2 FDFs we filed all over the world, start from U.S., Europe, China, everywhere in the world.

And also, we were able to launch 2 products in first half. And the second main key focus area where we did last couple of years, innovative business. Even though we were doing innovative business for their life cycle management, with our strong R&D strength and operating platform, we are able to develop 2 more innovative business -- and after struggling last 2, 2.5 years hard work, now we are able to validate and supply validation quantities for 2 innovators. One is API, we did last quarter and also we did one intermediate last quarte

r.

These 2 are basically part of their life cycle management, where they do large volume commercial products. And we expect approvals for these things start from maybe next 1, 2, 3

years because it requires a lot of regulatory filing from this side, and it's going to generate business from -- after 1 year intermediate, but most of the API business is going to generate maybe after 2 years, right?

In continuation to this, of course, we have a few products also in pipelines, strategic tie -up with innovator as well as large pharmaceutical players. And also, as we continuously mentioned, this is an R&D -focused company. So we have always strong product portfolio and pipeline. So today, at any point of time, today, we have 25 products in our pipeline, and we completed 9 products validations in first half.

And with our regulatory and quality focus, we were able to manage multiple audits continuously. I think last 6 months, there were 99 customer audits from various countries, and our team was able to handle successfully all audits. And also, we have received 2 EIR -- clean EIR from U.S. FDA, which was audited last quarter of FY '24. These are the 2 clean EIR. And also, we are expecting a few more inspections soon, but our team is fully geared up to manage all those things.

And first half of FY '25, we have received 6 regulatory approvals, 2 in U.S. and 3 in Europe. These are a mix of both FDA as well as a couple of CEPs. And also, we received product from China. And diverse revenue from strong portfolio. So our portfolio is always we say it's differentiated from all other generic companies that shows actually a strength of sustainability maintaining profits.

Our top 10 products contributes almost 62% of our API revenue. And this is mainly because of our products are either innovative based or a little bit complex. And also, we are able to maintain sustainable growth because of fully backward integrated and complex products. And these 10 products, if you see last 2 years from FY '20 to '24, it has grown over 20% CAGR, last 2 years.

And also out of 10 top APIs, 6 products, we are global leaders with 50% plus market share. And our portfolio is always either complex or fully backward integrated with the high share of revenue from regulatory markets. Most of our commercial products, we are very strong in regulatory. That's how we are able to sustain the gross margins. And innovator relationships. We have strong innovator relationship. I think we have 4, 5 innovators who always we do

business, but it's mostly part of their life cycle management.
We are continuing to do both innovators as well as strong relationship with the big innovator companies. And team, our team is very strong. It's all our globally experienced team and average experience, I can say, more than 20, 25 years, each one. And most important, all these guys are very well exposed to every global market to handle either R&D complex development or manage highly complex regulatory environment and also business team is very qualified team managed all over the world. And of course, all our quality and regulatory teams are pretty strong globally.
With this, let me update a little bit about our combined performance of merger entity. For Q2 FY '25, combined revenue of the 2 entities grew by 8% year -on-year and most important,

EBITDA grew by 46% year -on-year. The combined business had an EBITDA of INR108 crores with 14.7% margins with 380 basis points improvement year -on-year.
Going to FY -- first half of FY '25, combined revenue of the 2 entities grew by 9% year -on-year and EBITDA grew by 67% year -on-year. The combined business had an EBITDA of INR214 crores with 14.6% margins with 510 basis points year -on-year improvement. So the combined net debt today, net debt -to-EBITDA ratio

is 1.4x, and it's going to improve continuously.
As we had indicated previously, the merger will create a global integrated end -to-end pharmaceutical business, both in animal health as well as pharmaceuticals, human health. The combined business will have, as Rajaram mentioned earlier, it's 6x larger R&D time, R&D team is almost 200 people in Viyash and 5x more capacity and 10 more U.S. FDA -approved sites.
As you guys know, Viyash, all our sites are fully FDA -approved sites. We believe there are potential synergies in 4 core areas. That's the strength of, of course, Viyash and SeQuent. The first one is manufacturing with the strong capability of Viyash manufacturing and procurement. That's where actually we can have a lot of synergies for SeQuent. And also business perspective, since both companies are having relationship with big pharmaceutical companies, including innovators, we strongly believe we can expand sales footprint for both companies.
And R&D with Viyash coming in, strong R&D, this is going to help SeQuent a lot in R&D perspective to develop new products as well as launching. Others, of course, indirect costs since our base is going to grow largely this indirect cost, direct procurement, all it's going to have large synergies. And of course, we started putting together what kind of synergies, and we'll start acting very soon on those things within the regulatory purview.
As Saurav mentioned merger scheme, merger scheme has been filed already with the exchanges. We started addressing their queries. And we expect this maybe next 12 months -- 12 to 15 months, as I explained earlier, I think it's on track. With these things, I can say with the combined platform, we are going to have a strong business potential. We started working together. Of course, within the regulatory purview, we are going to put together what kind of synergies, when can we act, when we are going to see those synergies will come to you guys soon.
With that, thank you so much, and we are happy to answer any questions. Now I hand over to Abhishek to you. Thank you.
Moderator: Thank you. We will now begin the question -and-answer session. The first question is from the line of Ritika who is an individual investor.
Ritika: I actually have three questions. One is, would you be undertaking any acquisitions in the future? And what kind of businesses would that be in? Secondly, Carlyle invested 4 years ago, I think. So what are their plans for exit? And third would be what is the plan to reduce your debt and also your finance cost?

Rajaram Narayanan: Thank you very much, Ritika. So obviously, this is a big merger for us, and it has been -- this itself is something that has to get executed over a period of time. But would we be open to any kind of acquisitions and opportunities, whether they are small brands, whether they are small partnerships or even strategic large opportunities? Yes, we will be.
It needs to fit in with the areas which we want to grow. And we have spelled it out very clearly that we are looking for growth in certain specific areas in animal health. We are looking at opportunities to deepen our capabilities. And also in terms of the entire companion animal area is the place where we would be open to taking any acquisitions.

So yes, we are. But obviously, we need to be very disciplined in the way we will make these choices. It is not something that we are intending to do merely to pursue growth. As far as Carlyle plans, frankly, they are the promoters in this. I would imagine that they are fully -- since they are the principal shareholders in both the companies, and this merger would indeed also go through with the support of Carlyle.
They are fully invested in this particular operation. But I wouldn't be able to speak on their behalf, except, of course, say very clearly that we have

enormous support from the promoters
in all respects, including the execution of this merger as well as benefits that we would get after this particular merger. On the third area, which is to reduce debt, I think you're already seeing that we have, as a result of this merger, in terms of leverage, we would be coming down quite substantially. But I'll ask Saurav to comment a bit on the debt side of it.
Saurav Bhala: Yes, sure. Thanks. So our debt -to-EBITDA level is already going down. As I explained, it was at 3.55x as on 31st March '24. As on 30th September '24, we are down to 2.30x. And with the improvement in EBITDA, the debt or the gearing ratio is going to go down. Overall debt level, I believe, would remain same for next few quarters, where there's a lot of investment happening in terms of working capital to support the business expansion.
Also, it's important to note that is on a stand -alone basis. If you see on a combined basis, even today, our debt EBITDA is below 1.50x if you combine SeQuent and Viyash financials. And that brings us to a very comfortable position in terms of overall debt level and the gearing ratios. Thank you.
Rajaram Narayanan: Thank you. Maybe I'll ask Dr. Hari to also comment a bit on the first question, which is on any plans on the acquisition because I think that given the current merger, he would also have a perspective on that.
Hari Babu: Sure, Raja. This is a continuous process either expanding the business or expansion goes through various things, right? One is going into the new capability development like new product acquisition or new acquisitions or mergers. This is a continuous process, but definitely, we look at continuously, but may not be bigger acquisition soon, but we are going to add multiple areas on capabilities and products. And also if we get opportunities, we are always open to acquire products.
That's a continuous thing. And coming to that one, financial strength, if you see combined entity, we are going to be very financially strong company. It's going to soon, maybe I don't

know exactly, at least 1, 2 years, it's going to be debt -free company. But the intention is not to maintain debt -free company, how can you invest further and grow business? That's a continuous process.
Moderator: The next question is from the line of Nikhil Shetty from Nuvama Wealth.
Nikhil Shetty: And sir, could you clarify is there any seasonality in our formulation numbers as the sequential figures appear lower? And also what is the primary driving the growth in the Indian formulation? Are there any recent product launches or it is largely due to the field force expansion?
Rajaram Narayanan: Thanks. So first of all, there is seasonality in specific markets. But on an overall basis, it's not really seasonality. I think sequentially, you will see some reduction in quarter 2 compared to quarter 1 because as we had indicated, we had had an extraordinary sales of vaccines in the first quarter on account of a breakout of the Blue tongue disease, which happened in Europe. And that was something which gave us quarter 1 a bit of a jump. But having said that, all the other businesses on a year -to-year basis are growing in double digits. And that's why I would say that the growth of the businesses are intact.
The second part of it is -- but yes, in market by market, you will find some seasonality, which will come in. But this particular quarter being slightly lower than the first quarter, but still growing in double digits is on account of additional sales that we got in Europe in the first quarter. Second question on the India formulations growth. It is not entirely on account of addition of new people that has just started giving us the impact because, as you know, it takes time for the new locations to get full potential of sales.
It is on account of more aggressive promotions

. It is also on account of 3 new products, which
we had launched last year. which are now getting the full scale of sales. You would recall that I've spoken about 3 products which we had imported -- started importing from Turkey and we've launched it in India. So we're also getting some growth on account of that.
But the impact actually of the new people on ground would be more evident towards quarter 4 because that's the kind of time around which you begin to reach full real capacity for what you have invested in terms of people. So it takes about a year to get the full potential of the region.

Thank you, Nikhil.
Nikhil Shetty: Yes. So it would be helpful to understand the extent of API sales that have shifted to Q3 and the reason behind the shift and what quarterly run rate you expect for H2?
Rajaram Narayanan: Look, I won't get into the exact number, but we would typically have liked to be more in the region of INR85 crores to INR88 crores is the kind of number which we should have been in quarter 2. So you can make some kind of estimate of how much might get carried forward. I think we are right now looking, as we had indicated earlier that between an INR85 crores to INR95 crore run rate is what should be a sort of steady state for us. At this stage, there's no reason to believe why we will not be that.

Nikhil Shetty: Yes, that's helpful. And lastly, sir, regarding exceptional items, are there any remaining expenses related to the Viyash merger? Or have all costs have been reported in Q2? And could you explain why esop cost is higher this quarter? I believe it was expected to be lower.
Rajaram Narayanan: So I'll answer the second one piece of it. As you know, there is a total plan for esop, which was approved in 2020. And we have now nearly completed the allocation of all that was not granted. And so with that, we have nearly completed all the grants which were there. So it's one, the balance grants, which have been provided in this particular quarter as well as some change in the vesting conditions, which have -- which will not impact on the totality of the cost, but would accelerate a bit into the early year and not impact the total impact on the total cost of the esop.
The second question in terms of exceptional items. Obviously, the merger process is on. So there will be costs which will come. But this is what is typical to any kind of a merger. We will make those estimates as we go along. I wouldn't want to give a clear guidance on that right now.
Moderator: The next question is from the line of Bharat Sheth from Quest Investments.
Bharat Sheth: Congrats to the whole team of the SeQuent this year. Sir, my question is now since announcement 2 months has already passed, but I mean, so before official merger is announced in April, so operational, what are the benefits that we look -- I mean, try to get in, say, over the next 12 months to 2 years' time that can help us, I mean, understanding broader aspect? That is first question.
Rajaram Narayanan: So what's the other question, Sir? What else, what are the other questions? I just take all the questions together so that I'll be able to answer.
Bharat Sheth: And we have been getting understanding that a lot of -- I mean, animal health care are looking India for CDMO business. as well as custom manufacturing. So in that place, how we'd like to play out over the next 2, 3 years? And third, on the financial side, sir, if I look at, I mean, our H1 formulation growth reported to be 16%. But if we look at constant currency, which is 24% and since you -- in your opening remarks, you said that Turkey has stabilized. So how do we see second half growth?
Rajaram Narayanan: So thank you, Mr. Sheth for the 3 questions. I'll take the third one, which is on the constant currency growth and on the formulation. So at this point of time, what you can see is that

there
is growth in constant currency as well as there is growth in the reported currency in both -- in almost all the markets, right? So I think that gives us a sense that -- and there is not so much of a difference between the 2 growth numbers, which means that there is no adverse movement in currency other than what is normally would be a depreciation, which may happen here or there.
So to that extent, I think going ahead also in the second half, we are confident and also hopeful that there will be growth both in constant currency as well as in the reported currency on the -- in all the markets. In Turkey, specifically, since you have asked, in recent times, which is the last 2 quarters, we have seen that the currency is relatively more stable.

And also there are no ad hoc sort of announcements and initiatives, which we used to see about 2 years ago. So to that extent, I think we can begin to be looking at a business where we are focusing on growing volumes, making sure we are launching new products and not get too impacted other than, of course, inflation, but that's where we bring in price increases.
There are 2 other questions, which actually I will request Dr. Hari to give his perspective on it. The first being on now that the merger is a little over a month from an announcement, how do we see the next 12 months in terms of synergies and things coming together. And also the second one, which is on the CDMO opportunities, which could be coming up in animal health.
Thank you, Dr. Hari.

Hari Babu: Yes. Thank you, Raja and Saurav. Coming to synergies, we started working with the synergies. And as I explained, there are 4, 5 core areas where we are looking at the synergies, R&D, manufacturing sales and other indirect costs, whatever. These synergies will be both short term, midterm and long term. We started working. Of course, since we just filed 2 months back, still we need to understand what extent we can share this to public.
But as soon as we can, we will share, but we are working very seriously both teams. But definitely, it's going to be the good synergies, both short term and midterm. But most important long term is our focus. So we can share you guys as soon as we can because still we need to work what kind of things we can share to the public.
And the second thing is CDMO. There's a lot of initiatives happened both sides. Already, we started interacting, okay? Without conflicting anything whether CCA or regulatory purview, we started interacting. And we see some good opportunities coming in CDMO business with Viyash capability already we started working with one CDMO business very actively. But these CDMOs will take a little longer time.
It's mostly midterm opportunities thing. And Viyash also there's a large number of products going on, both CDMO with big pharma as well as CDMOs with big generic companies also, we are trying to work with big generic companies in different ways. Instead of just selling and buying mode, we are working with a few partners.
That's how you see that just in 2 years for any company, it's not easy to build a relationship with innovator and complete all their requirements, which includes big EHS activities and quality and developing products as expected by them. It's not like generic whatever process you can do, it's not the same way to CDMO.
So we are very successful to develop 3 products with them to innovators. Already we validated and supplied one intermediate and one API. These are the big products which is going to happen that. So it's going to be a large CDMO business next 3 to 5 years, but CDMO revenues will start coming maybe in the medium -term kind of thing. I hope I answered your questions. If you have any further question on this, I can...
Bharat Sheth: Apart from that contract manufacturing, which SeQuent already has and SeQuent has got some a

pproval. So how do we can, I mean, transfer because SeQuent is facing some kind of a

manufacturing capacity constraint also. So that can be transferred to our facility in 2 years? And how long that will take?
Hari Babu: So there are 2 aspects in that. One is how fast you can expand or transfer existing business. Still, we want to maintain that animal health identity in that site. Whatever SeQuent requires immediate needs up to penultimate stage. Up to n -minus -one stage is same, whether it is human health or animal health. That's where we have a large capacity. You can see our intermediate facilities are approved by FDA.
That's where we can do quick transfers. That's what we call, if it is US FDA CB -30. All other regulatory approvals, of course, based on the market normally takes 6 months to 1 year. Some things can happen in 6 months, something can happen in 1 year. So we are evaluating all those things. The short -term approach is whatever intermediates, they need, additional demand, those things can be transferred immediately to Viyash manufacturing sites.
And also second thing where we procure key starting materials from external sources. If there is a synergy, those things also we'd like to transfer to Viyash. Of course, the additional capability to build Se Quent for short -term needs. So already, we are working together, how can we expand final stage APIs by supporting Viyash from intermediates.
So these things are happening. It's not only contract manufacturing, it's contract development as well as manufacturing. And also now SeQuent is going to pursue aggressively on generic animal health products. Today, most of the SeQuent business is going to innovator 70%, 80%. And there are a lot of opportunities coming even from generic animal health. That's where we are going to focus on these things. All we are working on, I think maybe take some time. We can share you as soon we can.
Bharat Sheth: Then the next question?
Rajaram Narayanan: Hello. There's a next question?
Moderator: The next question is from the line of Kiran D from Tabletree Capital .
Kiran: Sir, this question is to Dr. Hari. Sir, I mean, we have tried searching for more information on Viyash licenses, but beyond knowing that Linezolid is one of the products, we hardly know anything about Viyash. We are not able to find any information. So if you could just elaborate in detail about -- some of our customer segments, what we do, how much is our domestic revenue, how much is our export revenue?
Are we doing ARVs, anti -infectives, oncology, which segments? So if you could just elaborate on the Viyash business on product segments, customer segments and what percentage of

domestic export revenue, innovator segments? If you could just -- again, this is like a very strategic level of information that I'm looking for, Dr. Hari.

Hari Babu: Sure. Thank you for that. But I can give you very high -level things, guys. I cannot go into very detail, but I can give you a very high -level thing. So Viyash operates very large portfolio in API today. So we have about 60 commercial products, and we operate almost close to 150

countries. So we sell everywhere in the world. Our majority business, of course, API business in Europe, major business, almost 30 -plus percentage we do, but we are growing very fast in the U.S.

And we do business in LATAM . We do business in China. And our large business is coming from exports and mostly from regulated markets. So regulated markets, the definition that somebody says U.S., Europe, Japan, Australia, but if you look at the markets like emerging markets, China, Brazil also works under highly regulated markets. Once you enter with the client, it's very difficult to change those markets.

In fact, U.S. is much easier than those markets. So our major r

evenue comes from regulated

markets, U.S., Europe, LatAm, China. And now last 2 years, we started working with Japan. If you ask me straight, where we don't have much business today is Japan. That's where we are working very seriously. Fortunately, we are able to tie up with a few customers last 6 months, 1 or 2 products.

And our India domestic to domestic market is very little. We don't sell much for domestic to domestic. See, even though our numbers reflects India sales, it mostly goes into the regulatory markets. You know very well, most of the Indian companies control U.S. as well as Europe generic market. So that's how they buy from us and convert and sell it to U.S. Europe. So it's going to the mostly regulated markets.

So we have 60 commercial products and almost 20 products under, either filed or under approval stage. That's the use case. And always, our pipeline is around 20%, 25%. We have very strong portfolio team. And of course, R&D, we have strong R&D around 175 people in AP R&D. They are capable to do at least INR10 crores, INR12 crores in a year. That's how we are able to do that.

And when it comes to product segment, we are everywhere. Most of the things, API business requires general facilities for most of the areas, except a few areas like fermentation or hormones or oncology. Other than hormones, fermentation, we are everywhere. So this product segmentation is -- we are in all categories, whether CNS, diabetics, every area we are there, in fact, to all those things. And new area where we started is oncology. We have FDA -approved facilities.

Oncology, one facility, we mostly used to do for contract manufacturing, one of the big companies. But other facility, we refurbished and requalified this quarter. That's oncology capability -wise, it's one of the big facility. We have 2 modules on that, modules are ready now. We just qualified all equipment.

So now validations are going to start in that oncology. And also, if you can see our portfolio, current portfolio, almost 50% are in oncology. Our strategy to develop last 2, 3 years products, we did mix of 2, 3 categories. One is to maintain sustainability, whatever is the top line bottom line. Second is how can we grow midterm by developing either large volume products where we have strength on intermediates or where we have strength on formulation, go to backward integration. That's how we focus in one category.

And third category is most going towards a little more complex areas, which includes oncology. That's how we moved out slowly from mature products to little complex products or little late launches like NCE -1 or a little more complex. So that's how our current portfolio is 50-plus percentage are all new molecules, either complex or oncology. So it's going to be a big oncology portfolio we are going to build next 1, 2 years.

So markets, that's how we do 150 -plus products we have commercially but all over the world. And this is not the only Linezolid company, as I explained earlier. I don't know how many companies really have this strength. Our 10 products give 60 -plus thing. So it's very well diversified. It's not depending on one product like Linezolid. All products contribute a lot and all products gross margins are pretty good.

And the second point, what I mentioned, out of 10 top products, 6 products, we are the market leader. It's not only -- of course, Linezolid, we have our own patent. We are the market leader. Other than Linezolid, we have 5 other products. We are the market leaders in the regulatory

market. Of course, these 6 products are everywhere in the world. That's how we can differentiate. So we have a very strong portfolio. That's how we are moving on that. If you have any further question, I can answer -- sorry?
Kiran: So the follow -up question then is, sir? Sir -- yes, sir. Go ahead.
Hari Babu:

Sorry, another 2 things you asked, antiretroviral. Even though we filed a few products when we built this company, our intent was to go to a fully integrated platform antiretroviral. Since we had intermediates, we have strong capability on both manufacturing as well as understanding the market. But we realized looking at the competitive profile, how the market is going on. So we decided to drop antiviral products soon.
So that's how we rationalized a couple of products. Why our topline has not grown too much from last year first half to this, only 5%, whereas EBITDA has grown drastically. That's one of the reasons we rationalized a few antiretroviral intermediates. In fact, we lost almost INR150 crores, INR200 crores topline. We downsized that commodity business.
And moving towards more complex or more new products. That's how all our intermediate business, we are moving out from commodity, large volume where small guys can compete differently. We are moving to either innovative players or big generic companies where we can tie up long. And also doing a little more complex regulatory environment for new products because that's where we see the growth opportunity for intermediates, if you tie up with the regulatory and regulatory expectations are also growing day by day for intermediates.
That's where we see opportunity for us. That's how intermediate business is growing. And the third business segment, finished doses. So we have a manufacturing site in U.S. We do business only for U.S. at this point. But we are working actually how can we expand other markets, but that's going to happen next 3 to 5 years.
Kiran: A follow -up question. I just have a follow -up question, sir. In terms of revenues, we have reached -- again to Dr. Hari. We have leased about INR700...

Moderator: Sorry to interrupt Mr. Kiran, please fall back in the queue for further questions. The next question is from the line of Kaustav Bubna from BMSPL Capital.
Kaustav Bubna: So last time we spoke about the potential opportunities from this U.S. BIOSECUR Act. So just wanted to understand what's the update on -- how is this progressing? What is the update? Has it been approved? When will the benefits start flowing in? Could you give some updates over there?
Hari Babu: I don't see the current update, but what I heard actually is still it has to be approved in one house. Since now Trump coming in, everybody is expected that it is going to approve in other house also soon. but we have to wait and see. But more than approval, we see there's a positive trend last 1, 1.5 years. That's how CDMO companies are able to expand capacities and able to get.
And also, we also see some opportunities from big companies. So one is that when they are going to approve all those things. But irrespective of that, we see that positive trend coming with this to India. I think that still the Senate approval is pending. So maybe after the new government of Trump come in, they do that.
Kaustav Bubna: Okay. So basically, the Senate approval is remaining. And so I mean, you all are in the know -how, you all are close to this matter. Do you think there's a risk with Trump taking office? Or do you think it will aid the passing of this act?
Hari Babu: I cannot comment that level. But at a personal level, I don't see any risk it's going to happen. But official approval, nobody knows, but business is going to come to India. That's what I can tell you.
Moderator: The next question is from the line of Prashantkumar Hazariwala, who's an individual investor.
Prashantkumar : Congratulations for good improvement in EBITDA operating margin. But my question is like when we will see this kind of impact in profit after tax because when we come down to the profit after tax, there is nothing much left into the -- for the profit. So how do you see this? Like when exactly we can e

xpect that we will get to some good level of profit after tax?
Rajaram Narayanan: Yes. I think -- thank you for this question. You should also look at it in the way in which post the merger, what we -- how the financials would move. And therefore, all that at this stage, I can say is that the way the business plans will emerge, we expect that at a PAT level, we would be beginning to accelerate on the delivery at that level very soon, yes, much earlier than we would have been able to do on a stand -alone basis on SeQuent.
Prashantkumar : So like for Sequent, when will -- what we had a plan for SeQuent? If we don't consider merger, what was the plan for SeQuent for about after tax...
Rajaram Narayanan: I think we are already beginning to move in that direction. If you see that in quarter 1 of FY

'25, we had begun to turn positive on PAT. And by the fourth quarter of this year, we would begin to get the growth coming in. And therefore, FY '26 is where most of the incremental

growth, which would come into margin and EBITDA would flow through straight into the PAT, yes, Saurav...

Saurav Bhala: And just to add, there is already a very significant improvement in the PAT. H1 financial year '25, there was a negative PAT of INR588 million. H1 '25 debt is a positive of INR199 million, strong trend reversal and a growth of 134%. All this business upgrades takes time, and we -- directionally, we are already there, and we keep on going strongly in the direction.

Prashantkumar : So all right. And so what kind of cost -- esop cost we will have for next 1 or 2 years? Like how do we see this cost? Because it is dampening our profit after tax all the time and it's driving all -- it's not finishing. I don't know why, it's not like before 2, 3 years, we have started, but still it keeps on going on. how do we see esop cost?

Saurav Bhala: It is improving, and it will keep on improving, but unfortunately, we don't give forward guidance on specific numbers for a couple of years.

Rajaram Narayanan: All that I can say -- is that what I said earlier is that the scheme grant, which is the total number of shares which were approved for grant more or less have been exhausted with the last round of grants which happened this quarter, yes. So therefore, obviously, we should see that in the next 2 to 3 quarters, it should directionally start moving downwards.

Prashantkumar : So any ballpark number, like estimates in like INR1 crore, INR2 crores, right kind of thing? What kind of cost we can consider quarterly?

Rajaram Narayanan: We expect it to increase. It should begin to come down. And I think it's by the next quarter, we'll begin to give some more clarity on the rate at which it will come down.

Moderator: Due to time constraint, that was the last question for today. I would now like to hand the conference over to the management for closing comments.

Rajaram Narayanan: Thank you. Thank you, everybody, for participating in this call. And I hope that we've been able to provide you insights on our business performance and also the way ahead as a result of the proposed merger with Viyash. We are excited with the prospects and the journey ahead. We've already begun to see the results. And we thank you all for supporting the company. We will now end this call and wish you all a good day ahead. Thank you.

Saurav Bhala: Thank you.

Hari Babu: Thank you everyone.

Moderator: Thank you. On behalf of SeQuent Scientific Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2025

Proven Ability In Life Sciences

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February 17, 202 5

To,
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Subject: Transcript - Q3FY25 Earnings Call pertaining to Unaudited Financial Results (Standalone and Consolidated) for the quarter and nine months ended December 31, 202 4

Dear Sir/ Madam,

We refer to our intimation dated February 13, 2025 regarding audio recording of Earnings call pertaining to the Unaudited Financial Results (Standalone and Consolidated) for the quarter and nine months ended December 31, 2024 . In this regard, pursuant to Regulation 30 read with Part A of Schedule III and Regulation 46 o f the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the Transcript pertaining to the said earnings call for your reference.

The same is also availab le on the Company’s website a t
https://sequent.in/wp -content/uploads/2025/02/SequentScien -Earnings -Feb13 -2025.pdf

Kindly take the same on your record.

Yours faithfully,
For Sequent Scientific Limited

Yoshita Vora
Company Secretary

“SeQuent Scientific Limited
Q3 FY ‘ 25 Earnings Conference Call ”
February 13, 202 5

MANAGEMENT : MR. RAJARAM NARAYANAN – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER – SEQUENT
SCIENTIFIC LIMITED
DR. HARI BABU - WHOLE -TIME DIRECTOR AND CHIEF
EXECUTIVE OFFICER – VIYASH LIFE SCIENCES
MR. SAURAV BHALA – CHIEF FINANCIAL OFFICER –
SEQUENT SCIENTIFIC LIMITED
MR. RAMAKANT – CHIEF FINANCIAL OFFICER –
VIYASH LIFE SCIENCES
MR. ABHISHEK SINGHAL – HEAD OF INVESTOR
RELATIONS – SEQUENT SCIENTIFIC LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the SeQuent Scientific Limited Q3 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch -tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Abhishek Singhal. Thank you, and over to you, sir.
Abhishek Singhal: Thank you, R utuja. A very good morning to all of you, and thank you for joining us today for SeQuent Scientific's Earnings Conference Call for the third quarter and 9 months year ended financial year 2025. Today, we have with us Mr. Rajaram, MD and CEO, SeQuent Scienti fic; Dr. Hari Babu, Whole -Time Director and CEO, Viyash Life Sciences; Mr. Saurav Bhala, CFO, SeQuent Scientific; and Mr. Ramakant, CFO, Viyash Life Sciences, to share the highlights of the business and financials for the qua rter.
I hope you've gone through our results release and the quarterly investor presentation, which have been uploaded on our website as well as the stock exchange website. The transcript for this call will be available in a week's time on the company's website.
Please note that today's discussion will be forward -looking in nature and must be viewed in relation to the risks pertaining to our business. After the end of this call, in case you have any further questions, please feel free to reach out to the Investor Relations team.
I now hand over the call to Rajaram to make his opening remarks.
Rajaram Narayanan: Good morning, everyone, and a very warm welcome on the call for quarter 3 financial year '24 - '25 results. We are now in the final quarter of this financial year, and I'm delighted to report that the company has continued to accelerate its performance on to p line and on margins.
I will share the performance of the quarter in more detail as well as the progress on the merger with Viyash Life Sciences, which was announced in September 2024. I'm joined on the call by Dr. Hari Babu, Whole -Time Director and CEO of Viyash Life Sciences; and also joining on this call is Saurav, Chief Financial Officer of SeQuent; and Mr. Ramakant, CFO of Viyash.
Coming to the performance of this quarter, in quarter 3 FY '25, our consolidated revenues came in at INR3,908 million, which is the highest sales in any quarter in the last 3 years. This translates to a growth of 18.7% compared to the same quarter last year, that is quarter 3 FY '24.
At the end of the first 9 months of the year, revenue growth stands at 14% versus the first 9 months of last year. This growth is on the back of strong efforts on margin improvement through a combination of pricing, product mix and cost management. EBITDA pre-ESOP, for this quarter came in at INR494 million, represents approximately 64% growth over quarter 3 last year. When we consider the first 9 months of the year, EBITDA, pre -ESOP, at INR1,424 million, represents a 116% growth over the first 9 months of last year.

Our cumulative PBT at the end of 9 months has also grown to INR280 million, which is nearly 150% growth over the same period last year. Clearly, the momentum is evident in the results, and we are, therefore, confident of systematically improving on all parameters going ahead. I will share some qualitative highlights a nd more details are available in the investor presentation.
There are obviously some developments globally, which are geopolitical in nature. While we are alert to the event, our focus is on o ur operations and our customers.
Starting with our formulations business. Our operations in emerging markets led by T

urkey
continues to grow in healthy double digits, both in local currency as well as in reported sales. Additionally, we are growing exports out of Turkey and our recent EU certification at the factory in Ankara will start giving us more opportunities. The formulations business in Europe is growing in volume as we introduce new products for Europe and other markets.
In Latin America, we have extended our operations beyond Brazil and into Mexico and Peru. In addition, we continue to build a global platform for gut health products based on natural actives, which are increasingly getting preference as users and regulator s get stricter on the irrational use of antibiotics.
I had said last quarter that we are doubling down on India as a key market to accelerate growth in formulations. Our initiative project Udaan to reach more veterinarians with an expanded field force is now yielding results, again, with double -digit growth everywhere. We will increase our reach again next quarter and that should prepare the foundation for higher growth in the next year when the impact is annualized.
Coming to APIs. We see a positive swing in some therapeutic areas, especially in the deworming category. Our API revenues for the quarter have grown sequentially as well as versus the same period last year. Our factory in Mahad has received additional WHO pre -qualification approvals, and this should position us well for supplies to new formulators.
During the quarter, we also completed 1 new CEP filing. Our margins continue to hold or improve and we continue to drive the next phase of margin expansion with our new CIP initiatives. As discussed during the merger announcement, we will be very well posi tioned in R&D as a result of the merger with Viyash. You will hear more about this as and when we are in a position to share more information.
As we head towards the completion of this financial year, I am very glad that the tough decisions we took last year on creating a more profitable product mix, closing a high -cost operation in Europe, and driving cost improvement programs systematically hav e now helped us reach a place from where we can accelerate growth.
Our balance sheet is becoming stronger. And with the merger, it would be substantially strengthened to support an aggressive play in areas like health care for companion animals.
I will now hand over to Saurav to share the financial results of SeQuent Scientific Limited and then invite Dr. Hari to share the highlights of Viyash and the consolidated entity. Over to you, Saurav.

Saurav Bhala: Thank you, Raja. Good morning, everyone. It's a pleasure to be here today to provide the key highlights into our strong financial performance for both quarter 3 of financial year '25 and 9 months of financial year '25 as well. I will also share the update on the progress of our strategic merger with Viyash Group and SeQuent Research, one of our wholly owned subsidiary.
Starting with Q3 financial highlights for SeQuent, we achieved a total revenue of INR3,908 million for Q3 '25, delivering a strong year -on-year growth of 18.7% and a quarter -on-quarter growth of 6%. Our formulations business recorded INR3,008 million in revenue, registering a growth -- year-on-year quarter 3 growth of 19.2%, and a quarter -on-quarter growth of 8.9% on a constant currency basis.
The API business posted INR812 million in revenue, demonstrating a year -on-year growth of 16.1% and a quarter -on-quarter growth of 4.5%. The gross margins improved by 300 basis points on a year -on-year basis, rising from 45.2% to 48.2%. There was also a 120 basis improvement on a qu arter-on-quarter basis from 47% to 48.2%.
Our EBITDA, pre -ESOP, for the quarter amounted to INR494 million, reflecting a strong year -on-year growth of 63.8% and a quarter -on-quarter increase of 10.5%. The EBITDA margins,

pre-ESOP, stood at 12.6%, delivering a healthy improvement of 340 basis points on a year -on basis. Our PBT registered a very stron g growth in Q3 of 444% from INR15 million last financial year Q3 to INR81 million in the current quarter.
Coming to the highlights of -- for the 9 months ended financial year '25, for the first 9 months of financial year '25, we achieved a total revenue of INR11,497 million, reflecting a year -on-year growth of 14%. The formulations business recorded INR8,849 million in revenue, contributing a year -on-year growth of 21.9%. And the API business posted INR2,509 million in revenue, reflecting a year -on-year growth of 7.8%, both on a constant currency basis.
The gross margin improved by 280 basis points from 44% to 46.8%, driven by focused strategic actions on our -- such as sales mix optimization initiatives and very selective price increase across regions to maintain our margins.
EBITDA delivery stood at INR1,424 million, which is a significant growth of 116.5% year -on-year basis. Our EBITDA margins, pre -ESOP, increased by 590 basis points on a year -on-year basis, increasing from 6.5% in 9 months financial year '24 to 12.4% in 9 months ended financial year '2 5, setting our strong focus on driving profitable growth across segment.
On a YTD basis, our PBT also grew very strongly by 149%. Coming to other key items. In Q3

financial year '25, we recognized a net monetary gain of INR5 million on account of the hyperinflation accounting adjustment as required under Ind AS 29 for our Turkey operations, which is -- which remains to be in a hyperinflation economy.

During Q3 '25, a forex loss of INR52 million was reported, primarily driven by the sudden depreciation in currencies of Brazil, BRL, and euro depreciation against the USD. Large portions of this forex loss is unrealized in nature and is required to be accounted following the relevant accounting standards. Further, the impacted currencies, as mentioned earlier, we have already started seeing a partial reversal in the subsequent month.

Regarding the tax and PAT, I need to highlight in Q3 last financial year '24, a onetime significant tax benefit was recognized in our Turkey operations due to change in hyper accounting methodology as mandated by Turkey's regulatory requirement. This has r esulted in a onetime exceptional tax benefit for -- which was accounted in financial year '24, but would pertain to prior years from financial year -- including financial year '21, financial year '22 and financial year '23.

If we exclude this onetime Turkey exceptional tax benefit in last financial year, then even the PAT has shown a very strong growth of almost about 65% on a like -to-like basis for Q3 financial year '25.

Coming to update on the merger process progress. The merger scheme, which was approved by our Board of Directors, involves the merger of Viyash Life Science Private Limited and its subsidiaries as well as SeQuent Research, one of our wholly owned subsidiar ies with SeQuent Scientific Limited. I am pleased to report that we have made good progress so far on the merger process as follows. The Board approval, as communicated last time, was received on 26th September, a fter which the process started.

The Competition Commission of India has already approved our application and the approval was received on 21st of Jan 2025. The scheme is under review by the exchanges and SEBI and that is going very fine. We expect the SEBI approval with changes to come s oon. And hence, we remain on the guided time line for completion of the merger process.

In summary, our strong financial performance in Q3 and 9 months for the financial year '25 underscores the success of our strategic initiatives, focus on driving operational efficiencies and our unwavering focus on profitability. The progress we have made in our M&A act

ivities further
strengthens our foundation for long -term growth and expansion. We remain committed to delivering value for all our stakeholders and are confident in our trajectory towards the sustained growth.

With that, I now hand over the call to Dr. Hari to provide the details on the performance highlights of the Viyash Group. Thank you.

Hari Babu: So thank you, Saurav and Raj, for the update. I'm very happy to share we have strong consistent performance and also update on the merger scheme. Viyash recorded strong performance in this quarter with acceleration in revenue growth and margin expansion year -over-year. Our core strength remain R&D, manufacturing, IP and also b usiness development activities.

These have been supplemented by efforts made over the last 24 months in development of high - margin complex products and also promoting those products, rationalization of low -margin business, which includes intermediate and continuous cost reduction program on the various products.

For this quarter, Q3 FY '25, our revenue grew by 19% year -on-year to INR384 crores and adjusted EBITDA grew by 68% to INR68.5 crores to the corresponding quarter last year. Viyash had EBITDA margins of 17.8%, which is almost more than 5.2% of corresponding quarter last year. Our 9 months FY '25, our revenue grew by 10% and EBITDA grew by again 42%. And

our 9 months EBITDA margins of around 17.4%, again, which is almost more than 3.9% over last 9 months.

So 9 months adjusted EBITDA is INR189 crores. In line with previous quarters, we have generated INR38 crores of free cash flow in this quarter, and INR177 crores of free cash flow in the last 9 months. Borrowings reduced by INR28 crores in this quarter and INR122 crores in the last 9 months. And of course, our net debt -EBITDA ratio is continuously coming down, which is at 0.4x now.

We want to reiterate that a lot of costs below EBITDA, particularly exceptional items, which are mostly related to merger activities. And one of the amortization of acquisition of intangibles when we acquired a few companies, actually, we had amortization intangibles, are largely noncash and nonrecurring. So Viyash adjusted PAT, we presented in the investor presentation is an indicator of our steady -state stand -alone property -- properties, sorry. And also, it's reflected in our cash flows and continuous d ebt reduction.

Business growth is supported by investments in multiple strategic areas and a strong operating base, which we'll cover now. Our business has strong momentum across portfolio selection, validations, filings, launches and adding more geographies and more customers.

New product launches and filings. We launched 2 new products in this quarter in the U.S.A. and have filed 3 products in this quarter for U.S. and Europe. And as you know, our portfolio is very strong. We have 25 products in pipeline across different stages , and we completed 4 validations in last quarter. And also, we received 5 regulatory approvals in this quarter from various agencies. And these are in addition to what we do, CDMO and also CMO for big pharma as well as big generic companies.

We had touched upon our complex portfolio, market leaders, focus on innovative relationships. And our management team is continuously focused on cost improvement, of course, continuously adding new products and geographies in this quarter.

And now let me take you through merger update. For FY '25 Q3, combined revenues of 2 entities grew by 19% and EBITDA grew by 66%. And the combined EBITDA stands at INR118 crores this quarter, with 15.2% margins. For 9 months, combined revenue grew by 12% and EBITDA grew by 67%.

And combined EBITDA for 9 months is INR332 crores with 14.8% margins, of course, with improvement of 4.3% from last year. The combined net debt -EBITDA ratio is now 1.2%. It's continuously c

oming down, whereas in last quarter, it was 1.4. It's coming down to 1.2. And quarter -on-quarter, you can see that it's continuously coming down.

So now we have started to plan integration of 2 companies and realizing synergies, and we have received CCI approval as Saurav mentioned, and started prioritizing our 3 key synergies with multiple life areas. Of course, we also mentioned in a couple of are as in the investor presentation, and a few of them are like R&D. We strongly believe we have strong R&D strength and IP focus. Definitely, it's going to accelerate development for animal health products and which can realize very quick, I can say.

And of course, optimization is a key for entire group since we have large network, multiple sites, 15 sites all over the world. And our network optimization and also combined procurement can create a big synergies -- and in 12 to 15 months, we can say.

And coming to the business, we should be able to leverage our key relationship from both companies. Of course, we already started seeing from last quarter, a few companies started actually giving us more business from both sides. It has a couple of Viyash contacts actually adding business to SeQuent. At the same time, as we mentioned earlier, a couple of big pharmas also started approaching Viyash and a few products.

Others, of course, all other areas supporting functions, we started integrating. Maybe next 6 to 8 months, we are going to complete this integration activity. And most probably, all the synergies we are going to present sometime in Q1 FY '26 to our Board, and we'll share to the investors.

So the merger scheme, as Saurav mentioned, we already received CCI approval, and we're waiting for SEBI approval some -- and we are expecting sometime this month or next month. Once we receive SEBI approval, we'll go to NCLT and it may take another 6 to 8 months. And I think overall activity is going to be complete by September or October, as mentioned earlier.

So with this, I will open for questions or clarifications. Thank you, everyone.

Rajaram Narayanan: Rituja, we can take the Q&A, please.

Moderator: Thank you very much. The first question is from the line of Jagdish Sharma, an individual investor. Please go ahead.

Jagdish Sharma: Congrats for an excellent quarter, especially on sales and EBITDA. I have a few questions. The first one is like what is our driving growth in the emerging markets and Europe? My second question is like are margins improving in all our business segments? M y third question is, will we cross INR1,500 crores of sales in FY '25? And my last question is like what is -- why is our PAT is not moving at par with our EBITDA this quarter? And what is our plan for it?

Rajaram Narayanan: So these are the 4 questions?

Jagdish Sharma: Yes, sir.

Rajaram Narayanan: Okay. So let me answer some of them. So firstly, first, what is driving growth for us, both in emerging markets and Europe? It's the work which has been done in, as I said earlier, on the product mix as well as new launches and pricing. Specifically, if yo u look at it, our biggest market and emerging markets is Turkey.

And in Turkey, we have stabilized the business, and we are seeing growth coming both on volume as well as on pricing. In addition, exports, which is a priority in Turkey because it is a

good base, and we have a strong manufacturing unit there. Our exports have st arted growing out of Turkey to the neighboring North Africa, Middle East region.
As far as Europe is concerned, the volume growth has started in Europe. We are also launching -- in fact, we have launched new products in the area of companion animals and that is getting

us growth. And in both these markets, growth typically keeps happening because in the first

phase, you launched within the country.
And then in subsequent quarters, you start expanding it to the other markets. So you would launch in Spain, which is where we have the base, and then we start expanding it to other countries in Europe and sometimes even outside of Europe. So that's how -- once you launch a product, you are able to, over the next 2 to 3 quarters, get your growth by expanding it. So that's really the reason why we're getting the growth over there.
The second piece in terms of margins, I think we have shared before, margins are a combination of product mix. They're a combination of some work which has been done in the area of cost improvement program, and, of course, pricing, particularly. In an infl ationary economy, we've managed to get prices without actually having any volume impact of significance.
The third question, will we reach INR1,500 crores in India on SeQuent? I obviously can't give you any guidance on that. But mathematically, if you look at it, I think you can calculate what the fourth quarter could be, assuming that it is pretty much close to the current one. So we should be getting past that, at least in terms of the direction we are in right now.
I think the last one you have is on why is our PAT, and I think Saurav explained that. It was -- one is that in the same quarter last year, we had had an exceptional gain in terms of a tax benefit in Turkey on account of local accounting requirements. And therefore, if you really look at it, it is more an impact of that base, which is why it is looking like the PAT has declined. But otherwise, on a stand -alone basis, I mean, if you exclude for that, PAT is, in fact, also improving. Nevertheless, I think going ahead, our focus is as we look at both finance costs as well as our capital investment, which we will be through the synergy of the merger improving, we should be able to consistently improve on our PAT.
Moderator: The next q uestion is from the line of Shiv ani from Monarch Networth.
Shivani: Congratulations on the good set of numbers. Sir, a couple of questions. One, I wanted to understand that what is the seasonality pattern. We have -- while we are seeing growth in emerging markets quarter -on-quarter, in Europe and Indian market, the growth was slightly muted. So on e, I wanted to understand that.
And secondly, if you can also give me a split between -- split of growth from product launches, volume and price. Third, I wanted to understand the Zoetis product status in Indian market. And lastly, what is the weight of companion annual health products i n our portfolio?
Rajaram Narayanan: Okay. So first question on seasonality. I think seasonality is there in every individual country. If there's no seasonality as such across the sector, so therefore, you will find different impacts coming on that. For example, in India, typically, the seasonality is there because quarter 3, you tend to have a reduction in terms of so me of the prevalence of diseases as well as the r equirement for these medicines.

So you will find typically sequentially quarter 3 tends to be lower. But I think year -on-year, you will continue to see the growth because of the activities that we are doing. And the same thing applies in other countries as well. It is a combination of when the -- what's the kind of mix you have, whether you have companion animals, whether you have production animals.
So there is always seasonality in this in different countries. But I think what we should be focusing on really, we should be looking at is on a year -on-year growth, which is coming in the respective markets. And we are happy to say that, that is something which is consistently coming over there.
The second question on volume, new products and price. Pricing typically has been different. I think in most countries, we would be expecting a

pricing growth of between 3% to 5% on a full
year basis. And in markets like Turkey, of course, it would be subs tantially higher going well because of the high inflation because the inflation there is well into 40% plus. And therefore, we obviously take prices much more.
So typically, in our basket, if you look at it -- if you say that we grow between 10% to 12%, you should have about 1/3 in each of this. So you tend to have about 4% to 5% coming from pricing,

about 4% to 5% coming from volume. And then at this point of ti me, about 2% to 3% coming from new products.
That's the typical combination which is there in this business. But our effort is really to accelerate the contribution of new products. Last quarter, we began to see a higher combination coming from -- contribution coming from new products because of some of the launches which we have done have now begun to roll out to other markets.
On the Zoetis distribution status, yes, we've been -- there has been a product which was discontinued by Zoetis some time ago due to manufacturing issues. And therefore, that is still impacting us in terms of part of the base. But we understand from our pa rtners that they have made alternative arrangements to resume manufacturing of that product.
And therefore, we expect it to come back somewhere in the next 2 to 3 quarters because it is rearrangement of some of their manufacturing facilities and, therefore, they have put a stop to that for some time. But that should continue and come back to us in 2 to 3 quarters. But obviously, we are -- our growth is without that. So we are now beginning to grow even the business, which is without the Zoetis distribution at a much, much faster rate than what we had earlier.
On the contribution of companion animals, varies country to country, depending on whether it's distribution or not. India, we don't have companion animals. In Europe -- in some parts of Europe, it is as high as 30% to 40%. So when I would say on an aggrega te basis, it is probably between 5% to 8% companion animals' contribution right now on the front. Thank you.
Moderator: The next question is from the line of Harshit Dhoot from Dymon Asia Capital.

Harshit Dhoot: Just a few questions, sir. So the emerging market did phenomenal business during the quarter. So can we assume that this run rate is sustainable going forward as you have launched your products in the multiple new countries? This is the first question.
And the second question is, as we have started manufacturing from the Turkey and we have started exporting from that market, so what kind of the cost benefit that we are getting? And what -- how should we foresee the gross margin going forward?
And the third thing, we are hearing the bulk cases have started to rise again. Do we have exposure there, specifically in the U.S. markets because we report the Europe, emerging markets and all? So are we having exposure there? And the last thing that you highlighted earlier, the margin expansion will continue with the new CIPH initiatives. So can you please throw some light on that?
Rajaram Narayanan: So I couldn't hear you very clearly, but I think the first question of yours is that if the emerging market growth, is it sustainable? And what would it continue, right?
Harshit Dhoot: Yes. Yes, sir, because its quarterly run rate was very strong, right? From INR115 crores, INR120 crores, we have jumped to around INR137 crores. So this quarterly run rate is sustainable?
Rajaram Narayanan: So I think we are -- more than the run rate, I think the fact that we should be growing in double digits in emerging markets is what we should anticipate going ahead on a quarter -on-quarter basis. There will obviously be some variations depending on which of the emerging markets is seasonal, non -seasonal at that time. But -- and again, our emerging

markets are founded on a
very strong basis.
Turkey is a very strong manufacturing and local export base for us, so is Brazil. So these are both part of the emerging markets that we have. So it's not just a trading operation for us. Therefore, we expect that you should -- we should grow at double dig its in emerging markets year-on-year. On a sequential basis, I guess, we'll hopefully show continuing growth all the time.
On the second part, on Turkey manufacturing, it's -- of course, there is cost competitiveness having in Turkey. But Turkey, we already have an existing plant. Our growth is coming for 2 reasons. One, we have used Turkey as a base to start exporting to regi onal North Africa and Middle East markets, which are fast -growing animal health markets, particularly for the portfolio, which is presently available in Turkey. And we have an injectable manufacturing plant, which is not many companies have an injectable manufacturing plant in that region. And therefore, that's an area which is for us growing.
Second is that we closed our operation in Germany last year. But some of the products from Germany are being transferred to Turkey. So we do not want to lose the market opportunity for those products. So one time, we do have a drop in sales, which used to be earlier from Germany. But now we expect those sales to be revived out of Turkey. And therefore, some of that will come back and that's how we see growth coming from Turkey.
Gross margins, I think in Turkey, as you begin to get volume, you should get some advantage because at this point of time, the currency is not sort of declining as sharply as it used to, say, 2

years ago. And the government policies generally have also been very prudent, and we are
seeing, therefore, a stability in that market.
I didn't understand the question on U.S. markets, whether the current situation is impacting us?
Harshit Dhoot: No, no. So sir, do you have exposure in the U.S. market, because we are hearing that bird flu
cases have started to increase there? So are we catering to the bird flu segment as well?
Rajaram Narayanan: What segment? So we don't do any formulations to the U.S. at all, okay? From SeQuent, there
is, of course, a strong business, which Viyash has, and I'll ask Dr. Hari to talk about it on the
exposure to the U.S. But we do not -- on the API side, of course, we have a U.S. FDA plant in
Vizag, and we have 9 of them in Viyash. So there is APIs which are going to the U.S. But at this
point of time, I'm not seeing any big risk on that. Dr. Hari, on the U.S. part?
Hari Babu: I think instead of seeing risk, we can see the opportunity for us. So human health, we have U.S.
presence, of course. Good part is we have a manufacturing site in the U.S. If at all there is a
positive, that will be upside for U.S., if any actions comes fr om Trump.
Other area where we can see a lot of potential for animal health. So U.S. generic is catching up
a lot for animal health that we see last 6, 8 months. Lot of clients are asking actually to launch
those. I think we can see the U.S. potential for API, sellin g API -- animal health API business to
the U.S. And also maybe in future, we are going to explore formulation for animal health also.
And we don't see any risk at this point. We have a small exposure of U.S. formulation. But
definitely, that will have som e additional advantage for that.
Harshit Dhoot: Okay, sir. So do we also cater the bird flu segment as well?
Hari Babu: No. Bird flu not right now.
Rajaram Narayanan: No.
Harshit Dhoot: Okay. And on, sir, opex part. This quarter, it was a bit higher side. So you described it in the
PPT that because of this inflationary environment in Turkey and spending for the domestic
market, so from what -- how should we see the opex part going forward? It will kick into the
revenues going forward and

then it will normalize on the margin part? How should we see that?
Rajaram Narayanan: I think clearly, going forward, we expect that as the merger proceeds and as the scale improves,
opex as a percentage should start moving down, at least for what is not business development -
related opex , right, from the normal sort of G&A and things like that. But I think here, there has
been a onetime thing. It's not exactly one time because there has been a union wage settlement,
which has happened in Turkey because of which the base has got revised. A nd then it remains
steady for union arrangements for a long period of time. So that's why there's a bit of change in
the opex .
Moderator: The next question is from the line of Bharat Sheth from Quest Investment.
Bharat Sheth: Mr. Rajaram and Hari Babu, congratulations on good performance. Sir, first of all, I have one
question on -- some of the questions on SeQuent. Now export out of Turkey has already started,

so how do we see going ahead that can play as a natural hedge so that, I mean, the currency
fluctuation really do not affect us?
Rajaram Narayanan: So is there any other question, Bharat bhai?
Bharat Sheth: Yes, yes. And second is now when we have started also in -- expanded our footprint to Mexico
and Peru in South America. And third, you have stated in your opening remarks that now we'll
see the accelerated growth. So if you can give some color on the SeQue nt part, that will be of
great help. And then I have some strategic questions. I'll come back.
Rajaram Narayanan: Okay. So the first question on Turkey, this thing, yes, we import APIs and some packing
materials, et cetera, into Turkey, either directly or indirectly. And our exports today have -- from
this -- last quarter onwards, actually started exceeding the imports that we have. And therefore,
we now have a pretty natural hedge as far as currency is concerned, and we expect the exports
to keep growing well ahead of our imports.
So while, of course, that does not mean that we will not have currency fluctuations during an in -
quarter thing. But on an annualized basis, we are protected from that. And that has been an effort
now for some time. And so that, of course, will keep growing in our view on exports on Turkey,
yes. So that's -- unless something very adverse happens, the business is now naturally with
exports more than imports.
The second question, Bharat bhai, you had is on what we are expanding and what is going to be
the growth. Yes, I think we are now in a position -- we have been guiding for a while that we
expect to do double -digit growth on the business, both on top line a nd on margins, EBITDA, we
were looking to move closer to 15%. I think we are now in a position where our top line should
grow double digit more and more comfortably as we began to expand into some other countri es.
I can't -- Mexico, Peru, et cetera, were not part of our agenda earlier. But now we have started

using Brazil as -- because it's stabilized over there as a base for the rest of Latin America. And these are strong markets for animal health. So these will come. We'll probably share a b it more when we have stronger sort of base. Right now, it's early quick improvements that we are getting in these markets.

I will leave you to ask the other questions to Dr. Hari, the strategic ones you had.

Bharat Sheth: Yes. Sir, I mean now over the past 9 months, our growth was a little -- I mean, kind of a high double -- high single digit or low double digit. From this quarter onward, we have -- our growth is high teens. So how do we see -- I mean, from here onward, we are -- I mean, growth as well as EBITDA margin, whatever we ha ve expanded, where do we see?

Hari Babu: So let me start with Viyash. So you must have seen actually year -on-year, it's close to 20% growth on top line. And EBITDA margins

are very high. As I explained in my previous quarter meetings also, if you can see our opex percentage versus the top line, opex remains stable. Why? Because our utilization is keep on growing quarter -on-quarter. Since opex remains same, our EBITDA margins are continuously growing.

So this is going to continue definitely in the next couple of years. Why? Because still our capacity utilization is around 60%. And we have at least, if not 100%, 20%, 25% free capacity to add product. And also, as you know, API business, every year, 10%, 15%, we can improve capacity without adding any capex while doing cost optimization. So this will continue. Definitely, we'll grow double digit. Absolutely, no issue on that.

And also our recent investments last 12, 24 months, you must have seen a lot of products have been developed and filed. And recently, we also added onco portfolio. A lot of products are coming in the onco portfolio. And in addition to that, we also started developing a few things for CDMO, especially for big pharma and also the big generic. That's continuously adding. Last 2 quarters, it's added reasonable in addition to whatever our internal products we filed. Last 9 months, we must have added at least 6, 8 products under the CDMO or CMO activity. So that activity is growing. So Viyash is going to grow continuously, de finitely double digit. And EBITDA will be stabilized at some point of time, may not be 60%, 70% level, but it will be always better than the top line growth next couple of years.

And when it comes to combined, and definitely, I can say combined company growth. As we mentioned, the synergies -- a couple of synergies, we are very actively working on that. So while improving the capacity utilization, same as Viyash, combined entity al so margins are going to grow because we don't need to add any additional people or much capex . Of course, there will be some optimization capex continuously. But it's going to benefit combined entity near term, midterm as well.

And the synergies, whatever initiated, definitely, it's going to contribute in midterm. A couple of things may not contribute in short term, whatever the sales expansion or whatever synergies, optimizing a few things. So it's going to show maybe in 12 or 1 8 months. So we are pretty confident this will continue to grow. Next 3 years, actually, definitely, we'll be a very strong growing company combined entity.

Bharat Sheth: Hari Babu?

Hari Babu: Yes, sir. Yes.

Bharat Sheth: In current year, I mean FY '25, we will be -- combined entity will close somewhere around INR3,000 crores. And for '27, we were looking for kind of INR4,000 crores. So with this kind of now background and you're having -- coming both the company more closer, so do we see that there is an upside room to grow above INR4,000 crores at the end of '27 because the kind of portfolio, geographic expansion and newer -- higher growing category is helping us?

Hari Babu: Normally, okay, as a principle, we don't give guidance, but we can expect very strong growth in FY '26 -'27. Definitely, '27 is going to be much, much stronger because whatever initiatives, it takes 24 months. Already, we started those initiatives. But FY ' 26 also, we'll be growing very strong, both top line and bottom line. I can't disclose the number, what is that, but we'll reach our expectations.

Moderator: Sorry to interrupt. May I request Mr. Bharat Sheth to return in the queue. We have participants waiting for their turn. The next question is from the line of Thomas from AlphaCredit.

Thomas: Would it be possible to provide some more color...

Moderator: Sorry to interrupt. May we request you, Mr. Thomas, to speak a bit louder? We are unable to hear you.

Thomas: So currently, the SeQuent margins are cl

oser to 12.5%. If you could provide some color on what
will help to ensure that it moves closer to the 15% band over the next 12, 15 months? That was one. And two, on Viyash, as we hope to have higher growth, the new opportunities, which we are looking on the CDMO space is more in the area of human health or we are exploring more in the area of animal health? If any color could be provided?

Hari Babu: Okay. I will answer both. SeQuent margins improvement, 12.5% right, to high teens, whatever we are talking. So it's actually -- gradually, it's going to increase in the next 12 to 18 months. A lot of initiatives have been made in SeQuent, okay? Viyash is g oing to help a lot in R&D as well as manufacturing. And SeQuent continuously doing cost optimization. There are 2 parts. One is optimizing, manufacturing network and R&D, it's going to create a value, which will definitely improve margins.

And also utilizing manufacturing network. So we see a couple of opportunities to grow API business, especially in a lot because the most important area we are focusing next 12 to 18 months is the API improvement. Formulation is doing pretty good. So we are pretty confident actually in the next 12 to 18 months, SeQuent is going to grow more than 15%, 16%. And the 2 fronts, one is optimizing those things and helping from Viyash perspective.

The second question you were asking Viyash, actually, the CDMO and CMO. So as you see, we initiated CDMO last 1.5, 2 years, with big pharma -- mostly life cycle management with big pharma. Already, we supplied a few products, in fact, 3 products, which are the ir large volume products. We supplied and also they started qualifying our products. But you know innovators, it takes normally 2 to 4 years depending on the market.

So we started validating, they started filing. So that business is going to start in FY '26, a few advanced intermediates as well as API. But definitely, FY '27, it's going to contribute substantial amount on those things. Those products are going to qualify as per their global requirement as a primary source. That means whatever they have bu siness, we are going to get major chunk from that.

In addition to that, a couple of areas, especially complex molecules, we tied up with a few big generic companies, o kay? Even though it looks like generic, but it's not generic, it's a generic plus one where it requires lot of chemistry involvement as well as side things. So we tied up with few molecules with them.

So most of those things are coming for launch after 27. These are complex molecules always, you know. Either actually limited competition molecules where there were no players, or NC minus one kind of thing. So we are working with a few big generic compani es on CMO. And

also there are a few part of [Gen 0:50:58] development projects at R&D and manufacturing, and also marketing.

So these things are going to contribute big from FY27. Of course, even this year also it's contributed well on validation quantities. We did at least seven, eight products validation for in these areas. So it's continuously to grow, because one advantage w ith this is when you tie up with big companies, you have advantage to launch early. Anchor customer to launch day one. That will boost a lot for companies. So we can see a lot of activities, CDMO, CMO, in these areas next two years.

Moderator: Thank you. The next question is from the line of Himanshu Binani from Anand Rathi.

Himanshu Binani: Congratulations on a good set of numbers.

Moderator: Sorry to interrupt you, Mr. Binani. We are unable to hear you, sir. Your voice is breaking.

Himanshu Binani: Congratulations on a good set of numbers. So sir, I have like a few questions largely for the margin side. So just wanted to have a sense in terms of how do you guys actually calculate the contribution of new

products in that particular quarter. So in your opening remarks, you
highlighted that the contribution has been like somewhere around 2 - to 3-odd percent. So these are the products which are actually launched during this last quarter? Or how do you see that? So is it the products which are getting launched over the last 1, 2 years?

And the second question is largely on the margin side. So maybe if you can like help us understand in terms of the margin or the gross margin differential between the new launch product and the traditional ones?

Rajaram Narayanan: Are you asking specifically for SeQuent or for both the companies?

Himanshu Binani: Sir, both the companies.

Rajaram Narayanan: Okay. So maybe...

Hari Babu: So I think one is that 2% may be related to SeQuent, right? But overall, actually, the new products, there are 2 things. One is when you supply validation quantities, margins is one thing. When you launch new products, margins is other thing. So in that, if I look at the margins for our API business, Viyash perspective, there are 2 types of launches.

One is matured product launches. And the other one is the new product launches like you are entering day 1 for developed markets. So matured product launches, it's more or less same as our average regular manufacturing product. So when it comes to new prod uct day 1 launches, those launches are much better than the average mix of regular products.

So it's both. Actually, we do both. Actually, a few products, Viyash, we do day 1 launch and also a few products. If we are lucky, we may get exclusivity, still we are hoping actually a few exclusivities soon. Those margins are pretty good. But day 1 margi n product launches, margins are much better than at least maybe I can say more than 10% from the existing base. I think

SeQuent also is more or less applicable thing, whatever we launch, the new product launches are better than...

Rajaram Narayanan: Yes. Typically, new product launches tend to be improving the margin. That is the direction. Second, on formulations in general, we look at -- it takes about 24 months to -- from the launch in the first market to registration and expansion in the last targ eted market, which we will have, right? So when we talk about growth coming from new products and formulations, it's typically from sales of the product from 24 months before to now. That's the broad period taken for registering sales. S o the product should have been launched in or introduced first time in the last 24 months.

Moderator: The next question is from the line of V.P. Rajesh from Banyan Capital.

V.P. Rajesh: Congratulations on a good set of numbers. My question is more around the synergies and more qualitatively. Just trying to understand on the distribution side, what kind of synergies do you expect? And on the manufacturing side, meaning like if you use the same facilities both for human products as well as the animal product? And similarly on the distribution side, if you can elaborate a little bit more if the selling process or the distribution partners are same? So that's really what I was t rying to get a better handle on?

Hari Babu: Okay. Thanks for that. I think 2 parts. One is distribution. Since both businesses' distribution channels are different, we don't see much synergies in near term in distribution, especially formulation distribution. When it comes to API distribution, defin itely, there's a cross -selling opportunity. We started seeing for both companies where Viyash have 2 business, generic actually is a lot of traction coming from that, [inaudible 0:56:48]

Moderator: I'm sorry to interrupt you, sir, we are unable to hear you clearly. Can you please repeat?

Hari Babu: Okay. Is it clear now?

Moderator: Yes.

Hari Babu: Okay. I'm sorry for that. I don't know. So I started with the distribution. Formu

lation distribution,
since both companies' distribution channels are completely different, we don't see much synergies in the near term. Long term, once we start establishing or promoting human health, formulation in these countries are different. But at least near, midterm, we don't see much synergies for dist ribution and formulation.

When it comes to API distribution or sales, but definitely we see a lot of synergies in that cross - selling. Already, we see some of the important things are going up. Since animal health business has started catching up in U.S. generic, we see a lot of cross -selling opportunities for animal health. Same way when we started talking to big pharma, especially CDMO, and we see some opportunities for Viyash on that perspective.

Okay, the second question, other synergies, definitely short term, midterm, we see a lot in especially API, R&D, manufacturing, sales as well as other functions. So already, we started integrating R&D. We have started helping SeQuent in R&D, both new produ cts development as

well as optimizing existing products. That's going to add a lot of synergies very soon. Then manufacturing, we are going to -- is it clear now? Am I audible?

Moderator: Yes. In between, again there was a disturbance.

Hari Babu: I don't know, a lot of noise is coming somewhere. So when it comes to manufacturing, this is a bigger area since we have large manufacturing network, large procurement setup and large supply chain or distribution thing. And we see a lot of synergies in tha t. So a couple of things, network optimization and procurement synergies, whether actually buying together or definitely optimizing some of those things. And definitely, shared service or support functions, we are going to bring together.

There will be some optimization on those areas. But these are the major areas, R&D, manufacturing, support functions. We can't give the exact number, but I see there's a large potential. It's not only closing the site. One is, how best we can utilize more. But definitely, if it's required, actually, we'll optimize 1 or 2 sites also to benefit that. We can see substantial synergies in these areas next 18, 24 months.

Moderator: Ladies and gentlemen, due to time constraints, that was the last question for today. I would now like to hand the conference over to the management for closing comments.
Rajaram Narayanan: Thank you for attending this call. It is -- we're very happy that this has been a strong quarter, and you are seeing the direction moving up. And I think we will have more to report on both the business as well as the progress of the merger. And as Dr. Har i said earlier, we will have more granular sort of details in terms of some of the synergies and other plans that we have going ahead. So we look forward to seeing you at the next call, and thank you, and have a good day.
Hari Babu: Thank you, guys. Thank you.
Saurav Bhala: Thank you all.
Moderator: Thank you. On behalf of SeQuent Scientific Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2025

Proven Ability In Life Sciences
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National Stock Exchange of India Limited
Exchange Plaza,
Bandra-Kurla Complex,
Bandra (East),
Mumbai - 400 051 May 29, 2025
To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai - 400 001
Scrip code: 512529 Scrip code: SEQUENT

Subject: Intimation under Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Earnings Call Transcript for the quarter and Year ended March 31, 2025

Dear Sir/Madam,

Pursuant to Regulation 30(6) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the Earnings Call Transcript pertaining to the Audited Financial Results of the Company for the quarter and year ended March 31, 2025.

The same is also available on the Company's website at:
Financial Overview - SeQuent

This is for your information and appropriate dissemination.

Thanking you,
Yours faithfully,
For Sequent Scientific Limited
Yoshita Vora
Company Secretary & Compliance Officer

"SeQuent Scientific Limited
Q4 FY25 Earnings Conference Call"
May 21, 2025

MANAGEMENT : MR. RAJARAM NARAYANAN – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER– SEQUENT SCIENTIFIC LIMITED
DR. HARI BABU BODEPUDI – WHOLE TIME DIRECTOR AND CHIEF EXECUTIVE OFFICER – VIYASH LIFE SCIENCES
MR. RAMAKANT SINGANI – CHIEF FINANCIAL OFFICER – VIYASH LIFE SCIENCES
MR. SAURAV BHALA – CHIEF FINANCIAL OFFICER – SEQUENT SCIENTIFIC LIMITED
MR. ABHISHEK SINGHAL – HEAD OF INVESTOR RELATIONS – SEQUENT SCIENTIFIC LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to SeQuent Scientific Limited Q4 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Abhishek. Thank you, and over to you, sir.
Abhishek Singhal: A very good morning to all of you and thank you for joining us today for SeQuent Scientific's earnings conference call for the fourth quarter and full year ended financial year 2025.
Today, we have with us Mr. Rajaram, MD and CEO of SeQuent Scientific; Dr. Hari Babu, Whole-Time Director and CEO, Viyash Life Sciences; Mr. Saurav, CFO, SeQuent Scientific; and Mr. Ramakant, CFO, Viyash Life Sciences, to share the highlights of the business and financials for the quarter.
I hope you've gone through our results release and the quarterly investor presentation, which have been uploaded on our website as well as the stock exchange website. The transcript of this call will be available in a week's time on the company's website. Please note that today's discussion may be forward-looking in nature and must be viewed in relation to the risks pertaining to our business. After the end of this call, in case you have any further questions, please feel free to reach out to the Investor Relations team.
I now hand over the call to Rajaram to make his opening remarks.
Rajaram Narayanan: Thank you, Abhishek and good morning, everyone, and a very warm welcome to all the participants. Joining me on this call is Dr. Hari Babu, Whole-Time Director and CEO of Viyash Life Sciences, along with Saurav Bhala, the CFO of SeQuent and Mr. Ramakant, CFO of Viyash.
You would have gone through the results and the investor presentation, which was released yesterday for the financials of quarter 4 and full year financial year '24-'25. My colleagues on the call and I are delighted to share with you more details and answer your questions today.
Coming to the performance of this quarter, I'm pleased to announce that we continued our strong performance and closed the last quarter of FY '25 with revenues of INR4,017 million, which is INR401.7 crores, reflecting a double-digit growth of 11.2% over the same quarter last year.
I'm also happy to share that this quarter's revenue has been the highest in the last few years and continues on the trend of sequential growth that we are seeing every quarter. This performance came in with a 38.7% growth in our pre-ESOP EBITDA, which grew to INR56.9 million crores or INR569 million, which translates to a margin of 14.2%, which is broadly in line with the guidance that we have given for the exit margin for the year.

The company sustained the strong momentum during the year as a result of various initiatives that it has undertaken over the last 18 months to strengthen the business fundamentals and prepare us for the next phase of growth.
Coming to the performance for the full year, financial year '24-'25, our revenues grew at a healthy 13% to reach INR15,516 million, which is INR1,551.6 crores. And at an EBITDA pre-ESOP of INR199 crores, that's a very, very healthy growth year-on-year. While Saurav will talk a bit more about the financials in more detail, let me cover some aspects of the business.
Our formulations business, which is the largest part of the company, continues to trend very well. It sustained the high base of the last quarter. And on a year-on-year basis, it has grown in healthy double digits, nearly 20%, and that was driven by a strong performance across all geographies.
In Europe

, the growth in the year was led by new sales avenues, which were created, especially in vaccine partnerships, higher exports from Europe, as well as the expansion of the fast-growing CytoSolutions segment. In emerging markets, the 26% growth was supported by a change in product mix towards better margin products, organization restructuring in Mexico, higher export volumes from Turkey, along with some very judicious price increases across the board.
We believe that our position in these local markets, where we have teams over there, allow us to maintain a unique position in the key animal health markets of those countries and the regions which they are present in, and that remains a strategic priority for us in the long run as well.
We've also initiated groundwork for the entry of the CytoSolutions portfolio in the Latin American region.
The formulations business in India is a top priority for us. It has continued to do well on the back of field expansion that we undertook during the year, and that has resulted in a 13% year-on-year sales growth, which we expect to accelerate in the coming year. To further our presence,

we have identified the next set of levers, which are required to build this business, and it includes a second phase of field expansion in the early part of FY '26, as well as new product introduction. We believe this will go a long way in building a very strong foundation for deeper penetration in India, while also providing a platform for our brand-building efforts.
On the API front, I'm quite pleased with the transformation in the business. The strength is visible in the improvement of margins and sequential recovery. We expect to see the acceleration from quarter 1 this year. Importantly, the fundamentals for growth are in place.
We filed 2 VMFs during the year, and our sales from our top customers, the top 10 customers grew vis-a-vis last year, and the contribution has increased from 51% to 54% during this year. We also received WHO prequalification for albendazole and many prestigious awards for safety and quality. The long-term relationship that we have with our global formulation companies helps us partner them in new product efforts, and we expect to see some of the new business materialize in FY '26.
With the forthcoming merger, we expect the benefits of R&D and manufacturing to flow in, thus enabling us to grow faster and build new segments such as companion animals. I would like to

take this opportunity to thank the entire team of SeQuent Alivira and all the stakeholders involved for their efforts and the support that they have provided this year, which has resulted in a strong performance for the year, but more importantly, created the platform for future growth.
I will now hand over to Saurav to share the financial details of SeQuent and then invite Dr. Hari to share the highlights of the Viyash performance. Over to you, Saurav.
Saurav Bhala: Thank you, Raja. Good morning, everyone. It's a pleasure to join today and share key highlights into the strong financial performance of SeQuent Scientific Limited for quarter 4 and for the entire financial year financial year '24 and '25. I'll also provide an update on the progress of our strategic merger.
Starting with the Q4 highlights for SeQuent Scientific Limited. In Q4 '25, we recorded a total revenue of INR4,017 million, reflecting a strong growth of 11.2% year-on-year basis and a 2.8% growth on a quarter-on-quarter basis. Our formulation business reported a revenue of INR3,015 million, delivering a 22% year-on-year growth. The API business generated INR869 million in revenue, delivering a 7% growth on a quarter-on-quarter basis.
Gross margin saw a notable improvement of 420 basis points on a year-on-year basis, increasing from 46.1% to 50.3% in quarter 4. On a sequential basis, margins improved by 210 basis points, up from 48.2

% to 50.3%.
Our EBITDA pre-ESOP for the quarter was INR5,691 million, reflecting a robust growth of 38.7% year-on-year basis and a 15.5% rise on a quarter-on-quarter basis. The EBITDA margin stood at 14.2%, up by 280 basis points year-on-year basis and 160 basis points on a quarter-on-quarter basis. The profit after tax for the quarter stood at INR103 million, improving substantially from INR13 million in Q4 of last financial year, which is a very remarkable growth of about 712%.
Now coming to financial highlights for the entire financial year '24-'25. For the full year, the total revenue delivered is INR15,514 million, marking a 13.3% year-on-year growth. The formulation business contributed INR11,858 million, registering a 19% increase on a year-on-year basis. The API business reported a revenue of INR3,378 million, reflecting a growth of 4% on a year-on-year basis.
Gross margins for the year improved by 320 basis points from 44.5% in the last financial year to 47.7% in the current financial year, driven by the various strategic initiatives, including our sales mix optimization, geographical expansion, deeper market penetration and selective pricing actions across geographies.
EBITDA pre-ESOP delivered is INR1,993 million for the financial year '24-'25, delivering an impressive 18.6% growth on a year-on-year basis. The EBITDA margin expanded by 500 basis points, increasing from 7.8% in financial year '24 to 12.9% in financial year '25. This reflects our consistent focus on driving profitable growth.

We achieved a significant turnaround in PAT or profit after tax, improving from a loss of last year to a profit of INR322 million, a remarkable growth of 208.9%. Now coming to the update on the merger process. I'm pleased to share we have made meaningful progress on the strategic merger of Viyash Life Science Limited and its subsidiaries, along with one of our subsidiaries, SeQuent Research Limited into SeQuent Scientific Limited.

The milestone achieved so far are as follows: We got the Board approval for the merger on 26th September '24. We got the Competition Commission of India approval on 21st Jan '25. The stock exchange approval is currently under progress and is at an advanced level. We expect the approval soon. Upon receiving the exchange approval, the scheme will be submitted to NCLT or National Company Law Tribunal for the final clearance.

In summary, our performance for Q4 and the full financial year '24-'25 reflects the strength of our strategic plan and execution excellence, focused on driving the profitable growth as a central theme. We are more confident than ever for the stronger growth continuity in the coming quarters based on the robust foundation created. We remain committed to creating enduring value for all our stakeholders.

With this, now I hand over the call to Dr. Hari, who will take you through the performance highlights of Viyash Group. Thank you.

Hari Bodepudi: Thank you, Saurav, and Rajaram. Congratulations to SeQuent team, entire team, for great performance. And good morning, all, guys. Let me take you through the Viyash performance now.

Viyash recorded strong performance in Q4 with the acceleration in revenue growth and margin expansion year-on-year. As you know, our core strength remain R&D, manufacturing, and intellectual property.

For Q4 FY '25, revenue grew by 15% to the corresponding year last quarter of INR370 crores and adjusted EBITDA grew by 93% over last year same quarter to INR65.3 crores. Viyash had strong EBITDA margins of 17.6%, continuously improving that EBITDA.

For full financial year, consolidated revenue of INR1,458 crores represents growth of 11.2% when compared to FY '24 revenue of INR1,311 crores. Adjusted EBITDA for the full year FY '25 INR254.6 crores represents a growth of 52.4% compared to FY '24 EBITDA. And EBITDA percentage improved from 12.7%

in FY '24 to 17.5% for FY '25.

During the year, financial year FY '25, the business has generated healthy free cash flow of around INR201 crores. This shows that actually the company balance sheet. And also, we repaid borrowings, about INR145 crores during FY '25. So with this repayment, our current debt actually remains at around INR74 crores and net EBITDA ratio is around 0.3x.

We want to reiterate that a lot of costs below EBITDA, particularly exceptional items and amortization of acquisition intangibles are largely noncash or nonrecurring and steady-state PAT margins, excluding exceptional items this year should be above 10%. And also this is reflected

in our free cash generation of INR200 crores in FY '25. Business growth is supported by investments in critical areas and a strong operating base, which we'll cover now.

Our business has strong momentum across portfolio selection, validations, filings and launches. New product launches and filings, we filed 4 new products in last quarter, and also we filed 3 products in this quarter. Strong portfolio selection, of course, we have strengthened R&D and portfolio. So we have 25 products in our portfolio, which includes a lot of NC minus 1 and also CCT. We completed 4 validations this quarter, and we got 6 regulatory approvals from various countries.

Operating base. We look at our business across 3 segments, and these are covered on Page 18. For API++, as you know, we have a well-diverse portfolio of 70-plus products commercially, which includes high value and most of the products are a little bit differentiated and medium volume products. And also this reflects our top 10 products has grown at 23% CAGR over the last 3 years and an average of very strong material margin of about 58%.

As you know, we have a global customer base across 150-plus countries. And we have an extremely backward integrated manufacturing setup with cost leadership and have cleared multiple regulatory audits over the last decade. And even this week, there's a Europe audit is going on at one of the site, it's going pretty well. So we are capable to handle multiple inspections, whether USA or Europe, any country, and strongly capable to manage everything.

As the business has grown, we have leveraged our innovator and large generic customers to build our development business. This is a key area for our future growth. We have added almost 10-plus development contracts over the last 2 years, which includes couple of products like the life cycle management for innovators, as well as a few contracts with complex generic companies.

We have a few small formulation business, as you know, in the U.S. with local manufacturing. We are moving that business to complex portfolio and integrating with our API to get cost leadership.

Now moving to combined performance and merger benefits. For Q4 FY '25, combined revenue of the 2 entities grew by 13% year-on-year and EBITDA grew by 63% year-on-year. The combined business had an adjusted EBITDA of INR120 crores in Q4 with 15.8% margin. For

FY '25, combined revenue of the 2 entities, 12%, and EBITDA grew by 66% year-on-year. So the combined business had an adjusted EBITDA of INR450 crores with 15.1% margin. The combined net debt EBITDA ratio is now at 1x compared to 1.2x in last previous quarter.
As updated last quarter and also now Saurav updated the merger status, we have started to plan for integration of the 2 companies and realizing synergies. We had received CCI approval, of course, as explained by Saurav. And most important, we have made substantial progress in R&D and manufacturing, and we'll present a granular action plan and estimated synergy value to the Board -- we are going to present to the Board sometime in first half of FY '26.

We had said last quarter that R&D w

ill be a big win for both companies and integration is going very well. And we expect the merger process to close, as explained by Saurav in 12 to 15 months, mostly by end of this year.
Thank you. I think with this, we can now open for questions.
Abhishek Singhal: Can we take the Q&A, please.
Moderator: The first question comes from the line of Amey Chalke with JM Financial.
Amey Chalke: Congrats to the management on good numbers this quarter. First question I have, basically, the previous call, we have been mentioning that we would get to a double-digit kind of a growth and kind of a mid-teens margins. This quarter, we have already achieved that. Going ahead in FY '26, what would be the outlook for the growth and margins, sir?
Rajaram Narayanan: Thank you, Amey. I mean, yes, we had guided that we would -- and that's on SeQuent alone, right? We had said that we would come closer to a mid-teen margin and double-digit growth as we exited this year, and I'm happy that we have reached there.
Clearly, right now, we will not be able to tell you a guidance for next year, but I think we have already laid out the plan that by FY '27, we are looking for SeQuent to come closer to high teens kind of a margin. And we would, of course, Viyash with its performance would be more in the -- closer to the 20s range as far as the margins are concerned. And therefore, I think over the next 24 months, we should be seeing the company reach there.
In terms of top line growth, of course, a healthy double digit, which should be anywhere in the mid-teens is what we are expecting to do over the next 2 years. Dr. Hari, would you add to this?
Hari Bodepudi: Yes.
Rajaram Narayanan: Over to you.
Hari Bodepudi: Over. Just to add to Rajaram, what he mentioned, I can tell you guys, whatever we achieved this quarter is pretty sustainable, okay? And of course, whatever our guidance FY '27, what Rajaram mentioned, we are pretty confident to do that. We may do a little better than that. So we are pretty confident in achieving sustainable growth.
Rajaram Narayanan: You would have seen in our investor presentation also that the pillars which are there for growth. We have already, as Dr. Hari has just mentioned, the synergy plan as well as the benefits of the merger will begin to flow in during this next 1- to 2-year period. And therefore, obviously, the businesses in terms of the results which we have right now should be not only sustainable, but they're also likely to do better.
Amey Chalke: Sure. But just to clarify, this 18% of high teens kind of margin, what you said would be on stand-alone, right, before the merger as in the -- not including the merger synergies, right?
Rajaram Narayanan: I think it's a bit early for us to comment. But very clearly, we are -- on a combined basis, the company, which we had guided earlier also, should be looking closer to about -- I think we are

today right now about INR3,000-plus crores in terms of top line. And we are heading towards closer to a INR4,000 crore kind of figure, if not better, in terms of top line in the next 2 to 2.5 years.
And we would be looking, therefore, at a margin profile, which should be closer to 20% on a combined basis at least. And I think that now we'll keep updating you as the year progresses. But that's a reasonable thing to sort of move forward with.
Amey Chalke: The second question I have, is there any plan for us to enter into CDMO business? And what are the opportunities considering the combined company in the CDMO side?
Rajaram Narayanan: Dr. Hari, I think would, I think would be best, yes, on that.
Hari Bodepudi: Yes, absolutely. This year, that's one of the key focus, actually expanding CDMO business as well as complex products development. As you see in Viyash, already we do CDMO business.
We have business with the innovators. We do business with the innovators, 5, 6 clients

. And
also, we entered another 5, 6 development agreements with complex generics because the CDMO there are two, three things, right?
One is innovator business. Life cycle management already we are there in the commercial. And we are working with the new products. And the second thing is most important, we see where the opportunity for CDMO for complex generics.
There are many specialty companies in Europe, U.S. They have only focus on marketing and portfolio. They always look for partners for R&D development as well as manufacturing. We see a lot of interest. Already, we signed 3 contracts in the last 6 months, and it's working pretty well.
And this year, we are going to focus a lot on expanding in the CDMO. And you can see substantial sales in the next year. I think that's a great upside for the next 2, 3 years for this company because we are fully established to meet any CDMO customer expectations with respect to the EHS quality or R&D. All we have their capabilities. We are strengthening teams this year, and you can see a lot of growth next year so. Strengthening up is a key focus areas for us.
Moderator: Next question comes from the line of Shiwani with Monarch Networth.
Shiwani: Congratulations for the excellent set of numbers. My first question is on tax rate. For SeQuent in Q4 FY '25, the tax rate was at the higher range of 35%, 36%. Any specific reason for that?
Saurav Bhala: So tax rate for SeQuent is a combination of various sum of parts across the geographies. And there are impacts which happens for the full year, which gets accounted in Q4. So there are slight adjustments which happen for Q4. But on an overall year, if you see, it remains to be on a normal range. And I think that is going to be the new normal going ahead also.
Shiwani: Just to add on that, so what is the tax rate that we should build in for the next -- this year and the next year?

Hari Bodepudi: About 30%; 25% to 30% in that range.
Shiwani: 25% to 30%, right? Okay. My next question is I also wanted to get some clarity on the new launches in the companion animal health segment that we are looking at. So I think that currently, we have less than 10% companion animal health products. So just wanted to understand that how to look for this segment and what can be the contribution of the overall portfolio?
Rajaram Narayanan: Thank you. So right now, the businesses which are more geared towards companion animals for us are in Europe as well as in Latin America. Over there, we are -- we have a range which is coming out now in the area of anesthetics, which gets commercialized during this year. And that is the area which we are building very fast for companion animals. Apart from that, there are nutritionals in Latin America, which are getting launched. We are also looking at India seriously in the area of companion animals in developing a product portfolio.
So I think we should see launches coming every quarter, certainly in Europe and more towards end of the year in Brazil and in India. Our target would be that we should double the contribution of companion animals in the next 3 years in our portfolio.
Shiwani: Can I continue?
Rajaram Narayanan: Yes, please.
Shiwani: My next question is for Viyash. So Q-on-Q, Viyash revenue, we saw a decline of 3% and also there was a slight drop in the margin also. Is there any specific underlying reason for the same?
Hari Bodepudi: So the sequential quarter drop is mainly because there's some inventory buildup in finished product in U.S. Shiwani. We have U.S. formulation facility. So the customer, they build a little more inventory in previous quarters. So that's the phasing issue. So that's how the drop from the 3% is basically from formulation. But there is no gross margin drop on those things.
Moderator: Next question comes from the line of Jegadees, an individual investor.
Jegadees: Congrat

ulations for a great set of numbers. Could you please explain a bit about the growth you are seeing in Europe? And what are the products we sell in Europe? And how is the outlook for Europe in the coming quarters or year?
Rajaram Narayanan: Yes. So I'll talk about the formulation piece. So our Europe business has a large setup, which is in Spain, which is both for manufacturing and marketing in Spain as well as manufacturing and marketing for countries in Europe, but we manufacture them in Spain. We have 4, sort of, broad product categories over there. We have the antimicrobials. We have the anesthetics. We then have the pain killers. And finally, we have the dermatology and nutritional products.
Now our growth, which we are seeing in Europe is on account of 2 reasons. One is that we have a range which is for gut health, which is called phytosolution, and that's the range which is expanding fast because there is more and more preference in the use of natural additives for feed animals. So that's one area which is we are growing. The second is in the area of anesthetics,

which are used for -- largely for surgery and the hospital procedures for companion animals. That's the piece which is growing for us.

We also are a distribution business for some companies. So we have recently tied up for -- because we have a very strong front end in countries in Europe because that's an important capability to have, where we have feet on street over there in some countries in Belgium, Netherlands, in Spain, where people are able to contact doctors and veterinarian clinics. So we've also become a channel and a partner for vaccines for food production animals. And that's a business which started last year for us, and we think that's the other piece which will be growing.

So I think based on the infrastructure where we have, we should be able to add more and more products for the infrastructure. So that's the primary driver of growth for us. Apart from the other thing, of course, in margins, we are -- because this is a better product mix than the traditional low-end antibiotics, the margins are improving in Europe because the quality of the product mix is changing.

So that's really the 2 sort of drivers for growth, which are there in Europe. We are, of course, not present in a few very large markets like France or U.K. And the distribution opportunity for our existing products in those markets would be the next obvious headroom for us to be able to go.

Jegadees: My second question is like how is our business in Turkey doing? And have we been impacted by the recent political issues?

Rajaram Narayanan: So as far as the business in Turkey is concerned, it has had challenges which were there earlier in foreign exchange and economy. And those have largely been addressed because of some of the actions that we took in terms of improving our exports from there in terms of price increases, et cetera. And of course, the country situation also improved quite significantly in terms of the economic condition relating inflation dropped, et cetera. So that operating business over there, we -- it has come back and is doing well.

In terms of the current sort of conversations which are there around Turkey, we have to remember that the business in Turkey, which we have is a local operation. It's a local entity. It is in Turkey for Turkey. And therefore, it is meant really for sales and distribution within Turkey as well as some of the neighboring markets.

There is no real dependence either on India or India's dependence on Turkey as far as the business is concerned because it is managed completely locally. So we don't see any impact on that at all from the current sort of news, which is going around on that. But it's purely a local in Turkey for Turkey business.

Jegadees: My last question is, could you give us any guidance for Viyash stand-alone s

ales or margin for
FY '26.

Rajaram Narayanan: Yes, Dr. Hari.

Hari Bodepudi: I think as Rajaram mentioned, we don't give guidance, but I can tell you, yes, we have pretty sustainable growth, whatever the margins we see today. It will continue. And definitely, next 1,

2 years, FY '26, '27, we also mentioned earlier it's going to cross 20% EBITDA margins. So it's a pretty consistent sustainable growth level.

Moderator: Next question comes from the line of Thomas Priju with AlfAccurate.

Thomas Priju: So I just wanted to clarify, we are talking of margins for SeQuent. We are talking of 20% plus margins for Viyash and close to 20% margins at the combined level by FY '27 at ESOP level or post ESOP level?

Rajaram Narayanan: So all the conversation that we have all the comparisons are right now at a pre-ESOP level. Everything we do on a pre-ESOP level.

Thomas Priju: So how much should we budget for FY '26 for ESOP for both SeQuent and Viyash and if possible, even for FY '27?

Rajaram Narayanan: We can give you a bit on what we know right now for SeQuent because the other pieces, I think we would like to share only after we complete the merger process. But for SeQuent, you should expect around INR30 crores, INR32 crores to be the ESOP cost for next financial year.

And it's, of course, on a declining basis, that's what it will be. They are trending down. And on the rest, we -- I think once the formalities are completed, that is when we would. But I think as Dr. Hari also indicated, fundamentally, this is a business that is moving very clearly on a sustainable basis to close to 18% to 20% kind of a business with a higher skew on the positive side of 20% for Viyash and maybe a point below or 2 points below for SeQuent.

Thomas Priju: Understood. So we are looking at more than a 300 bps expansion in terms of SeQuent and maybe 200 bps in case of Viyash. Is it possible to provide some color on what is the underlying factors which will lead to this margin expansion?

Rajaram Narayanan: I think on SeQuent, we've been giving it the first, I'll give a chance to Dr. Hari to sort of explain on the Viyash side and the API part of it, and then we'll add a top-up on the SeQuent part, yes.
Dr. Hari, on the margin expansion, please go ahead?

Hari Bodepudi: No, as you'll see in our investor presentation, we have 2 initiatives, especially we do every year, 10, 15 products development and file. And most of the products are the slightly differentiated or complex products. So year-on-year, when you are developing 10, 12 products, and we are able to launch at least 6 to 8 products. And all these products are new products and margins are reasonably good.

And the other thing, margin expansion for Viyash basically, our current capacity utilization is around 60%, 65%. When the revenue is growing, our opex percentage is continuously coming down. That's where you can see from last 2, 3 years. It's continuously coming down our opex. It straight goes to bottom line margin.

So there's two, three things. One is our opex reduction. The second thing is all our new products, whatever we developed and filed expected approval. And the third thing is, as I mentioned, we are expanding business a lot in CDMO and other few complex areas. I think this will generate

good business in FY '27, '28 and the margin will be much better than what we anticipate. These are the 3 areas I can say that.

Rajaram Narayanan: I think that -- thank you, Dr. Hari. And that pretty much would be the typical model anyway. So I think even for the formulations business, it's largely going to be driven by an improvement in the mix of what we sell because I think that's a big driver for growth in formulations as we improve the quality of the product mix with higher margins, which are a combination of the kind of therapies y

ou are in as well as more and more as you move towards companion animals, the margins are substantially better.

And second, of course, is a set of new product introductions and innovations in these markets, which we are already sort of seeing that momentum come in, in FY '25. So the key -- these are going to be the key 2 drivers for growth for the formulations business.

Thomas Priju: And does the slightly hostile environment with Turkey currently at the diplomatic level affect our business in any way in that country?

Rajaram Narayanan: No. I mean, I think I just answered on that question. The business in Turkey is in Turkey for Turkey. It's a local company, which had been acquired by us. It's a robust business within Turkey and for the neighboring markets. I think there is no commercial exchange in terms of exports, imports, et cetera, of materiality between Turkey and India. I mean, our Turkish business and India. And therefore, we don't see any impact at all coming from this. It is completely an international operation for that part of the world.

Thomas Priju: On the Viyash side, in terms of CDMO, are we trying to develop a CDMO work with innovators on the ingredient side or on the final API side, is it possible to provide some color on what is the sort of CDMO work we are trying to develop?

Rajaram Narayanan: So today, what we do in CDMO, there are 2 parts. One is with innovators, we do APIs and also a few key starting materials. Whatever we signed a few things, a few starting materials, most of these are for their life cycle management. Once the patent comes out, they try to move their manufacturing from okay, expensive countries to India.

That's where we are able to get a few contracts. Few products, 2, 3 APIs, we are their global supplier for that. And second thing is we are able to get some contracts for advanced intermediates from innovators. That will continue.

The second part where we have initiated last year, it's working pretty well. CDMO with complex generic or some specialty company. There are quite a number of companies in especially Europe. They identify the product, but they look for CRO or CDMO players. So we are able to attract that business. And the advantage of that business is even unlike with innovator business, we are able to get actually revenue for even R&D development as well as validation.

And most important, actually, we are able to negotiate with some profit share during their commercial sales. So that's a pretty well model. We are able to attract 2, 3 contracts already, and this is going to continue. And also large generic, okay?

Large generic companies, they are struggling with their cost. That's where they are looking for CDMO players, not for matured products, contract manufacturing side. They are looking for some CDMO players for the complex API. That's where we are able to partner a few generic companies actually, a few things, partner with co-investment taking risk together and taking profits also together.

And a few things purely in CDMO play, we partner with them with R&D and manufacturing and contract with manufacture. So basically, these 3 areas for next 1, 2 years. Innovators, we are going to do more and more life cycle management business, both API intermediaries. And most important, the complex API specialty companies, that's all for those next. So this year is the building phase for next level, whatever is Phase I, Phase II, maybe we'll start from end of 2026. That's where we are trying to build a little more infrastructure for that. Hope I answered your question.
Moderator: Next question comes from the line of Sajal Kapoor with Antifragile Thinking.
Sajal Kapoor: Happy to see the gross margin recover and cross the 50% mark. However, our EBITDA conversion into cash flows for SeQuent it stays too low. I mean, not just for F '25, but this has been very low a

round 45-odd percent EBITDA to OCF operating cash flow for almost 4 years now, and mainly due to cash getting stuck in things like receivables and higher than normal inventory. So the question really is how can we fix this in the future?
Rajaram Narayanan: Saurav?
Saurav Bhala: Thanks for the question. Your observation is right, it has been low. But if you see quarter-on-quarter, we have been focusing and improving very specifically on that area. In fact, last financial year, there was a significant operating cash flow, which got generated after, I think, 2 years, which you mentioned. And with a clear focus on optimizing our working capital across the geographies and various other initiatives we are taking. This remains to be an area where we'll keep on improving quarter-on-quarter. And next year is going to be substantially better than the last year.
Moderator: Next question comes from the line of Bhavesh Gandhi from Yes Securities.
Bhavesh Gandhi: So one question on the SeQuent API business. So any color or update here in terms of what we see the outlook over the next 2 years in terms of growth drivers and any push and pull that we are seeing in this business that will be helpful because it is still a meaningful business for us.
Rajaram Narayanan: Yes. So I'll just first say, yes, it is an important business for us. And we have been looking firstly on the revenue side to start sort of coming and crossing the INR100 crores a quarter kind of a mark. I think we expect to get into that zone next year, yes.
There is a lot of work which is going on with the help of the team with Dr. Hari and the Viyash team working both on the R&D and on the improvement for the pace at which we're introducing new products. So we certainly expect that this business will begin to accelerate towards the second half of next year.

In terms of the direction of the business, I think there are 2 clear areas. One is that future growth will come from acceleration of new products. We have some in the pipeline, which are due to be commercialized. And the second is, of course, to make sure that our operating efficiencies are much better.
That is something which is an inevitable outcome of the merger because I think we will get benefits coming in there. Of course, these will take a couple of quarters before you begin to sort of get that in. Having said that, there's a big shift in the interest in the company from the innovators and from large companies after we've announced the merger.
So we have more companies now coming to us to have conversations around new projects. And I think that is going to be where we will get growth coming from because with the infrastructure of Viyash, we should be able to give much more confidence around some of the new projects.
On the existing business, we are seeing an upside, which is coming right now on the albendazole business, which we have, which is an important product for us because there is a requirement with the WHO part of the demand, which is increasing. And we are one of the few companies which has the prequalified approval for WHO as well as the kind of grade that we supply, which meets the quality requirements.
So I think there's an inherent momentum which is coming on our existing business, which will take us through for next year. But at the same time, I think in the second half of the year, you'll begin to see a more acceleration coming with our announcements on new product development, et cetera. So that's really the direction in which we will go. Dr. Hari, you want to add anything on this?
Hari Bodepudi: I think you covered very well.
Rajaram Narayanan: I think it's also important just to add that on the sheer margin profile, this business has substantially improved in the last 18 months. So I think we are on a healthier gross margin profile on the business, and we, therefore, see that, t

hat gives us the leverage to sort of build on this business faster going ahead.
Moderator: Next question comes from the line of Bharat Sheth with Quest Investment Advisors Private

Limited.
Bharat Sheth: Congratulations on excellent performance and turnaround. And more about that is that setting up of new platform for accelerated growth in both top line as well as EBITDA side. If I have to think now from, say, you have up to '27 kind of a guidance. But if I have to think beyond that, so say, 3 to 5 years perspective, how should we think about that?
Rajaram Narayanan: Yes, that we are working now maybe next 6, 9 months, we are going to get that 3 to 5 years plan. And if possible, we'll try to give guidance.
Bharat Sheth: Okay. And sir, second thing, if you can give some color -- up to '27 you have given EBITDA side. But below the EBITDA, say, for any noncash item on nonrecurring or depreciation and interest, as well as on the balance sheet side, that will be more helpful, sir.

Saurav Bhala: Yes. Definitely, we can give detail later. But if you see our balance sheets are going to strengthen day by day. So coming to Viyash balance sheet, even today, it's very strong balance sheet. When I mentioned actually, we were able to pay debt INR145 crores this year. And this year, FY '26, Viyash is going to be debt-free company and we'll have some free cash.
And Viyash another thing is actually also that EBITDA below items, as we mentioned. A couple of things actually. One is the regular depreciation, that's not abnormal. The second thing is depreciation related to the goodwill. That's going away in FY '27. Actually, you can see almost INR100-odd crores in this year, okay? That's going away in FY '27.
And SeQuent balance sheet also, if you see actually, it's improved a lot this year, even that debt-to-EBITDA ratio has come down to 1.9. But once we complete merger, day 1 itself, actually, it's going to be more or less debt-free or very little debt. And all our interest costs are going to go down a big thing. Interest cost, you can see Viyash is still around INR25 crores, INR30 crores and SeQuent is a little higher. All these things will go away, and we have leverage to do, a lot of new things. That's what we are going to think from next year.
Bharat Sheth: We'll see you once we are ready with our 3, 2-year site plan and to remain associated with our company for a longer period.
Rajaram Narayanan: Yes, Bharat. Thank you.
Bharat Sheth: Thank you very much, sir.
Rajaram Narayanan: Good times just started.
Moderator: Next question comes from the line of Harish with Monarch Networth Capital Limited.
Harish: My question was on the line. Can we narrow the margin expansion down to a particular product sale when you talk about albendazole-based or certain other API-based products. So is it possible to narrow it down?
Rajaram Narayanan: No, because I'm saying these are one day -- I think it's an ongoing business. So we can't really give you a split between one. I mean there is clearly margin improvement comes from a variety of reasons, right? I mean, one, it comes from -- like if you look like Dr. Hari said, in the API business, it will come from the new R&D pipeline, which is over there, the new CDMO arrangements, which will be there. There is no -- there's enough surplus capacity, and therefore, there will be an opex leverage, which will come from there.
In the case of formulations, there are 2 clear routes -- 3 clear routes. One is we already have close to 1,000 FDFs of fixed dose formulation filings everywhere. So we have the ability to have geo expansion as and take the same products to different markets. Second is new products. And the third is change the composition of the product mix so that a larger part of higher-margin products are part of that.
So these are the levers. The real thing is about have we got the -- have w

e built the strength to
execute this because I think all of these things have come in place. And last year is an evidence

that companies, we are able to execute it. So I think you should really look at it as the way we look at it, which is that these are the 3 big levers for us to drive it. Yes.
Harish: Yes. Okay. Understood. I have one more question. So you talked about the vaccine opportunity that we have in Europe. Can you please expand on that?
Rajaram Narayanan: So we have -- the vaccine opportunity, some of it is opportunistic and some of it becomes consistent once you launch the first vaccine, right? So we have a field strength. So we have physically salespeople who today are doing distribution for our products in Belgium, Netherlands, Spain, a small team, which is there in Italy.
So these are teams which are doing traditionally selling our own products, but there are vaccine companies which need a front end to be able to launch and distribute vaccines beyond just the 3 or 4 large multinationals, the other vaccine developers need an opportunity to do that.

So we have tie-ups where we work with the local agriculture or the government authority as and when there is a disease outbreak. And we are able to source vaccines which are appropriate for that particular disease. Recently, in Belgium, there was an outbreak of something called a Bluetongue disease, which is for sheep. We have a large presence over there. The government required vaccines, and this is -- and we were able to distribute that.
Based on that, we have now got tie-ups for additional vaccines with the same company, and we are looking at opportunities to be able to do that. So we're not in the manufacturing of vaccines, but we are one of the important front-end distributors as well as marketers of vaccines in Europe.
Harish: Understood, sir. And I had one more question regarding the Zoetis distribution that we had stopped. So any update there in the India business?
Rajaram Narayanan: No, no. So we have not stopped. We continue to distribute for Zoetis, the cattle product, which is -- and we are the sole distributors in India for that. Not just distributors, we actually have taken over that entire front-end part of the business. There was an important product there, which was pretty large. I think it was almost INR12 crores to INR14 crores of sales, which got discontinued by Zoetis.
And we're expecting that to get back in the coming financial year. And that was discontinued by Zoetis because of supply problems they had at their manufacturing site. And therefore, it was not available. So now we are working to relaunch that product in India, and that will, of course, be incremental as and when it comes, but we are waiting for them to confirm it. But otherwise, the rest of the business of Zoetis continues and is growing for us. Okay. I think we'll take one more question. One last question.
Moderator: Next question comes from the line of Kiran with Table Tree Capital.
Kiran: I have 2 questions, one on Viyash and one on the combined entity. The question on Viyash essentially is, sir, do we see -- I mean, we have grown year-on-year about 11% in revenue. And I'm just focusing on revenue because given your pedigree, we are sure the efficiencies will be squeezed, right?

So on the revenue, do we have a confidence of growing by 20% on the revenue base that we currently have, which is around INR1,500 crores over the next 2 years as year-on-year. The reason why I'm asking this question is, sir, not for guidance per se because top 10 products of Viyash, we are close to 45%, 50% market share globally. So I don't know if you have the ramp to grow at 20% year-on-year in Viyash. So that's my first question on Viyash.
Hari Bodepudi: Okay. If you see our presentation also, as we mentioned, our top 1

0 products, we've grown
almost 23% last 3 years CAGR. That shows our strength on the existing products. Why 11% last 2 years? You know we acquired these companies 3 years back. And not many new products we got when we acquired. All the new product development or the new arrangements with new clients are happening last 1, 2 years. And also, you can see a lot of new products developed and filed. And the cycle time to develop file is generally 3 to 5 years kind of thing.
So that's whatever we developed last 2, 3 years, it started coming commercialization while maintaining our existing product growth, strong growth. With the new product additions, definitely, we'll grow much better than what we have today. And you can see a lot of new products every year. Last year, I think we were in top 10. We were in fifth place of filing total number of DMF. And last 11 months, we did 15, 20 audits, including 5, 6 FDA audits. That shows our strength of new products, why FDA is coming actually, that's one of the reasons we are filing more products.
So the new products, whatever we filed, it's going to grow next 2, 3 years. That's a big thing, while maintaining our existing products of growth. So that's where we are confident to grow much better than what we have today on the top line. Of course, bottom line, it will continue because, as I mentioned, our operational leverage, whatever our capacity utilization is 60%, 65%. And continuously adding some capacity this year also, we are adding some capacity for a few products which are coming for launch that's where we can see growth.
Kiran: Sir, the CDMO leg of FY '27, would it take us to a 20% revenue growth, sir? Is that a fair assumption?
Hari Bodepudi: 20% in CDMO, yes. So I think if I put it today, whatever we do innovators and few generic companies, today, it's working out at 5%, 6% of our revenue, but it's going to grow substantially. But how much it's going to contribute in 20% growth, we have to work. That's one of the area, of course.
Kiran: One last question on the combined entity, sir. So we have -- in FY '25 in the presentation, we have exceptional items of about INR102 crores. I understand all of this is noncash, but just trying to understand how we see through FY '27. So exceptional item, we've seen INR1 crore or INR2 crores. Then we are seeing amortization of acquisition intangible INR100 crores. So this is combined of INR200 crores, are all of this going away from FY '27? FY '26, do we still expect

some expenses to come here and FY '27, both of these items will be 0. Is that a fair assumption?
Hari Bodepudi: This amortization acquisition related to INR100 crores, right? That's going to go away in FY '27. I think it will go completely in FY '27. It will remain in FY '26 because -- it may come down, but it's going away completely in FY '27. But the remaining INR102 crores -- sorry?

Kiran: Yes, sir. It's INR102 crores.
Hari Bodepudi: INR102 crores, I'm just looking at. Saurav, can you help me where is this INR102 crores?
Saurav Bhala: Slide 22, sir.
Hari Bodepudi: Slide 22, INR100 crores is for this amortization.
Saurav Bhala: The balance, doctor is for the provision to --
Hari Bodepudi: Yes, yes, let me, it's INR102 crores. Yes, this INR102 crores majority are related to merger things. One is we have some accelerated share warrants. And also, there were actually some merger-related expenses and a few things actually related to actually what is the contractual obligation for these mergers. So all this INR102 crores also will go to maximum.
Kiran: FY '26, it will repeat or FY '27, it will go away?
Hari Bodepudi: No, no, FY '26, it will go away, majority. These are actually -- this is purely onetime. Amortization-related will go in '27, it will remain '26. But this exceptional item, INR1 crores or INR2 crores, right now, it will go in FY '26.
Rajaram Narayanan: That's the

last question. Thank you.
Moderator: Thank you. Ladies and gentlemen, due to time constraints, we have reached the end of question-and-answer session. I would now like to hand the conference over to the management for closing comments.
Rajaram Narayanan: Thank you very much for attending this call. It's been a very exciting and successful year for the company as well as how we are moving into the next financial year with the merger, which is on the cards. So we look forward to giving you an update next quarter and look forward to your continued support in asking these questions as well as participating on these calls. Thank you very much.
Moderator: Thank you. On behalf of SeQuent Scientific Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

“SeQuent Scientific Limited
Q4 FY25 Earnings Conference Call”
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Moderator: Ladies and gentlemen, good day, and welcome to SeQuent Scientific Limited Q4 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhishek. Thank you, and over to you, sir.

Abhishek Singhal: A very good morning to all of you and thank you for joining us today for SeQuent Scientific's earnings conference call for the fourth quarter and full year ended financial year 2025.

Today, we have with us Mr. Rajaram, MD and CEO of SeQuent Scientific; Dr. Hari Babu, Whole-Time Director and CEO, Viyash Life Sciences; Mr. Saurav, CFO, SeQuent Scientific; and Mr. Ramakant, CFO, Viyash Life Sciences, to share the highlights of the business and financials for the quarter.

I hope you've gone through our results release and the quarterly investor presentation, which have been uploaded on our website as well as the stock exchange website. The transcript of this call will be available in a week's time on the company's website. Please note that today's discussion may be forward-looking in nature and must be viewed in relation to the risks pertaining to our business. After the end of this call, in case you have any further questions, please feel free to reach out to the Investor Relations team.

I now hand over the call to Rajaram to make his opening remarks.

Rajaram Narayanan: Thank you, Abhishek and good morning, everyone, and a very warm welcome to all the participants. Joining me on this call is Dr. Hari Babu, Whole-Time Director and CEO of Viyash Life Sciences, along with Saurav Bhala, the CFO of SeQuent and Mr. Ramakant, CFO of Viyash.

You would have gone through the results and the investor presentation, which was released yesterday for the financials of quarter 4 and full year financial year '24-'25. My colleagues on the call and I are delighted to share with you more details and answer your questions today.

Coming to the performance of this quarter, I'm pleased to announce that we continued our strong performance and closed the last quarter of FY '25 with revenues of INR4,017 million, which is INR401.7 crores, reflecting a double-digit growth of 11.2% over the same quarter last year.

I'm also happy to share that this quarter's revenue has been the highest in the last few years and continues on the trend of sequential growth that we are seeing every quarter. This performance came in with a 38.7% growth in our pre-ESOP EBITDA, which grew to INR56.9 million crores or INR569 million, which translates to a margin of 14.2%, which is broadly in line with the guidance that we have given for the exit margin for the year.

The company sustained the strong momentum during the year as a result of various initiatives that it has undertaken over the last 18 months to strengthen the business fundamentals and prepare us for the next phase of growth.

Coming to the performance for the full year, financial year '24-'25, our revenues grew at a healthy 13% to reach INR15,516 million, which is INR1,551.6 crores. And at an EBITDA pre-ESOP of INR199 crores, that's a very, very healthy growth year-on-year. While Saurav will talk a bit more about the financials in more detail, let me cover some aspects of the business.

Our formulations business, which is the largest part of the company, continues to trend very well. It sustained the high base of the last quarter. And on a year-on-year basis, it has grown in healthy double digits, nearly 20%, and that was driven by a strong performance across all geographies.

In Europe

, the growth in the year was led by new sales avenues, which were created, especially in vaccine partnerships, higher exports from Europe, as well as the expansion of the fast-growing CytoSolutions segment. In emerging markets, the 26% growth was supported by a change in product mix towards better margin products, organization restructuring in Mexico, higher export volumes from Turkey, along with some very judicious price increases across the board.

We believe that our position in these local markets, where we have teams over there, allow us to maintain a unique position in the key animal health markets of those countries and the regions which they are present in, and that remains a strategic priority for us in the long run as well.

We've also initiated groundwork for the entry of the CytoSolutions portfolio in the Latin American region.

The formulations business in India is a top priority for us. It has continued to do well on the back of field expansion that we undertook during the year, and that has resulted in a 13% year-on-year sales growth, which we expect to accelerate in the coming year. To further our presence, we have identified the next set of levers, which are required to build this business, and it includes a second phase of field expansion in the early part of FY '26, as well as new product introduction.

We believe this will go a long way in building a very strong foundation for deeper penetration

in India, while also providing a platform for our brand-building efforts.
On the API front, I'm quite pleased with the transformation in the business. The strength is visible in the improvement of margins and sequential recovery. We expect to see the acceleration from quarter 1 this year. Importantly, the fundamentals for growth are in place.
We filed 2 VMFs during the year, and our sales from our top customers, the top 10 customers grew vis-a-vis last year, and the contribution has increased from 51% to 54% during this year.
We also received WHO prequalification for albendazole and many prestigious awards for safety and quality. The long-term relationship that we have with our global formulation companies helps us partner them in new product efforts, and we expect to see some of the new business materialize in FY '26.
With the forthcoming merger, we expect the benefits of R&D and manufacturing to flow in, thus enabling us to grow faster and build new segments such as companion animals. I would like to

take this opportunity to thank the entire team of SeQuent Alivira and all the stakeholders involved for their efforts and the support that they have provided this year, which has resulted in a strong performance for the year, but more importantly, created the platform for future growth.
I will now hand over to Saurav to share the financial details of SeQuent and then invite Dr. Hari to share the highlights of the Viyash performance. Over to you, Saurav.
Saurav Bhala: Thank you, Raja. Good morning, everyone. It's a pleasure to join today and share key highlights into the strong financial performance of SeQuent Scientific Limited for quarter 4 and for the entire financial year financial year '24 and '25. I'll also provide an update on the progress of our strategic merger.
Starting with the Q4 highlights for SeQuent Scientific Limited. In Q4 '25, we recorded a total revenue of INR4,017 million, reflecting a strong growth of 11.2% year-on-year basis and a 2.8% growth on a quarter-on-quarter basis. Our formulation business reported a revenue of INR3,015 million, delivering a 22% year-on-year growth. The API business generated INR869 million in revenue, delivering a 7% growth on a quarter-on-quarter basis.
Gross margin saw a notable improvement of 420 basis points on a year-on-year basis, increasing from 46.1% to 50.3% in quarter 4. On a sequential basis, margins improved by 210 basis points, up from 48.2

% to 50.3%.
Our EBITDA pre-ESOP for the quarter was INR5,691 million, reflecting a robust growth of 38.7% year-on-year basis and a 15.5% rise on a quarter-on-quarter basis. The EBITDA margin stood at 14.2%, up by 280 basis points year-on-year basis and 160 basis points on a quarter-on-quarter basis. The profit after tax for the quarter stood at INR103 million, improving substantially from INR13 million in Q4 of last financial year, which is a very remarkable growth of about 712%.
Now coming to financial highlights for the entire financial year '24-'25. For the full year, the total revenue delivered is INR15,514 million, marking a 13.3% year-on-year growth. The formulation business contributed INR11,858 million, registering a 19% increase on a year-on-year basis. The API business reported a revenue of INR3,378 million, reflecting a growth of 4% on a year-on-year basis.
Gross margins for the year improved by 320 basis points from 44.5% in the last financial year to 47.7% in the current financial year, driven by the various strategic initiatives, including our sales mix optimization, geographical expansion, deeper market penetration and selective pricing actions across geographies.
EBITDA pre-ESOP delivered is INR1,993 million for the financial year '24-'25, delivering an impressive 18.6% growth on a year-on-year basis. The EBITDA margin expanded by 500 basis points, increasing from 7.8% in financial year '24 to 12.9% in financial year '25. This reflects our consistent focus on driving profitable growth.

We achieved a significant turnaround in PAT or profit after tax, improving from a loss of last year to a profit of INR322 million, a remarkable growth of 208.9%. Now coming to the update on the merger process. I'm pleased to share we have made meaningful progress on the strategic merger of Viyash Life Science Limited and its subsidiaries, along with one of our subsidiaries, SeQuent Research Limited into SeQuent Scientific Limited.
The milestone achieved so far are as follows: We got the Board approval for the merger on 26th September '24. We got the Competition Commission of India approval on 21st Jan '25. The stock exchange approval is currently under progress and is at an advanced level. We expect the

approval soon. Upon receiving the exchange approval, the scheme will be submitted to NCLT or National Company Law Tribunal for the final clearance.
In summary, our performance for Q4 and the full financial year '24-'25 reflects the strength of our strategic plan and execution excellence, focused on driving the profitable growth as a central theme. We are more confident than ever for the stronger growth continuity in the coming quarters based on the robust foundation created. We remain committed to creating enduring value for all our stakeholders.
With this, now I hand over the call to Dr. Hari, who will take you through the performance highlights of Viyash Group. Thank you.
Hari Bodepudi: Thank you, Saurav, and Rajaram. Congratulations to SeQuent team, entire team, for great performance. And good morning, all, guys. Let me take you through the Viyash performance now.
Viyash recorded strong performance in Q4 with the acceleration in revenue growth and margin expansion year-on-year. As you know, our core strength remain R&D, manufacturing, and intellectual property.
For Q4 FY '25, revenue grew by 15% to the corresponding year last quarter of INR370 crores and adjusted EBITDA grew by 93% over last year same quarter to INR65.3 crores. Viyash had strong EBITDA margins of 17.6%, continuously improving that EBITDA.
For full financial year, consolidated revenue of INR1,458 crores represents growth of 11.2% when compared to FY '24 revenue of INR1,311 crores. Adjusted EBITDA for the full year FY '25 INR254.6 crores represents a growth of 52.4% compared to FY '24 EBITDA. And EBITDA percentage improved from 12.7%

in FY '24 to 17.5% for FY '25.
During the year, financial year FY '25, the business has generated healthy free cash flow of around INR201 crores. This shows that actually the company balance sheet. And also, we repaid borrowings, about INR145 crores during FY '25. So with this repayment, our current debt actually remains at around INR74 crores and net EBITDA ratio is around 0.3x.
We want to reiterate that a lot of costs below EBITDA, particularly exceptional items and amortization of acquisition intangibles are largely noncash or nonrecurring and steady-state PAT margins, excluding exceptional items this year should be above 10%. And also this is reflected

in our free cash generation of INR200 crores in FY '25. Business growth is supported by investments in critical areas and a strong operating base, which we'll cover now.
Our business has strong momentum across portfolio selection, validations, filings and launches. New product launches and filings, we filed 4 new products in last quarter, and also we filed 3 products in this quarter. Strong portfolio selection, of course, we have strengthened R&D and portfolio. So we have 25 products in our portfolio, which includes a lot of NC minus 1 and also CCT. We completed 4 validations this quarter, and we got 6 regulatory approvals from various countries.
Operating base. We look at our business across 3 segments, and these are covered on Page 18. For API++, as you know, we have a well-diverse portfolio of 70-plus products commercially, which includes high value and most of the products are a little bit differentiated and medium volume products. And also this reflects our top 10 products has grown at 23% CAGR over the last 3 years and an average of very strong material margin of about 58%.
As you know, we have a global customer base across 150-plus countries. And we have an extremely backward integrated manufacturing setup with cost leadership and have cleared multiple regulatory audits over the last decade. And even this week, there's a Europe audit is going on at one of the site, it's going pretty well. So we are capable to handle multiple inspections, whether USA or Europe, any country, and strongly capable to manage everything.
As the business has grown, we have leveraged our innovator and large generic customers to build our development business. This is a key area for our future growth. We have added almost 10-plus development contracts over the last 2 years, which includes couple of products like the life cycle management for innovators, as well as a few contracts with complex generic companies.
We have a few small formulation business, as you know, in the U.S. with local manufacturing. We are moving that business to complex portfolio and integrating with our API to get cost leadership.
Now moving to combined performance and merger benefits. For Q4 FY '25, combined revenue of the 2 entities grew by 13% year-on-year and EBITDA grew by 63% year-on-year. The combined business had an adjusted EBITDA of INR120 crores in Q4 with 15.8% margin. For FY '25, combined revenue of the 2 entities, 12%, and EBITDA grew by 66% year-on-year. So the combined business had an adjusted EBITDA of INR450 crores with 15.1% margin. The combined net debt EBITDA ratio is now at 1x compared to 1.2x in last previous quarter.

As updated last quarter and also now Saurav updated the merger status, we have started to plan for integration of the 2 companies and realizing synergies. We had received CCI approval, of course, as explained by Saurav. And most important, we have made substantial progress in R&D and manufacturing, and we'll present a granular action plan and estimated synergy value to the Board -- we are going to present to the Board sometime in first half of FY '26.

We had said last quarter that R&D w

ill be a big win for both companies and integration is going very well. And we expect the merger process to close, as explained by Saurav in 12 to 15 months, mostly by end of this year.

Thank you. I think with this, we can now open for questions.

Abhishek Singhal: Can we take the Q&A, please.

Moderator: The first question comes from the line of Amey Chalke with JM Financial.

Amey Chalke: Congrats to the management on good numbers this quarter. First question I have, basically, the previous call, we have been mentioning that we would get to a double-digit kind of a growth and kind of a mid-teens margins. This quarter, we have already achieved that. Going ahead in FY '26, what would be the outlook for the growth and margins, sir?

Rajaram Narayanan: Thank you, Amey. I mean, yes, we had guided that we would -- and that's on SeQuent alone, right? We had said that we would come closer to a mid-teen margin and double-digit growth as we exited this year, and I'm happy that we have reached there.

Clearly, right now, we will not be able to tell you a guidance for next year, but I think we have already laid out the plan that by FY '27, we are looking for SeQuent to come closer to high teens kind of a margin. And we would, of course, Viyash with its performance would be more in the -- closer to the 20s range as far as the margins are concerned. And therefore, I think over the next 24 months, we should be seeing the company reach there.

In terms of top line growth, of course, a healthy double digit, which should be anywhere in the mid-teens is what we are expecting to do over the next 2 years. Dr. Hari, would you add to this?

Hari Bodepudi: Yes.

Rajaram Narayanan: Over to you.

Hari Bodepudi: Over. Just to add to Rajaram, what he mentioned, I can tell you guys, whatever we achieved this quarter is pretty sustainable, okay? And of course, whatever our guidance FY '27, what Rajaram mentioned, we are pretty confident to do that. We may do a little better than that. So we are pretty confident in achieving sustainable growth.

Rajaram Narayanan: You would have seen in our investor presentation also that the pillars which are there for growth. We have already, as Dr. Hari has just mentioned, the synergy plan as well as the benefits of the merger will begin to flow in during this next 1- to 2-year period. And therefore, obviously, the businesses in terms of the results which we have right now should be not only sustainable, but they're also likely to do better.

Amey Chalke: Sure. But just to clarify, this 18% of high teens kind of margin, what you said would be on stand-alone, right, before the merger as in the -- not including the merger synergies, right?

Rajaram Narayanan: I think it's a bit early for us to comment. But very clearly, we are -- on a combined basis, the company, which we had guided earlier also, should be looking closer to about -- I think we are

today right now about INR3,000-plus crores in terms of top line. And we are heading towards closer to a INR4,000 crore kind of figure, if not better, in terms of top line in the next 2 to 2.5 years.

And we would be looking, therefore, at a margin profile, which should be closer to 20% on a combined basis at least. And I think that now we'll keep updating you as the year progresses. But that's a reasonable thing to sort of move forward with.

Amey Chalke: The second question I have, is there any plan for us to enter into CDMO business? And what are the opportunities considering the combined company in the CDMO side?

Rajaram Narayanan: Dr. Hari, I think would, I think would be best, yes, on that.

Hari Bodepudi: Yes, absolutely. This year, that's one of the key focus, actually expanding CDMO business as well as complex products development. As you see in Viyash, already we do CDMO business. We have business with the innovators. We do business with the innovators, 5, 6 clients

. And also, we entered another 5, 6 development agreements with complex generics because the CDMO there are two, three things, right?

One is innovator business. Life cycle management already we are there in the commercial. And we are working with the new products. And the second thing is most important, we see where the opportunity for CDMO for complex generics.

There are many specialty companies in Europe, U.S. They have only focus on marketing and portfolio. They always look for partners for R&D development as well as manufacturing. We see a lot of interest. Already, we signed 3 contracts in the last 6 months, and it's working pretty well.

And this year, we are going to focus a lot on expanding in the CDMO. And you can see substantial sales in the next year. I think that's a great upside for the next 2, 3 years for this company because we are fully established to meet any CDMO customer expectations with respect to the EHS quality or R&D. All we have their capabilities. We are strengthening teams this year, and you can see a lot of growth next year so. Strengthening up is a key focus areas for us.

Moderator: Next question comes from the line of Shiwani with Monarch Networth.

Shiwani: Congratulations for the excellent set of numbers. My first question is on tax rate. For SeQuent in Q4 FY '25, the tax rate was at the higher range of 35%, 36%. Any specific reason for that?

Saurav Bhala: So tax rate for SeQuent is a combination of various sum of parts across the geographies. And there are impacts which happens for the full year, which gets accounted in Q4. So there are slight adjustments which happen for Q4. But on an overall year, if you see, it remains to be on a normal range. And I think that is going to be the new normal going ahead also.

Shiwani: Just to add on that, so what is the tax rate that we should build in for the next -- this year and the next year?

Hari Bodepudi: About 30%; 25% to 30% in that range.

Shiwani: 25% to 30%, right? Okay. My next question is I also wanted to get some clarity on the new launches in the companion animal health segment that we are looking at. So I think that currently, we have less than 10% companion animal health products. So just wanted to understand that how to look for this segment and what can be the contribution of the overall portfolio?

Rajaram Narayanan: Thank you. So right now, the businesses which are more geared towards companion animals for us are in Europe as well as in Latin America. Over there, we are -- we have a range which is coming out now in the area of anesthetics, which gets commercialized during this year. And that is the area which we are building very fast for companion animals. Apart from that, there are nutritionals in Latin America, which are getting launched. We are also looking at India seriously in the area of companion animals in developing a product portfolio.

So I think we should see launches coming every quarter, certainly in Europe and more towards end of the year in Brazil and in India. Our target would be that we should double the contribution of companion animals in the next 3 years in our portfolio.

Shiwani: Can I continue?

Rajaram Narayanan: Yes, please.

Shiwani: My next question is for Viyash. So Q-on-Q, Viyash revenue, we saw a decline of 3% and also there was a slight drop in the margin also. Is there any specific underlying reason for the same?

Hari Bodepudi: So the sequential quarter drop is mainly because there's some inventory buildup in finished product in U.S. Shiwani. We have U.S. formulation facility. So the customer, they build a little more inventory in previous quarters. So that's the phasing issue. So that's how the drop from the 3% is basically from formulation. But there is no gross margin drop on those things.

Moderator: Next question comes from the line of Jegadees, an individual investor.

Jegadees: Congrat

ulations for a great set of numbers. Could you please explain a bit about the growth you are seeing in Europe? And what are the products we sell in Europe? And how is the outlook for Europe in the coming quarters or year?

Rajaram Narayanan: Yes. So I'll talk about the formulation piece. So our Europe business has a large setup, which is in Spain, which is both for manufacturing and marketing in Spain as well as manufacturing and marketing for countries in Europe, but we manufacture them in Spain. We have 4, sort of, broad product categories over there. We have the antimicrobials. We have the anesthetics. We then have the pain killers. And finally, we have the dermatology and nutritional products.

Now our growth, which we are seeing in Europe is on account of 2 reasons. One is that we have a range which is for gut health, which is called phytosolution, and that's the range which is expanding fast because there is more and more preference in the use of natural additives for feed animals. So that's one area which is we are growing. The second is in the area of anesthetics,

which are used for -- largely for surgery and the hospital procedures for companion animals.
That's the piece which is growing for us.
We also are a distribution business for some companies. So we have recently tied up for -- because we have a very strong front end in countries in Europe because that's an important capability to have, where we have feet on street over there in some countries in Belgium, Netherlands, in Spain, where people are able to contact doctors and veterinarian clinics. So we've also become a channel and a partner for vaccines for food production animals. And that's a business which started last year for us, and we think that's the other piece which will be growing.
So I think based on the infrastructure where we have, we should be able to add more and more products for the infrastructure. So that's the primary driver of growth for us. Apart from the other thing, of course, in margins, we are -- because this is a better product mix than the traditional low-end antibiotics, the margins are improving in Europe because the quality of the product mix is changing.
So that's really the 2 sort of drivers for growth, which are there in Europe. We are, of course, not present in a few very large markets like France or U.K. And the distribution opportunity for our existing products in those markets would be the next obvious headroom for us to be able to go.
Jegadees: My second question is like how is our business in Turkey doing? And have we been impacted by the recent political issues?
Rajaram Narayanan: So as far as the business in Turkey is concerned, it has had challenges which were there earlier in foreign exchange and economy. And those have largely been addressed because of some of the actions that we took in terms of improving our exports from there in terms of price increases, et cetera. And of course, the country situation also improved quite significantly in terms of the economic condition relating inflation dropped, et cetera. So that operating business over there, we -- it has come back and is doing well.
In terms of the current sort of conversations which are there around Turkey, we have to remember that the business in Turkey, which we have is a local operation. It's a local entity. It is in Turkey for Turkey. And therefore, it is meant really for sales and distribution within Turkey as well as some of the neighboring markets.
There is no real dependence either on India or India's dependence on Turkey as far as the business is concerned because it is managed completely locally. So we don't see any impact on that at all from the current sort of news, which is going around on that. But it's purely a local in Turkey for Turkey business.
Jegadees: My last question is, could you give us any guidance for Viyash stand-alone s

ales or margin for
FY '26.
Rajaram Narayanan: Yes, Dr. Hari.
Hari Bodepudi: I think as Rajaram mentioned, we don't give guidance, but I can tell you, yes, we have pretty sustainable growth, whatever the margins we see today. It will continue. And definitely, next 1,

2 years, FY '26, '27, we also mentioned earlier it's going to cross 20% EBITDA margins. So it's a pretty consistent sustainable growth level.
Moderator: Next question comes from the line of Thomas Priju with AlfAccurate.
Thomas Priju: So I just wanted to clarify, we are talking of margins for SeQuent. We are talking of 20% plus margins for Viyash and close to 20% margins at the combined level by FY '27 at ESOP level or post ESOP level?
Rajaram Narayanan: So all the conversation that we have all the comparisons are right now at a pre-ESOP level. Everything we do on a pre-ESOP level.
Thomas Priju: So how much should we budget for FY '26 for ESOP for both SeQuent and Viyash and if possible, even for FY '27?
Rajaram Narayanan: We can give you a bit on what we know right now for SeQuent because the other pieces, I think we would like to share only after we complete the merger process. But for SeQuent, you should expect around INR30 crores, INR32 crores to be the ESOP cost for next financial year.
And it's, of course, on a declining basis, that's what it will be. They are trending down. And on the rest, we -- I think once the formalities are completed, that is when we would. But I think as Dr. Hari also indicated, fundamentally, this is a business that is moving very clearly on a sustainable basis to close to 18% to 20% kind of a business with a higher skew on the positive side of 20% for Viyash and maybe a point below or 2 points below for SeQuent.
Thomas Priju: Understood. So we are looking at more than a 300 bps expansion in terms of SeQuent and maybe 200 bps in case of Viyash. Is it possible to provide some color on what is the underlying factors which will lead to this margin expansion?
Rajaram Narayanan: I think on SeQuent, we've been giving it the first, I'll give a chance to Dr. Hari to sort of explain on the Viyash side and the API part of it, and then we'll add a top-up on the SeQuent part, yes.
Dr. Hari, on the margin expansion, please go ahead?

Hari Bodepudi: No, as you'll see in our investor presentation, we have 2 initiatives, especially we do every year, 10, 15 products development and file. And most of the products are the slightly differentiated or complex products. So year-on-year, when you are developing 10, 12 products, and we are able to launch at least 6 to 8 products. And all these products are new products and margins are reasonably good.

And the other thing, margin expansion for Viyash basically, our current capacity utilization is around 60%, 65%. When the revenue is growing, our opex percentage is continuously coming down. That's where you can see from last 2, 3 years. It's continuously coming down our opex. It straight goes to bottom line margin.

So there's two, three things. One is our opex reduction. The second thing is all our new products, whatever we developed and filed expected approval. And the third thing is, as I mentioned, we are expanding business a lot in CDMO and other few complex areas. I think this will generate

good business in FY '27, '28 and the margin will be much better than what we anticipate. These are the 3 areas I can say that.

Rajaram Narayanan: I think that -- thank you, Dr. Hari. And that pretty much would be the typical model anyway. So I think even for the formulations business, it's largely going to be driven by an improvement in the mix of what we sell because I think that's a big driver for growth in formulations as we improve the quality of the product mix with higher margins, which are a combination of the kind of therapies y

ou are in as well as more and more as you move towards companion animals, the margins are substantially better.

And second, of course, is a set of new product introductions and innovations in these markets, which we are already sort of seeing that momentum come in, in FY '25. So the key -- these are going to be the key 2 drivers for growth for the formulations business.

Thomas Priju: And does the slightly hostile environment with Turkey currently at the diplomatic level affect our business in any way in that country?

Rajaram Narayanan: No. I mean, I think I just answered on that question. The business in Turkey is in Turkey for Turkey. It's a local company, which had been acquired by us. It's a robust business within Turkey and for the neighboring markets. I think there is no commercial exchange in terms of exports, imports, et cetera, of materiality between Turkey and India. I mean, our Turkish business and India. And therefore, we don't see any impact at all coming from this. It is completely an international operation for that part of the world.

Thomas Priju: On the Viyash side, in terms of CDMO, are we trying to develop a CDMO work with innovators on the ingredient side or on the final API side, is it possible to provide some color on what is the sort of CDMO work we are trying to develop?

Rajaram Narayanan: So today, what we do in CDMO, there are 2 parts. One is with innovators, we do APIs and also a few key starting materials. Whatever we signed a few things, a few starting materials, most of these are for their life cycle management. Once the patent comes out, they try to move their manufacturing from okay, expensive countries to India.

That's where we are able to get a few contracts. Few products, 2, 3 APIs, we are their global supplier for that. And second thing is we are able to get some contracts for advanced intermediates from innovators. That will continue.

The second part where we have initiated last year, it's working pretty well. CDMO with complex generic or some specialty company. There are quite a number of companies in especially Europe. They identify the product, but they look for CRO or CDMO players. So we are able to attract that business. And the advantage of that business is even unlike with innovator business, we are able to get actually revenue for even R&D development as well as validation.

And most important, actually, we are able to negotiate with some profit share during their commercial sales. So that's a pretty well model. We are able to attract 2, 3 contracts already, and this is going to continue. And also large generic, okay?

Large generic companies, they are struggling with their cost. That's where they are looking for CDMO players, not for matured products, contract manufacturing side. They are looking for some CDMO players for the complex API. That's where we are able to partner a few generic companies actually, a few things, partner with co-investment taking risk together and taking profits also together.

And a few things purely in CDMO play, we partner with them with R&D and manufacturing and contract with manufacture. So basically, these 3 areas for next 1, 2 years. Innovators, we are going to do more and more life cycle management business, both API intermediaries. And most

important, the complex API specialty companies, that's all for those next. So this year is the building phase for next level, whatever is Phase I, Phase II, maybe we'll start from end of 2026. That's where we are trying to build a little more infrastructure for that. Hope I answered your question.
Moderator: Next question comes from the line of Sajal Kapoor with Antifragile Thinking.
Sajal Kapoor: Happy to see the gross margin recover and cross the 50% mark. However, our EBITDA conversion into cash flows for SeQuent it stays too low. I mean, not just for F '25, but this has been very low a

round 45-odd percent EBITDA to OCF operating cash flow for almost 4 years now, and mainly due to cash getting stuck in things like receivables and higher than normal inventory. So the question really is how can we fix this in the future?
Rajaram Narayanan: Saurav?
Saurav Bhala: Thanks for the question. Your observation is right, it has been low. But if you see quarter-on-quarter, we have been focusing and improving very specifically on that area. In fact, last financial year, there was a significant operating cash flow, which got generated after, I think, 2 years, which you mentioned. And with a clear focus on optimizing our working capital across the geographies and various other initiatives we are taking. This remains to be an area where we'll keep on improving quarter-on-quarter. And next year is going to be substantially better than the last year.
Moderator: Next question comes from the line of Bhavesh Gandhi from Yes Securities.
Bhavesh Gandhi: So one question on the SeQuent API business. So any color or update here in terms of what we see the outlook over the next 2 years in terms of growth drivers and any push and pull that we are seeing in this business that will be helpful because it is still a meaningful business for us.
Rajaram Narayanan: Yes. So I'll just first say, yes, it is an important business for us. And we have been looking firstly on the revenue side to start sort of coming and crossing the INR100 crores a quarter kind of a mark. I think we expect to get into that zone next year, yes.
There is a lot of work which is going on with the help of the team with Dr. Hari and the Viyash team working both on the R&D and on the improvement for the pace at which we're introducing new products. So we certainly expect that this business will begin to accelerate towards the second half of next year.

In terms of the direction of the business, I think there are 2 clear areas. One is that future growth will come from acceleration of new products. We have some in the pipeline, which are due to be commercialized. And the second is, of course, to make sure that our operating efficiencies are much better.
That is something which is an inevitable outcome of the merger because I think we will get benefits coming in there. Of course, these will take a couple of quarters before you begin to sort of get that in. Having said that, there's a big shift in the interest in the company from the innovators and from large companies after we've announced the merger.
So we have more companies now coming to us to have conversations around new projects. And I think that is going to be where we will get growth coming from because with the infrastructure of Viyash, we should be able to give much more confidence around some of the new projects.
On the existing business, we are seeing an upside, which is coming right now on the albendazole business, which we have, which is an important product for us because there is a requirement with the WHO part of the demand, which is increasing. And we are one of the few companies which has the prequalified approval for WHO as well as the kind of grade that we supply, which meets the quality requirements.
So I think there's an inherent momentum which is coming on our existing business, which will take us through for next year. But at the same time, I think in the second half of the year, you'll begin to see a more acceleration coming with our announcements on new product development, et cetera. So that's really the direction in which we will go. Dr. Hari, you want to add anything on this?
Hari Bodepudi: I think you covered very well.
Rajaram Narayanan: I think it's also important just to add that on the sheer margin profile, this business has substantially improved in the last 18 months. So I think we are on a healthier gross margin profile on the business, and we, therefore, see that, t

hat gives us the leverage to sort of build on this business faster going ahead.
Moderator: Next question comes from the line of Bharat Sheth with Quest Investment Advisors Private Limited.
Bharat Sheth: Congratulations on excellent performance and turnaround. And more about that is that setting up of new platform for accelerated growth in both top line as well as EBITDA side. If I have to

think now from, say, you have up to '27 kind of a guidance. But if I have to think beyond that, so say, 3 to 5 years perspective, how should we think about that?
Rajaram Narayanan: Yes, that we are working now maybe next 6, 9 months, we are going to get that 3 to 5 years plan. And if possible, we'll try to give guidance.
Bharat Sheth: Okay. And sir, second thing, if you can give some color -- up to '27 you have given EBITDA side. But below the EBITDA, say, for any noncash item on nonrecurring or depreciation and interest, as well as on the balance sheet side, that will be more helpful, sir.

Saurav Bhala: Yes. Definitely, we can give detail later. But if you see our balance sheets are going to strengthen day by day. So coming to Viyash balance sheet, even today, it's very strong balance sheet. When I mentioned actually, we were able to pay debt INR145 crores this year. And this year, FY '26, Viyash is going to be debt-free company and we'll have some free cash.
And Viyash another thing is actually also that EBITDA below items, as we mentioned. A couple of things actually. One is the regular depreciation, that's not abnormal. The second thing is depreciation related to the goodwill. That's going away in FY '27. Actually, you can see almost INR100-odd crores in this year, okay? That's going away in FY '27.
And SeQuent balance sheet also, if you see actually, it's improved a lot this year, even that debt-to-EBITDA ratio has come down to 1.9. But once we complete merger, day 1 itself, actually, it's going to be more or less debt-free or very little debt. And all our interest costs are going to go down a big thing. Interest cost, you can see Viyash is still around INR25 crores, INR30 crores and SeQuent is a little higher. All these things will go away, and we have leverage to do, a lot of new things. That's what we are going to think from next year.
Bharat Sheth: We'll see you once we are ready with our 3, 2-year site plan and to remain associated with our company for a longer period.
Rajaram Narayanan: Yes, Bharat. Thank you.
Bharat Sheth: Thank you very much, sir.
Rajaram Narayanan: Good times just started.
Moderator: Next question comes from the line of Harish with Monarch Networth Capital Limited.
Harish: My question was on the line. Can we narrow the margin expansion down to a particular product sale when you talk about albendazole-based or certain other API-based products. So is it possible to narrow it down?
Rajaram Narayanan: No, because I'm saying these are one day -- I think it's an ongoing business. So we can't really give you a split between one. I mean there is clearly margin improvement comes from a variety of reasons, right? I mean, one, it comes from -- like if you look like Dr. Hari said, in the API business, it will come from the new R&D pipeline, which is over there, the new CDMO arrangements, which will be there. There is no -- there's enough surplus capacity, and therefore, there will be an opex leverage, which will come from there.
In the case of formulations, there are 2 clear routes -- 3 clear routes. One is we already have close to 1,000 FDFs of fixed dose formulation filings everywhere. So we have the ability to have geo expansion as and take the same products to different markets. Second is new products. And the third is change the composition of the product mix so that a larger part of higher-margin products are part of that.
So these are the levers. The real thing is about have we got the -- have w

e built the strength to
execute this because I think all of these things have come in place. And last year is an evidence

that companies, we are able to execute it. So I think you should really look at it as the way we look at it, which is that these are the 3 big levers for us to drive it. Yes.
Harish: Yes. Okay. Understood. I have one more question. So you talked about the vaccine opportunity that we have in Europe. Can you please expand on that?
Rajaram Narayanan: So we have -- the vaccine opportunity, some of it is opportunistic and some of it becomes consistent once you launch the first vaccine, right? So we have a field strength. So we have physically salespeople who today are doing distribution for our products in Belgium, Netherlands, Spain, a small team, which is there in Italy.
So these are teams which are doing traditionally selling our own products, but there are vaccine companies which need a front end to be able to launch and distribute vaccines beyond just the 3 or 4 large multinationals, the other vaccine developers need an opportunity to do that.
So we have tie-ups where we work with the local agriculture or the government authority as and when there is a disease outbreak. And we are able to source vaccines which are appropriate for that particular disease. Recently, in Belgium, there was an outbreak of something called a

Bluetongue disease, which is for sheep. We have a large presence over there. The government required vaccines, and this is -- and we were able to distribute that.
Based on that, we have now got tie-ups for additional vaccines with the same company, and we are looking at opportunities to be able to do that. So we're not in the manufacturing of vaccines, but we are one of the important front-end distributors as well as marketers of vaccines in Europe.
Harish: Understood, sir. And I had one more question regarding the Zoetis distribution that we had stopped. So any update there in the India business?
Rajaram Narayanan: No, no. So we have not stopped. We continue to distribute for Zoetis, the cattle product, which is -- and we are the sole distributors in India for that. Not just distributors, we actually have taken over that entire front-end part of the business. There was an important product there, which was pretty large. I think it was almost INR12 crores to INR14 crores of sales, which got discontinued by Zoetis.
And we're expecting that to get back in the coming financial year. And that was discontinued by Zoetis because of supply problems they had at their manufacturing site. And therefore, it was not available. So now we are working to relaunch that product in India, and that will, of course, be incremental as and when it comes, but we are waiting for them to confirm it. But otherwise, the rest of the business of Zoetis continues and is growing for us. Okay. I think we'll take one more question. One last question.
Moderator: Next question comes from the line of Kiran with Table Tree Capital.
Kiran: I have 2 questions, one on Viyash and one on the combined entity. The question on Viyash essentially is, sir, do we see -- I mean, we have grown year-on-year about 11% in revenue. And I'm just focusing on revenue because given your pedigree, we are sure the efficiencies will be squeezed, right?

So on the revenue, do we have a confidence of growing by 20% on the revenue base that we currently have, which is around INR1,500 crores over the next 2 years as year-on-year. The reason why I'm asking this question is, sir, not for guidance per se because top 10 products of Viyash, we are close to 45%, 50% market share globally. So I don't know if you have the ramp to grow at 20% year-on-year in Viyash. So that's my first question on Viyash.
Hari Bodepudi: Okay. If you see our presentation also, as we mentioned, our top 1

0 products, we've grown
almost 23% last 3 years CAGR. That shows our strength on the existing products. Why 11% last 2 years? You know we acquired these companies 3 years back. And not many new products we got when we acquired. All the new product development or the new arrangements with new clients are happening last 1, 2 years. And also, you can see a lot of new products developed and filed. And the cycle time to develop file is generally 3 to 5 years kind of thing.
So that's whatever we developed last 2, 3 years, it started coming commercialization while maintaining our existing product growth, strong growth. With the new product additions, definitely, we'll grow much better than what we have today. And you can see a lot of new products every year. Last year, I think we were in top 10. We were in fifth place of filing total number of DMF. And last 11 months, we did 15, 20 audits, including 5, 6 FDA audits. That shows our strength of new products, why FDA is coming actually, that's one of the reasons we are filing more products.
So the new products, whatever we filed, it's going to grow next 2, 3 years. That's a big thing, while maintaining our existing products of growth. So that's where we are confident to grow much better than what we have today on the top line. Of course, bottom line, it will continue because, as I mentioned, our operational leverage, whatever our capacity utilization is 60%, 65%. And continuously adding some capacity this year also, we are adding some capacity for a few products which are coming for launch that's where we can see growth.
Kiran: Sir, the CDMO leg of FY '27, would it take us to a 20% revenue growth, sir? Is that a fair assumption?
Hari Bodepudi: 20% in CDMO, yes. So I think if I put it today, whatever we do innovators and few generic companies, today, it's working out at 5%, 6% of our revenue, but it's going to grow substantially. But how much it's going to contribute in 20% growth, we have to work. That's one of the area, of course.
Kiran: One last question on the combined entity, sir. So we have -- in FY '25 in the presentation, we have exceptional items of about INR102 crores. I understand all of this is noncash, but just trying to understand how we see through FY '27. So exceptional item, we've seen INR1 crore or INR2 crores. Then we are seeing amortization of acquisition intangible INR100 crores. So this is combined of INR200 crores, are all of this going away from FY '27? FY '26, do we still expect some expenses to come here and FY '27, both of these items will be 0. Is that a fair assumption?
Hari Bodepudi: This amortization acquisition related to INR100 crores, right? That's going to go away in FY '27. I think it will go completely in FY '27. It will remain in FY '26 because -- it may come down,

but it's going away completely in FY '27. But the remaining INR102 crores -- sorry?

Kiran: Yes, sir. It's INR102 crores.
Hari Bodepudi: INR102 crores, I'm just looking at. Saurav, can you help me where is this INR102 crores?
Saurav Bhala: Slide 22, sir.
Hari Bodepudi: Slide 22, INR100 crores is for this amortization.
Saurav Bhala: The balance, doctor is for the provision to --
Hari Bodepudi: Yes, yes, let me, it's INR102 crores. Yes, this INR102 crores majority are related to merger things. One is we have some accelerated share warrants. And also, there were actually some merger-related expenses and a few things actually related to actually what is the contractual obligation for these mergers. So all this INR102 crores also will go to maximum.
Kiran: FY '26, it will repeat or FY '27, it will go away?
Hari Bodepudi: No, no, FY '26, it will go away, majority. These are actually -- this is purely onetime. Amortization-related will go in '27, it will remain '26. But this exceptional item, INR1 crores or INR2 crores, right now, it will go in FY '26.
Rajaram Narayanan: That's the last question. Thank you.
Moderator: Thank you. Ladies and gentlemen, due to time constraints, we have reached the end of question-and-answer session. I would now like to hand the conference over to the management for closing comments.
Rajaram Narayanan: Thank you very much for attending this call. It's been a very exciting and successful year for the company as well as how we are moving into the next financial year with the merger, which is on the cards. So we look forward to giving you an update next quarter and look forward to your continued support in asking these questions as well as participating on these calls. Thank you very much.
Moderator: Thank you. On behalf of SeQuent Scientific Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Aug 2025

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Call: Aug 2025

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Call: Nov 2025

Proven Ability In Life Sciences

SeQuent Scientific Limited
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November 21, 2025

To,
BSE Limited National Stock Exchange of India Limited
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Scrip code: 512529 Scrip code: SEQUENT

Subject: Intimation under Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Submission Earnings Call Transcript for the quarter and half y ear ended September 30 , 2025

Dear Sir/ Madam,

Pursuant to Regulation 30(6) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby submit the Earnings Call Transcript pertaining to the Unaudited Financial Results of the Company for the quarter and half year ended September 30, 2025 .

The transcript is available on the Company's website at the : Financial Overview - SeQuent

This is for your information and appropriate dissemination.

Thanking you,

Yours faithfully,
For Sequent Scientific Limited

Yoshita Vora
Company Secretary & Compliance Officer
Encl: A/a

"SeQuent Scientific Limited
Q2 FY '26 Earnings Conference Call "
November 19, 202 5

MANAGEMENT : MR. RAJARAM NARAYANAN – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER– SEQUENT

SCIENTIFIC LIMITED
DR. HARI BABU – WHOLE TIME DIRECTOR AND CHIEF
EXECUTIVE OFFICER – VIYASH LIFE SCIENCES
MR. RAMAKANT SINGANI – CHIEF FINANCIAL
OFFICER – VIYASH LIFE SCIENCES
MR. SAURAV BHALA – CHIEF FINANCIAL OFFICER –
SEQUENT SCIENTIFIC LIMITED
MR. ABHISHEK SINGHAL – HEAD INVESTOR
RELATIONS – SEQUENT SCIENTIFIC LIMITED

Moderator: Ladies and gentlemen, good morning, and welcome to the SeQuent Scientific Limited Q2 FY '26 Earnings Conference Call. As a reminder, all participant lines will remain in the listen -only mode and there will be an opportunity for you to ask questions after the pr esentation concludes. Should you need assistance during the conference call, please signal the operator by pressing star, then zero on your touchtone telephone. Please note that this conference is being recorded. I will now hand the conference over to Abhishek for opening remarks. Abhishek, please go ahead.

Abhishek Singhal: Thank you, Ryan. A very good afternoon and thank you for joining us today for SeQuent Scientific's Earnings Conference Call for the second quarter and half year ended financial year 2026. Today, we have with us Mr. Rajaram, MD and CEO of SeQuent Scientific; Dr. Hari Babu, Whole -Time Director and CEO of Viyash Life Sciences; Mr. Saurav Bhala , CFO, SeQuent Scientific; and Mr. Ramakant, CFO, Viyash Life Sciences, to share the highlights of the business and financials for the quarter.

I hope you've gone through our results release and the quarterly investor presentation, which have been uploaded on our website as well as the stock exchange website. The transcript for this call will be available in a week's time on the company's website. Please note that today's discussion may be forward -looking in nature and must be viewed in relation to the risks pertaining to our business. After the end of this cal l, in case you have any further questions, please feel free to reach out to the Investor Relations team.

I now hand over the call to Mr. Rajaram to make his opening remarks.

Rajaram Narayanan: Thank you, Abhishek, and good morning, everyone, and a very warm welcome to all the participants. Joining me on the call is Dr. Hari Babu, Whole -Time Director and CEO of Viyash; along with Saurav, CFO for SeQuent and Mr. Ramakant, CFO for Viyash.

Let me begin today with some good news. Yesterday, the National Company Law Tribunal, the NCLT, has allowed the petition for merger and approved the scheme of merger between SeQuent and the Viyash Group of companies.

The NCLT approval marks the beginning of a new chapter for the combined entity as we build towards delivering a fundamental transformation for the company to leapfrog into the next orbit of growth. We released results of the quarter ended September 30, 2025, last Friday, which are available on our website. I hope you've had an opportunity to go through the presentation.

Coming to the performance for this quarter, I'm pleased to announce that we continued our strong performance in the second quarter of FY '26 with revenues of INR4,240 million, reflecting a healthy double -digit year -on-year growth at 15%. We remain committed to sustainable profitable growth. And during the quarter, there was a 270-bps improvement in gross margin, and the pre -ESOP EBITDA rose to INR657 million, and that came in at a 15.5% EBITDA in terms of the ESOP margins.

You would recall that a few quarters ago, we had set ourselves a target of crossing 15% EBITDA and moving to high teens. We are now firmly on that path while also improving our profit after

tax substantially. So, a big thanks to all our teams and partners for their unwavering support, efforts and resilience.

This consistent improvement in financial performance, along with the benefits of a strong balance sheet resulting from the merger, provides us with ample headroom to support investments to build our portfolio in new segments such as companion animal. While Saurav will delve deeper into the financials, let me briefly cover some business aspects.

Our formulations business, which accounts for about 75% of our sales, continued to trend very wel

l, growing over last year by 18%, quarter -on-quarter. Now this was driven by a strong performance across all business geographies.

In Europe, the business grew with a healthy double -digit growth of 14% year -on-year during the quarter, maintaining sequential performance as well. This upswing in performance was led by a strong resurgence in the Spanish business and increased exports fro m Spain.

In emerging markets, a 27% year -on-year growth was supported by a strong growth across many key countries. We have established our front -end presence in Mexico, which is a large global market for animal health.

We launched Tulaject, which is a tulathromycin injection in Brazil, and we will eventually expand it to the rest of the Latin American market. Our operations in Turkey, both domestic and exports, continue to grow as we retain our position amongst the top 5 players in the market for ruminant animal. Our India formulations business has progressed well.

Quarter 2 is relatively a large quarter for the industry, and our business grew 6% over last year. We expect the impact of our field force expansion to kick in during the second half of the year. As we have said earlier, India remains a key market for us to develop. Coming to our API business, we are very pleased with the transformation efforts undertaken by the team, and our business clocked sales of INR830 million during the quarter, which represents a 7% growth vis -a-vis the same quarter last year.

And throughout this period, we have had successful customer audits as we position ourselves as a reliable high -quality partner for APIs. During this quarter, we also commercialized one new API partnership with the launch in the U.S., and we completed the U.S. FDA audit for our analytical lab, SeQuent Research Limited.

I will now hand over to Saurav to share the financial details of SeQuent and then invite Dr. Hari Babu to share the highlights of the Viyash performance and also the merger going ahead. Over to you, Saurav.

Saurav Bhala: Thank you, Raja. Good morning, everyone, and thanks again for joining us today. It's a privilege to present key insights into our financial performance for quarter 2 and first half of financial year '26.

I'll start with financial highlights for quarter ended September 2025. Total revenue delivered is INR4,240 million, reflecting a 15% year -on-year growth. Formulation segment revenue delivered INR3,351 million, which is a growth of 18% on a year -on-year basis.

Our API segment revenue was INR830 million, which is a growth of 7% year -on-year basis. Gross margin, a healthy improvement of 270 basis points on a year -on-year basis, rising from 47% to 49.7%. Adjusted EBITDA reported is INR657 million, showing robust 47% year -on-year growth with a margin improvement of 330 basis points, rising from 12.1% to 15.5%.

Profit after tax delivered INR196 million for the quarter, nearly tripling from INR63 million in the same quarter last year, with PAT margins significantly improving. Coming to half year performance of financial year '25, '26, performance highlights as follows: Total revenue reported INR8,654 million, reflecting a strong 14% year -on-year growth.

Our Formulation segment revenue stood at INR6,734 million, up 15% on a year -on-year basis. API segment revenue, INR1,884 million, growing 11% year -on-year basis. Gross margin, a significant improvement by 230 basis points, rising from 46% to 48.3%. Adjusted EBITDA delivered INR1,259 million, a 35.4% year -on-year increase with the margin expanding by 220 basis points, increasing from 12.3% to 14.5%.

Profit after tax more than doubled to INR372 million, compared to INR154 million in the prior year and the margins improving from 2% to 4.3%, highlighting our operational strengths and focus on profitability.

Our balance sheet reflects stronger financial p

osition, driven by focused reduction in leverage and enhanced turnover ratios. Moving forward, our strategic focus remains on sustaining profitability, further deleveraging our balance sheet, maximizing the free cash flow and improving return ratios as we progress.

Merger update already given by Raja, honourable , National Company Law Tribunal has allowed our petition and sanctioned the scheme on 18th November 2025, which was yesterday. With this approval, all the prerequisites for the merger are now complete and the focus will shift entirely to integration and optimizing the synergy benefits.

To summarize, our continuous focus on reshaping product portfolio, expanding geographical reach and focus on driving operational efficiencies has led to a sustained improvement in operating margins and a stronger and healthier balance sheet.

As we embark on new chapter as a merged entity, we are committed to further enhancing our performance and creating greater value for all the stakeholders going ahead. Thank you for your attention.

I will now hand over the call to Dr. Hari Babu for sharing insights into the Viyash Group performance. Thank you.

Hari Babu: Thank you, Saurav and Rajaram. Good morning, everyone, and welcome to the call. So first of all, congratulations to SeQuent for great performance. And as Rajaram mentioned, actually, we received NCLT yesterday. Let me say thanks to everyone stakeholders fo r their support.
First, actually, thank you so much shareholders for great support. I think we got 99.9%. Then all our advisers and consultants, whoever worked with us last 12 months and most important, all our suppliers, customers and all institutions to get all invoices.
And most important, thank you so much for the entire group, including SeQuent team, Viyash team and Carlyle team for the great work actually for this merger. Now let me take you through Viyash performance. Of course, it's a record performance. It's highest forever for Viyash and also SeQuent, I think, last quarter.
So Q2 FY '27, Viyash, we did INR428 crores top line, which grows around 17.8% year -on-year. And EBITDA, of course, huge growth to INR123 crores, which grows about 96% year -on-year. And EBITDA margin improved substantially. It's improved by 11.5%. It's around 17.5% to 28.8% with actually strong PAT growth.
And of course, cost of Viyash, again, we grown actually 11% year -on-year revenue, which is equivalent to INR780 crores. And EBITDA has grown by 59% equal to INR192 crores and EBITDA margin also has improved substantially by 7.4% to 24.6%.
And coming to the merger, 2 companies together, combined revenue, we did around INR852 crores with a growth of 16% year -on-year and again, substantial growth of EBITDA, INR189 crores and margins also improved substantially to 22%. So, the few things contributed for this last quarter substantial improvement.
As you know, we have started actually with a strong research -based company, that's how we started last 3, 4 years, focus more on new products, focus on all cost improvements and business expansion to various markets.
One of the great things actually we have seen last 4 years, new product launches. We did almost 40-plus products developed in the last 3, 4 years, API and also around 30 products -- finished products in the U.S. We have a formulation site in U.S. and we ha ve R&D in India for finished products.
So last 4 years, we developed almost 30 products, FDF, and we filed around 40 products API and 30 products Formulations. And also, we continuously launching the products. Last 12 months, we launched a lot of products, finished products; 6 products, finishe d products and API 8 products.
In last 12 months, API, we got 12, 13 products approved and FDF we got actually 4 products approved. And last year, we were the highest DMF filers in one of the quarte

rs. This contributed
actually reasonable for last quarter.
And coming to the second major focus area, CDMO business, even though we started a little late. Last 12, 18 months, we have been focusing a lot on CDMO. Unlike regular CDMO, we

focus in a little bit different way. One is, of course, the major thing, start with innovators, building the relationship for their life cycle management products.
We had actually already we have been supplying 2, 3 customers on those commercial and a few initiatives last 12 months actually moving to the commercial maybe next few quarters on that.
And the second model, we partnered with many specialty generic companies to develop actually a little bit complex products, start partnering at R&D stage, co -development and manufacturing at our sites, that's contributing a lot actually in the last 2, 3 qu arters.
And the third area contract manufacturing for specialty. It's not the regular contract manufacture for high -volume products, it’s actually whatever products coming out of patent in near future after 2030.
We partner with many customers actually to do contract manufacturing, which includes, of course, optimizing the products. Almost 18, 20 products, actually, we were able to partner last 18 months in all these 3 areas for the life cycle management with innov ators, our generic specialty partners and most important CMO. Out of 20 products whatever we partnered, 15 products of these actually today value -- market value of more than $1 billion.
Of course, these are the coming launches in various phases, start from '28, '29, most of the products coming from 2030. And we expect actually substantial revenue generation and also bottom line from 2030 onwards on these things.
Of course, short term, whatever we do, a couple of validations, service income, we are able to sustain the revenue, so that's the major stream is going to come out in the next 3, 5 years. And

most important thing, what we did last 2 years, of course, I explained last time also, product optimization and network optimization. This is very, very important for any business in the generic -- and also, we changed our strategy to move into the val ue-created products like earlier, we had a huge intermediate busine ss, we try to convert into API, so which improves gross margin a lot.
And a couple of nonstrategic products wherever there was a volume products like anti -retroviral and a couple of formulation products where actually it's become commoditized. We divested those things and moved to the value -driven products. And in that exercise, we also actually rationalized 3 manufacturing sites, which were manufacturing intermediates, basically low -value products, that's where we divested.
And most important, last 12 months, couple of our finished products, we have manufacturing site in U.S.A. since a lot of competition is coming out from India. So, we strategized to move out to U.S. products wherever there is a large volume products, where we can improve gross margins, most of the products will move to India.
Of course, a couple of products started qualifying. We started shipping from India, a few products. All our key volume products actually is going to happen from India in the near future. Already, we started shipping one of the products. Second product also is going to be shipped very soon on that.

And the next most important thing in this since we acquired intermediate facilities, API, and formulation to become a fully integrated platform. What we did from beginning, we try to do both forward -forward integration and backward -backward integration.
What it mean by forward -forward integration? Wherever we are strong, either in intermediates or API, we try to forward integrate that's where we can take advanta

ge of cost. So already, we
did almost 5 products in that. And the second thing is backward -back ward integrations. Wherever we are strong in the formulation, like a few products, we have strong market share in USA, but those are the reasonable volume products.
We try to do backward integrate into API, even actually at the intermediate level. So, in that exercise, already we did 7 products vertically integrated along moving into India, manufacturing low-cost base.
We also backward integrated into API. So, all our key products are going to be fully integrated. That makes a big difference in the gross margin. And all new products, whatever we do for finished products, so almost 50%, 60% of the fully vertically integrated, so that's where we can take advantag e in future actually the cost.
These are the 4 areas actually, of course, the product mix also contributed. Most of our products, especially API, we are the leaders. Out of top 10 products, we have 6, 7 products are the market leaders. It's continuously growing. We're able to maintain our market share continuously these products. These are the 4 areas actually created actually good gross margin improvement in last quarter. Of course, it continuously is going to improve.
And of course, financial numbers, Saurav, explained. I'm not going to take those things. But still, actually, this company is going to be strongly focused on R&D base. With this integration, we can see actually a lot of synergies and opportunities.
Let me take you to a little bit synergies. As we explained last time, we identified a few areas. One of the important area is R&D. So, R&D has been relocated SeQuent R&D to Viyash corporate R&D and teams are working pretty closely collaboratively.
And in that process within short term, we are able to develop 4 new products for animal health, which are mostly actually companion animals, that's a key focus for us. 4 products have been developed already. And the 3 products, whatever actually we can imp rove gross margins. These 3 are the volume drivers for us. Still, we are growing and we see substantial growth in the near future. 3 products have been completed, cost improvement on those things. And of course, a few other actions, whatever optimizing the site.
One of the sites, we have analytical centre located actually outside Hyderabad and Mumbai, that has been moved to our internal sites, which bring actually sustainability and the quality compliance, but also tells a lot on the cost improvement on that.
So, all the analytical testing, including stability, analytical validations have been moved to the site. And the manufacturing is also one of the key strengths for Viyash. We have a large number

of sites approved by FDA. All sites are approved by FDA, 8 sites; out of 8, 3 are intermediates and 5 are API.

So already last 2, 3 quarters, we qualified a couple of intermediates. SeQuent depending a lot on third party. Those are the key intermediates, which supply to API, supply to innovators. So, we got all those things to internal sites. Already 6 intermediates have been transferred to internal sites. We just validated. Of course, it takes some time for regulatory qualifications, but it's moving pretty well and all our clients are very happy with that initiative.

And another most important thing in manufacturing optimization, SeQuent actually struggling a little bit capacity, that's where Viyash is going to help a lot. We were able to build one new production line to support SeQuent large volume products. Already we commissioned within short time, 6 months. And already we validated and we started working with the various clients for regulatory filing.

So, as we mentioned earlier, whatever synergies we targeted next 12, 18 months. So, it's pretty well on track. And we initiated regulatory actions, but w

e are very confident whatever we
projected synergies, it's going to happen in 12 to 18 months because that's the biggest thing, new production block for the SeQuent products.

And the sales, one of the other areas where we focused on synergies, SeQuent API business, most of the business comes from innovators. So, we started working with innovators to see the additional opportunity for Viyash. That's working -- started working. So, we have a few leads on that thing, but it's going pretty positive movement on that.

And other area, cross -selling, of course, where there is no overlap between SeQuent and Viyash, customers -- very few customers we sell both sides. That's huge opportunities we identified because most of these customers, especially in Europe, they sell bot h products, both animal health and human health, that's where we see the opportunities.

People integrated pretty well both business teams and started working together. And of course, all other functions, shared services or administrative functions, one of the important area we identified, of course, supply chain.

So, with these things, bringing most of the key starting materials to internal and also actually combining 2 companies' strength on the procurement. And definitely, we can see the good synergies on that perspective. With this, what I can say actually with the combined company is going to do pretty well.

And you can see our balance sheet, 2 areas we identified SeQuent growing areas, of course, pet care, companion animals, a lot of opportunities we see in the near future. And I think this is the right time we received the approval. So, this is the time we can actually grow a lot on actually the animal health business in addition to , and of course, whatever we are growing in human health.

And combined company is going to do fantastic, not only the short term, of course, always our focus is midterm and long term. Maybe the short term, there may be a few spikes, but we see actually the pretty sustainability on these both businesses.

With that, thank you. I think we'll allow for questions. Thank you so much for everyone.

Abhishek Singhal: Ryan, can we open for Q&A, please?

Moderator: Sure. We take the first question from the line of Vishal Manchanda from Systematix. Please go ahead.

Vishal Manchanda: Congratulations on a great set of numbers. If you could guide, when can we see the merger close? So, can we -- so Q4, can we see the combined numbers?

Hari Babu: Yes, we can see Q4 combined number. So, once we receive NCLT final order, I think we can start putting combined number. But I think Q3 itself, we can actually -- Q3, we can do combined.

Vishal Manchanda: And just some colour on this -- on your business, Viyash business, how much is API and how much is formulation?

Hari Babu: It's API intermediates together, we do around 65%, 70% API intermediate, around 35%, 40% actually formulation. Of course, this varies a little bit here and there, quarter -on-quarter, that's the reason I said 65% to 70% API intermediate.

Vishal Manchanda: And are you seeing stronger growth in formulations versus API? Like in the most recent quarter was formulation stronger, seeing stronger growth versus API?

Hari Babu: It's both. I can say, as I explained to you, there's 4 areas contributed, of course, formulation, we see good growth from last quarter. The reason is actually a few things. As I explained, a couple of products we moved out to India where actually we can se e good gross margin.

And of course, we also have good launches last quarter. So, both are growing. As I mentioned, actually, we are continuously focusing on the new product development launches actually, that's working pretty well. In addition to the most important growth driver on gross margins are cost optimization, product optimiza tion, network optimizat

ion and these things.
Vishal Manchanda: So, like on the formulation front, you're primarily focused on the U.S. and that's primary....
Hari Babu: At this point, yes.
Vishal Manchanda: And how many launches you have done this year? How many launches you would have done this year in the U.S.?
Hari Babu: I think we did around 8 launches this year.
Vishal Manchanda: And just on the synergies between SeQuent and Viyash, so just wanted, on R&D, as you highlighted on the -- in your opening comments, is an important area. How much is SeQuent currently spending on R&D?

Hari Babu: SeQuent currently API R&D spending, I think around INR8 crores, INR10 crores.
Rajaram Narayanan: So, we spend about INR8 crores to INR10 crores.
Hari Babu: On R&D, pure R&D.
Rajaram Narayanan: Pure R&D, on API.
Hari Babu: And let me explain API R&D is slightly different than combined company or formulation because API R&D, whatever we do validation or exhibit quantities, most of the quantities we sell product commercially. So, the pure R&D spend is what we spend in R&D, chemicals and manpower. So SeQuent, they did around INR8 crores to INR10 crores.
Vishal Manchanda: And on top of that, you will have synergies from kind of -- from procurement also, supply chain as well?
Hari Babu: Yes, absolutely. Procurement, always when you go for combined procurement, there will be synergies. And also, you can see our balance sheet strength that will add definitely some improvement.
But most important for us is R&D and manufacturing. Substantial synergies are going to come from these things because a lot of things can happen on the product optimization, that's one of the things SeQuent products we can improve. And of course, the new p roduct addition and manufacturing. Yes, supply chain is there, but major things is going to come from R&D and manufacturing.
Vishal Manchanda: And just on the formulation business, animal health formulation business, that is showing good progress. So, can you kind of give some colour as to how we should look at this business next 1 or 2 years? Can we see double -digit growth on the formulation side?
Rajaram Narayanan: Yes. I think we've been maintaining that kind of growth now in the recent quarters. I think if you look at the industry, by and large, it is a fairly resilient industry in terms of its growth, right? I mean we see anywhere between 5% to 8% at a global leve l. And if you start looking at specific markets, specific segments, the growth is in double digits. So therefore -- and this is in spite of all kind s of geopolitical upheavals, et cetera.
So, the underlying factors which are driving the industry, which is one around an increasing requirement for animal protein and dairy products and the second being for adoption of pets and spending more on companion animals.
These 2 are tailwinds that we have in the industry that we operate, and that's really been one of the big reasons why we believe that our formulations business, which is now present in a good set of markets, should continue to grow. And add to that, the ge nericization of the industry. So, I think we are very well positioned. So, we should expect that this is a double -digit growth business for sure.

As we accelerate our new launches and as some of the new generics and we keep expanding in some markets and also begin to grow in companion animals, that should be incremental to this growth. So, we are fairly bullish on the formulations business.
Vishal Manchanda: We have capacities to kind of -- so any major capex that we need to put on the formulation side here?
Hari Babu: So, we are working on that, but definitely, we are going to do both inorganic as well as organic. So, midterm, defin

itely, we are going to add, especially on the companion animals, we are going to put on that.
Vishal Manchanda: On companion, you are primarily targeting the -- so you are targeting the nutritional aspect or you're targeting the medicinal aspect of the industry?
Rajaram Narayanan: So, there are 3 or 4 different components to it. We are clearly not targeting pet food, but therapeutic and nutritional, which is also supplements to therapeutics, that is something that we would be looking at.
And that's really our focus, which is pure therapeutics and supplements to therapeutics. And this is a fast -growing sort of segment, where we believe we have both the experience and more

importantly, now with the R&D backbone that we have, we should be abl e to build that even better.
Hari Babu: And also, most of the products are similar to human health. So, whatever the pet care is going to happen, so most of the products are similar to human health, so that's our R&D can help a lot on that.
Vishal Manchanda: So Viyash platform can also be leveraged from both manufacturing and R&D perspective for animal health products?
Hari Babu: Yes. API, yes, formulation, of course, we need to have different facilities, but we can leverage on that.
Moderator: We take the next question from the line of Sahil Sanghvi from Monarch Networth Capital.
Sahil Sanghvi: Congratulations on a very good set of numbers. My first question is, how do you see the business impacting because of the U.S. tariffs? What steps would we take to derisk the uncertainty over here.
Hari Babu: But at this point, our business, there is no impact on tariffs, and our dependency on U.S. is not much. So only 35% of the U.S. business, we do formulation. That's, of course, it's a good scenario since we have manufacturing at U.S.
At this point, we don't see any tariffs impact for entire business. So, API business or SeQuent business, actually, we don't do much on that perspective. Of course, there's no tariffs at this point for generics.

Even going forward, actually with our U.S. base and our strong network, we don't see any impact on our business. We see it may be positive. So really something happens, actually, we are going to benefit from our U.S. manufacturing network.
Sahil Sanghvi: And then for the SeQuent API sales, while they are higher Y -o-Y, they are also lower than the INR100 crores run rate you are targeting. So, anything to read over here or we are on track?
Hari Babu: We are on track since SeQuent do business with innovators actually. So sometimes actually they push to other quarters, but we are on pretty well track. But we can see good visibility to grow from actually fourth quarter onwards. So definitely, actually INR100 crores run rate is going to be maintained.
But next year, we can see good growth. Already, we started seeing some opportunities, but it's going to grow pretty well. I can say from fourth quarter onwards, you can see different SeQuent API business. Not fourth quarter, but definitely FY '27, we are going to grow substantially on that. That's how we have built a new production line also especially that we see a lot of opportunity growth next year.
Sahil Sanghvi: And how is the albendazole sales progressing?
Hari Babu: It's very good, albendazole is growing. I don't know whether you guys are aware one of the sites -- they shut down, that's where we see more opportunity. It's having more business. That's how we created a new production line also. It's going to grow. So th at's one of the key products going to grow both top line and also margin improvement since we are bringing it too internal.
Sahil Sanghvi: Sir, Carlyle has invested almost 5 years. Is there any exit they are looking for or they have a longer plan to be staying invested?
Hari Babu: But I can't say Carlyle side, but what we

see is real growth started from now this company. Even though Carlyle invested 4 years back, their investment got us in 5, 6 years. Whatever we have some preliminary internal discussions, they're not going to exit soon. So, it's going to continue because real growth started maybe last few quarters, but the next couple of years it's going to grow a lot. So, I don't see any exit plan in near future.
Sahil Sanghvi: And what could be the sustainable margins for both the entities going forward? I mean where do you stop now? Do we have a number to that? Or it's still a discovery as we keep exploring the synergies?
Hari Babu: I can say actually, we have good visibility now. Of course, we can't give any guidance to the market, but whatever we indicated earlier 2027. So, we indicated actually 20% EBITDA margin, but we see 20% is going to come soon, but this quarter actually 20 -plus. But I'm pretty confident 20-plus is going to sustain. So, whatever we indicated 27%, actually it's going to happen from now.
Moderator: We take the next question from the line of Sachin Kasera from Svan Investment Managers. Please go ahead.

Sachin Kasera: [inaudible 0:39:40]
Moderator: Sachin, I'm sorry to interrupt you, but your audio is not clear.

Sachin Kasera: Is it better now?
Moderator: Yes.
Sachin Kasera: For the [inaudible 0:40:07] number that you reported on the combined. We have very much elaborated on how the next 4, 5 years are looking very, very good post the merger and now that we have seen the approvals. There was a previous question where you mentioned that we were looking at 20% margin and you said that that's not like the base. So, this quarter, we did like 22% margin. So, is there some one -off in base? Or we have been a little conservative in being 20% and with the synergies now really starting to flow in, probably we could see some upside to the FY '27 number that we discussed.
Hari Babu: It's a good question. Thank you for that. Of course, I can tell you straight away there's no one -off, okay? And when I say 20% plus actually, minimum is 20%, And a few things when I said actually last quarter revenue, both -- one is gross margin improvemen t because of optimization and other 2 things, CDMO contracts. CDMO, you know actually initial contracts from some service income, some validation income and also new launches, whatever we did launches did pretty well. There may be a few spike, b ut I don't see any major difference.
So, it's going to be sustained pretty well. Whatever actually we have growth opportunities, other areas. I don't see any of those things. It's not pure one -off. We don't see anything. Maybe a few things year -end service income may be, okay, can go up, or laun ch, maybe once we launch, actually, once you see the competition, there may be a little impact, but we don't see much on those things.
Sachin Kasera: Sure. Secondly, is it possible for you give us some sense because you mentioned that you see significant synergy, especially on manufacturing and on R&D. And plus we also -- so if you could give us some sense as to what is the type of benefits we could see there in some quantifiable numbers as a percentage of revenues or an absolute number, that would be very helpful because you did mention that the real benefit will come now that we approve the merger approval.
Hari Babu: So, a few things, these are the mostly comes in the midterm and long term. So, when I say R&D, there are 2 buckets. One is new products R&D. So, whatever we initiate developing products is going to come for launch.
A lot of pet care products also is coming out of patent from '28, '29 onwards. So, whatever we initiate development, new products, major revenue is going to come maybe '28, '29 onwards.
The second thing, R&D where we can help actually is the product optimization. T

hat's basically
to improve the gross margin and also to improve market to some extent.

That's mostly, I can say, near term or midterm why because actually, you know that today regulatory scenario, even for animal health, any development, we do even cost optimization, it takes 12 to 18 months.
So, we have to do at lab and take transfer to the plant, validate and file. All these things, it takes maybe 12 to 18 months. That's going to happen, maybe R&D synergies we can see after 12 months, especially product optimization synergy will come maybe 12 mo nths.
And the new products will start from -- majority will start from '28. So, these new products actually can bring SeQuent to the top player in animal health. I don't think any company, you will see many products in portfolio as we have in SeQuent, that's a big opportunity for us.
When it comes to manufacturing, so whatever I said, intermediates, we try to bring from outside to internal, that helps on 2 ways. One is actually the sustainability and also to give a lot of comfort to the clients since we do business with the innovators. There were some hiccups actually when you go for actually third -party players. That's where they had some concerns. Now we can minimize those concerns or avoid completely. And also, of course, it adds a little cost improvement on that. And the major thing actually, whatever we do, big product cost optimization or capacity optimization, okay?
Today, we have -- our capacity utilization is around 65%, 70%. SeQuent, they have only 2 sites, one is small site, that's the site we are debating. So, we have opportunity to expand those products and also to improve that cost.
This synergy is going to come maybe again 12 to 18 months because we validated already product. But some customers take 2 years since innovators, they filed for entire global market. So, they wait for all countries' regulatory approvals. But major approvals, we can see from FY '27 second quarter onwards. So, you can see actually good synergies on this. Manufacturing in FY '27, whereas R&D, maybe you can see from '28 onwards, all those things. '27 definitely SeQuent API business is going to do pretty good o n that because of these initiatives.
Sachin Kasera: That's very encouraging. Sir, you mentioned about some capex plans. If you could quantify, how should we look at the combined capex for financial year '26 and '27 for both the entities? And secondly, you had also mentioned that we could also look at some inorganic opportunities. So,

if you give a sense in terms of what is the size of those opportunities? And what is the like key things we look for and what are the financial metrics one should look in those type of acquisitions?

Hari Babu: Capex perspective, API, okay? Last quarter, we spent around INR60 crores Viyash. So, since we have a strong balance sheet with internal accruals, we are able to support INR60 crores on that. API perspective, I don't see any major capex in the next 2 years, okay? For this, whatever we have current strategic business. Of course, when we do for new opportunities, when I said CDMO, we are trying to do some complex molecules, okay? That may require some capex . But otherwise, we don't see any substantial capex for FY '26 and also first 2 quarters of FY '27. And formulation perspective, we are working on the strategy now. Definitely, we want to go

bigger and bigger in animal health, especially companion animals. We are looking at both inorganic as well as organic.

So, one of the thing is we don't have much manufacturing base in India. That's one of the area we are looking at. So that may start actually investing capex , sometime in FY '27. So, it can spill to FY '28.

Of course, it's all depending on inorganic if you get -- we

are exploring if we get something inorganic, we may do faster. But otherwise, actually, we are going to do some capex second half of FY '27.

It's not much actually looking at the combined balance sheet next year. I don't see much capex even in FY '27 if you go for inorganic option. Maybe we'll do INR100 crores, INR150 crores capex , '27, '28. And of course, we are looking at various options on exploring inorganic small or bigger actually, which fits into our strategy.

Sachin Kasera: Which would mean that unless we do an inorganic, we should see a significant reduction in debt in the next 2 years, sir?

Hari Babu: Yes.

Sachin Kasera: And this inorganic, which areas are we looking for, if you could? And what are the synergies and which are the areas where you think there is a gap in terms of the capability or in terms of synergy that you would like to target? And are they predominantly in any geography that we are looking at?

Hari Babu: SeQuent business have everything. So, we do API, we do business with API for innovators. We do formulation manufacturing. We distribute our own. We distribute even innovators also a few countries actually.

So, we have manufacturing in Europe, Turkey and Brazil. We started shipping from Turkey to Europe since it's a Europe approved site. So, we are working on those geographies, especially U.S. and some LatAm actually. So, we are looking at various things. If we get some front -end expansion in a few of the European countries, yes, we are looking at. And we are looking at actually the few products where we can actually in -license and promote those products we are looking.

And of course, the manufacturing base, mostly it will come to India because that's most important because animal health also, unlike human health, genericization is very slow. And we are seeing only last 2 years actually it's moving from innovative to gene ric once patent expire. And we see good opportunity in the next 3 to 5 years. That's where we want to build capability from India low -cost base to take that advantage. So, all areas, it's not specific to one. We are completely relook at actually how can we become global animal health player, whatever are the small, small gaps actually. So, we want to fill those things.

If you ask me today, we don't have right now anything, but we are going to work very closely on that.

Sachin Kasera: Just one last thing on the ESOP cost. So, this first half also as per the comment P&L, earlier we had INR23 crores charge. So, is this going to be a recurring thing? Or is it something specific for 1 or 2 years, maybe I can get some clarity on.

Hari Babu: No, it's not INR23 crores. Is it INR23 crores? Sorry, just 1 minute.

Saurav Bhala: So current year ESOP is going to go down -- so ESOP last year was INR32 million and some new ESOPs were INR32 million -- sorry INR32 crores.

Sachin Kasera: Last year, if I see the FY '25 combined P&L, which is uploaded, that is showing as INR40.6 crores for last year and INR23 cr ores for the first half, Slide number 7.

Saurav Bhala: Correct. That is combined together. I was talking about SeQuent, which was INR32 crores. This year, it would be slightly more because some more ESOP has issued for SeQuent. So, this year, the expected number would be in the same range, INR34 crores, INR35 crores roughly. Post merger, there would be a new ESOP scheme, which NRC has to approve for Viyash team, which is being worked out. And once the numbers are finalized, we can share the details probably in the next call or sometime when it is finalized.

Sachin Kasera: So, while the numbers may vary, we can assume this ESOP as a recurring thing at least for the next 2, 3 years, that will continue to remain part of the P&L.

Hari Babu: Yes, definitely, next 1, 2 years, it's going to be recurring. But to what extent, still

we are working
on the scheme.

Moderator: We take the next question from the line of Harshit Dhoot from Dymon Asia Capital.

Harshit Dhoot: Congratulations on the strong set of numbers. Hari Babu sir, on the Viyash, as you described 3 growth engines, CDMO, generics and the CMO part, the kind of the growth engines that you are envisaging, is it fair to assume that from next 3 to 4 years' perspe ctive, the Viyash can grow more than 20% CAGR rate?

Hari Babu: 3 years, yes. So, as I explained earlier also, the initial last year focus mostly on improving gross margins and profitability. That's how you can see actually more growth and profitability than actually the top line. Of course, whatever we initiated new products are going to come actually in the near future continuously. But definitely, 3 years, we can take comfortably 20% CAGR growth top line.

Harshit Dhoot: Yes. As you said, there was no one -off during this quarter's performance. So is it fair to assume that from now onwards, the quarterly run rate in terms of EBITDA will be more than INR115 crores. Is it a fair assumption, sir? Or you find some lumpiness there?

Hari Babu: You're saying combined, right?

Harshit Dhoot: No, in Viyash, sir. In Viyash.

Hari Babu: Only Viyash, we are saying INR150 plus .

Rajaram Narayanan: You're saying combined SeQuent, like combined entity EBITDA, Harshit? What is exactly you're saying.

Harshit Dhoot: No, no. In Viyash, during this quarter, we reported around INR117 crores , INR118 crores EBITDA. So is it fair to assume that this is the quarterly level sustainable run rate for the Viyash.

Hari Babu: We can assume reasonably, as I said, actually since we had good CDMO revenue and also new launches. But definitely, we can assume close to that, but we can continuously grow on that. Absolutely. We can't give the number, but definitely, we are pretty confi dent to assume that.

Harshit Dhoot: So basically, trend will improve only or may be sustainable at this level in terms of the quarterly numbers, if you can understand?

Hari Babu: It's -- as I mentioned, actually, there may be small spikes, but definitely, we are going to grow, okay, whatever it is. Of course, combined number, as I mentioned, actually, we are going to do -- now onwards 20% plus actually minimum we are going to do th at.

So let me clarify, guys. Let me clarify. It's not one time where it's completely differentiate. There's a small portion actually the service income or the new product launches, but it's not going to change substantially. So, it's going to improve actually maybe quarters, maybe a small thing. But definitely, still we are very confident actually to achieve those numbers.

Harshit Dhoot: And in SeQuent also, we are continuously improving the gross margins. So, going forward, is it fair to assume that the gross margins are sustainable above 50% or close to 50% level? Is it a fair assumption?

Hari Babu: Absolutely, absolutely. You can see good growth in near future, absolutely.

Moderator: We take the next question from the line of Sucrit D Patil from Eyesight Fintrade Private Limited.

Sucrit Patil: I have 2 forward -looking questions. First is looking beyond this quarter's numbers. I want to understand the bigger picture that the company has in mind. SeQuent is India's largest pure -play animal health company and the industry is changing with the new r egulations and global demand shifting. And there is some innovation in veterinary medicines also.

Over the next 1 to 2 years, what is the one big change that you are driving that will make SeQuent stronger and more trusted across the globe? Is it to expanding your product pipeline or building deeper customer relationships, something that makes it hard for your competitors to copy your model, that's my first question. I'll ask my second question after this.

Hari Ba

bu: Thank you for that question. If I put it actually whatever we initiated last 1 year, so I can see 3 areas. Of course, SeQuent today is a differentiated company. I don't see any other company, which is closely to SeQuent capabilities on whether it is API po rtfolio or actually finished product distribution or actually the markets where we offer.

So next 2 years, actually -- and also, as you mentioned, actually market scenario also has changed. So, animal health also is moving towards the more regulatory scenario like human health, that's where we have bigger advantage.
Our API plant is pure play animal health approved by FDA and all our facilities wherever we operate, actually facilities is pretty well maintained on the compliance for those markets. So next 2 years, actually, we want to grow definitely the CDMO, whatever actually it lagged a little bit last 4, 5 years with innovators, that's going to grow.
Second is the big thing in the formulation business, especially in the companion animals, whatever we mentioned that actually the pet care, whether it is front end or manufacturing capability, we are going to improve substantially. That's going to be the d ifferentiating factor for entire SeQuent, I can say. Rajaram, you can add if you want to add.
Rajaram Narayanan: No, I think absolutely. I think for us, what you should expect in the next 2 years is certainly -- we'll over -index on companion animals, both in terms of our own growth as well as any kind of inorganic.
I think that after the -- because of the merger, we will be seen to be a far more sort of R&D and science -driven animal health company. And I think that will be a big differentiator for us. In many markets, which are less regulated, the regulations are getting tighter on animal health products. And I think that -- for that, we are very well positioned compared to some of the other players who may not have the kind of quality and regulatory ca pability that we have right now. It will be a big plus for us.
Hari Babu: And most important with our combined balance sheet can leverage actually to expand all these areas. So, you can see the free cash flow we are generating quarter -on-quarter. Of course, we said '27, it's going to be debt free. That's going to happen. So, unless we do some mergers. So, balance sheet is going to help a lot on actually expanding these areas.
Sucrit Patil: My second question is to Mr. Saurav Bhala . I believe he's also on the call today.
Saurav Bhala: Yes.
Sucrit Patil: Again, a forward -looking question because you have given good guidance on the margins [inaudible 0:58:49]. My specific question is to margins and cost planning only. Margins in pharma are always under pressure when costs rise, whether it is through raw materials, compliant, R&D or any other specific things.
Just want to understand how you think about protecting the profits without slowing down growth. Is there any smart way that you have put into place, maybe it's pricing discipline or operational efficiencies?
How do you balance these levers in practice so that the company can stay strong, even when sometimes things get out of control or you may plan something, but it may go in some different direction. Yes. I want to understand on that.

Saurav Bhala: Yes, that's a good question. And in fact, we have been addressing them for last many, many quarters. So, the work started about 2 years back, where we kind of reject our portfolio by seeing the product mix by looking at each of the product country -wise very carefully, where our efficiency is there and where it needs to be improved.
And a very detailed action was taken over many quarters, the result of which is already visible, and that has led us to quarter -on-quarter improvement in the g

ross margins, irrespective of all the geopolitical turmoil going around.
So, we are very confident this is the base which has been established. It is not a once -off thing. It is not dependent on external factors, and we will maintain and kind of grow over these margins by improving the product mix. So, R&D is also -- there is a lot of investment going on in R&D globally for us. That is helping us to improve our costing profile, addition of new products. So, our product mix is going to improve going ahead also. So, this margin, I think, is a base which has been created and which we are very hopeful to improve going ahead. And Dr. Hari, may want to add.
Hari Babu: So, I'll add a little bit actually, if you see that, of course, Viyash is constantly improving gross margins. SeQuent also, you can see good improvement near future API and formulation also, if you see where we operate, where we compete.
We compete most of the companies with innovators in Europe, all those things. And we have -- actually our cost base is low. Wherever we do manufacturing, actually formulation activities, cost is not very highly competitive.
Of course, we are continuously working on that whatever API is fully set up now, even formulation also bringing more and more internal wherever it's possible. So that's a continuous activity to improve the gross margins.

Moderator: Ladies and gentlemen, as there are no further questions from the participants, I now hand the conference over to the management for their closing comments.
Rajaram Narayanan: So, thank you very much for joining this call in the morning. I hope you've had an idea about how the performance has evolved over the last couple of quarters, but also importantly, the direction going ahead. We'd be happy to take on any other queries that yo u have, and you can write to us directly for that, yes. So, thank you very much, and have a good day.
Hari Babu: Thank you. Thank you very much.
Saurav Bhala: Thank you all.
Moderator: Thank you. On behalf of SeQuent Scientific Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2026

(no extractable text — likely a scanned image PDF)

Call: May 2026

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May 22, 2026

To,
BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort, Exchange Plaza,
Bandra -Kurla Complex,
Mumbai - 400 001 Bandra (East),
Mumbai - 400 051

Scrip code: 512529 Scrip code: VIYASH

Dear Sir/ Madam,

Subject: Intimation under Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Earnings Call Transcript for the quarter and Year ended March 31, 202 6

Dear Sir/Madam,

Pursuant to Regulation 30(6) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the Earnings Call Transcript pertaining to the Audited Financial Results of the Company for the quarter and year ended March 31, 2026.

The same is also available on the Company's website at: https://viyash.com/financial

This is for your information and appropriate dissemination.

Thanking you,

Yours faithfully,
For Viyash Scientific Limited
(Formerly know n as Sequent Scientific Limited)

Yoshita Vora
Company Secretary & Compliance Officer

"Viyash Scientific Limited
Q4 FY2 6 Earnings Conference Call "
May 20, 202 6

MANAGEMENT : DR. HARIBABU B. – MANAGING DIRECTOR AND GROUP
CHIEF EXECUTIVE OFFICER – VIYASH SCIENTIFIC
LIMITED
MR. RAJARAM N. – EXECUTIVE DIRECTOR AND CHIEF
EXECUTIVE OFFICER , ANIMAL HEALTH – VIYASH
SCIENTIFIC LIMITED
MR. RAMAKANT S. – CHIEF FINANCIAL OFFICER –
VIYASH SCIENTIFIC LIMITED
MR. ABHISHEK SINGHAL – VIYASH SCIENTIFIC
LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Viyash Scientific Limited's Q4 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Abhishek Singhal. Thank you, and over to you, Mr. Singhal.

Abhishek Singhal: Thank you, Michelle. A very good evening to all of you and thank you for joining us today for Viyash Scientific Limited's Earnings Conference Call for the Fourth Quarter and Financial Year 2026. Today, we have with us Dr. Hari babu, Managing Director and Group CEO; Mr. Rajaram, Executive Director and CEO, Animal Health; and Mr. Ramakant, CFO of the company, to share the highlights of the business and financials for the quarter and financial year. I hope you've gone through our results relea se and the quarterly investor presentation, which have been uploaded on our website as well as stock exchange website. The transcript for this call will be available in a week's time on the company's website.

Please note that today's discussion may be forward -looking in nature and must be viewed in relation to the risks pertaining to our business. After the end of this call, in case you have any further questions, please feel free to reach out to the Investor R elations team. I now hand over the call to Dr. Hari Babu to make his opening remarks.

Hari babu B.: Thank you, Abhishek. Good afternoon, everyone, and welcome to Viyash Scientific Investor Call for the Quarter 4 and Financial Year '26. Thanks for taking the time to join us today. Today is an important milestone for us as we are discussing first -time combined entity 12 months annual results. Q4 FY '26 is the strongest quarter in the compan y history. EBITDA surpasses INR200 crores. FY '26 EBITDA up by 59.6% and PAT by 1,324%.

Last year, it was negative with a good free cash flow, and most important, strong foundation for future growth. Fiscal year 2026 has been a transformative year for Viyash Scientific Limited, marked by the successful integration of business, operations and corporate functions into one unified strong platform. The integrated platform has strengthened execution, improved operating leverage, contributes sustainable growth, which reflects quarter -on-quarter results.

As we enter FY '27, we are very excited about our product pipeline, infrastructure, strong management team and sustainable growth road map. With a significant deleveraged balance sheet, we are also actively evaluating selective inorganic opportunities in a ddition to organic scale up to further strengthen our platform and create long -term value.

As we explained earlier, operationally, we have taken multiple actions across all the businesses over the last few quarters, which are reflecting in the results. On the animal health formulation business, all regions are growing very strong, and we believe the growth will continue with our continuous focus on new product launches, geo extension for all our existing products to various countries, expanding R&D and accele rating new product development.

Manufacturing expansion at Spain, and debottlenecking capacity at Turkey manufacturing, which are very important to grow for future business. We have initiated; we are working on that. Strengthened front -end team to expand business new markets and scale up existing markets. Many existing markets, we try to add products, we try to add people in addition to adding the new markets. Coming to the human health formulation business, I think it was a

great year for
human health formulation business. We have done a fantastic job FY ' 26. Accelerating new product development and moving into complex products with internal APIs. As I mentioned earlier also, finished products, we changed our strategy last 2 years.

One is changing our product mix, moving into a little more complex products and all mature products, volume products, we try to internalize APIs and also bringing manufacturing into India manufacturing. That's where we are able to sustain the products and grow and also, most important, margins are growing. Recently, we initiated dedicated -- creating dedicated potent lab in R&D to take care of all our new oncology product development for finished product.

Coming to API and CDMO business. This is again one o f our core business and a strong business. And most important to note this year, animal health, all you guys must be tracking last couple of years. Last 5 years, it was stable, neither growing nor actually degrowing. It was INR350 crores plus or minus INR10 crores business. The first year after 5 years, we are able to take it to INR400 crores run rate.

And we are very confident coming years; it's going to grow very strong. And already, we see the growth, and we are going to grow very strong in the next coming years. And most effort in animal health, we relooked at the entire strategy. Of course, that's a part of strategy or synergy exercise. We identified a few areas, execut ion capability, especially on the manufacturing. And most important, R&D, speed, efficiency and portfolio development.

We initiated all those areas last 6 months. It's working very well on those things. We're able to develop a couple of products already last 6 months. And we are covering product development up to at least 2035 patent expiring. And we see the huge potential to grow on that business. And other area, operational efficiency improvement, and we see tremendous improvement in animal health operations last 6 months.

And capacities are growing; we are able to optimize. That's where it shows growth as well as margins improvement. Coming to human APIs, like formulation business, last 2, 3 years, we try to optimize in various aspects, taking out commodity products, taking out little intermediates into taking out and converting into API business. We did a big exercise last 2, 3 years. That's how we are able to improve the gross margins drastically.

So last year also, we did some optimizing of intermediates business. All intermediates, whatever we are doing, either we are trying to convert into API, which, in fact, is going to convert into finished products. We started last 18, 24 months and started g etting approval, that's where you can see the growth in the near future. And other strong area of APIs are continuous development of the new products.

As I mentioned earlier call also last 12 to 18 months, we moved out from general volume products to complex and a little more high -potent areas. We were able to do a large number of products, validated and lock in with many customers. Launches are going to come near future and also in the long -term perspective. And whatever we developed last 3, 4 years, we acquired these companies in '21 and started rebuilding R&D from '22 and filing many products from '23, '24, '25, which started coming approvals now.

This year onwards, we are expecting a reasonable number of approvals, which give good value for top line as well as bottom line. And other area where strategically we are focusing. Of course, we were talking CDMO, different areas. One of the areas where we are strongly focusing with innovator business on the life cycle management. And all you guys are aware, animal health, almost 70 %, 80% goes to innovators. And we see the strong potential to grow near future. Whatever we are doing this year, I can expect

next year at least 30%, 40% growing innovator
business. Innovator business is quite sustainable and reasonably profitable business. That's where we are focusing, and we see good potential to grow, and you can s ee '27 itself growing that business.

Finally, which is very important, of course, integration and synergies. As I mentioned earlier, teams have been integrated very well, whether it's operational or business or most important corporate functions. And most important thing is the entire team is fully charged up for future growth. That's where is my excitement personally.

And coming to the synergies, synergies are tracking pretty well. It's tracking better than what we anticipated during the merger . And we are continuously looking for additional synergies. At this point, I'll stop. And today, maybe we'll allow time for more questions or clarifications. With this, I will hand it over to Ramakant to take care of financials. Thank you, everyone.

Ramakant S: Thank you, doctor. Good evening, everyone, and thank you for joining us. I'm pleased to present the highlights of our strong financial performance for Q4 and full year FY26. I begin with the highlights for Q4 FY26. Total revenue stood at INR920 crores, reflecting a year -on-year growth of 19.1%. Formulations revenue increased by 28% to INR499 crores, while API revenues grew 5% to around INR384 crores.

Gross margin improved by around 236 basis points to 55.1% compared to 52.8% in the same period last year. Adjusted EBITDA rose sharply by about 64% to INR200 crores, with EBITDA margins expanding by 593 basis points to 21.7% Profit before tax improved significantly, moving from a loss of INR37 crores to a profit of INR125 crores in the current quarter. Profit after tax also recorded a strong turnaround, rising -- from a loss of INR32 crores to a profit of INR66 crores year -on-year.
Coming to FY26 full year performance. Total revenue for FY26 reached INR3,420 crores, representing a growth of 13.8% over INR3,007 crores reported in FY25. Formulations revenue grew 18% to INR1,866 crores, while API revenue increased 8% to INR1,491 crores. Gross margins expanded by 321 basis points to 54.3% compared to 51.1% in FY25.

Adjusted EBITDA increased 59.6% to INR702 crores with margins improving by 590 basis points to 20.5%. Profit before tax grew more than 26x to INR349 crores, compared to INR13 crores in the previous year. Profit after tax increased more than 14x to INR225 crores, up from INR16 crores last year. Our balance sheet remains strong, supported by healthy liquidity and comfortable leverage position, which gives us flexibility to pursue growth opportunities, both organic and inorganic.
We continue to focus on disciplined working capital management, ongoing improvements in operational efficiency across the business. These strong financial parameters were reflected in the external credit rating upgrade with long -term rating moving to -- moving from A to AA - and short -term rating improving from A1 to A1+.
Looking ahead to FY27, our key priorities include strengthening merger synergies, improving operational performance, allocating capital efficiently to drive sustainable growth, further reducing debt and maximizing cash flow generation. With that, I conclude my opening remarks . Thank you for your attention, and I would like to invite the moderator to open the floor for question -and-answer session.
Moderator: The first question is from the line of Vishal Manchanda from Systematix.
Vishal Manchanda: Congratulations on a very strong set of numbers. Sir, could you kind of share some color on the CDMO business as to like how we are looking to build that and how we are placed currently in terms of either number of clients or number of products that we are doing on CDMO side? And any potential leads that we have to take this forward in a meaningful ma

nner?
Haribabu B.: Yes, sure, Vishal. I explained last call also the same thing, CDMO. CDMO, there are 3, 4 models, working with innovators on NCE molecules, okay, where we start with Phase III, move to the commercial thing. And second thing is start with the life cycle management, whatever their products normally once its patent expires, they look for alternatives. That's the second business. And third business, now there's a lot of opportunities for specialty companies, both in Europe and also India big companies where they don't have infrastructure to develop and manufacture. So, they are coming and looking for CDMO business for specialty products. So first one, I'll come a little later.
The second and third life cycle management business. Now I can say at least we work with 8 to 10 innovators, big innovators, both human health as well as animal health. And I see good traction last 6, 9 months, okay? Animal health, we were struggling a lit tle bit on delivering their expectations. But now we have come out from those things.
We are able to grow a lot life cycle management products in the next 1, 2 years. So, with 8 to 10 customers, a few products are waiting for approval, what we initiated 2, 3 years back. It's coming for approval start from end of this year. So started getting approval from a few markets but entire a global thing, it's going to happen by end of this year. So, like that, we see good growth potential near future, okay?

FY27, I can say, at least innovative business on this life cycle management, I am expecting to grow 40% and the base is around INR200 crores, INR225 crores on that. And the third thing, specialty companies last time also explained 2, 3 models. We develop the product, we manufacture and they file the product, and we have some profit share also. We did almost 16, 17 products. I don't have a number, b ut it's a little more than 16 products on that.
Coming for -- all these are complex products coming for a little later launches, start from maybe '29 to '30 kind of thing, and it goes up to 2035, '37. So that's we are adding continuously on that, and we see the good potential on that. In the same catego ry, we also adapted one more model on that instead of just working -- developing and doing for them with some profit share, we also initiated a few products, complex products, joint development. Pure formulation players where

they have strong presence on d eveloped markets. We are working with them with the joint development program.
So, we take risk on the API development and API quantities, and they develop formulation. So, one way it's very faster development since they are reasonably strong on formulation where we are strong on API. So, the development cycle is faster and simpler and more important, it's efficient. So, we initiated 3, 4 products. Already, we have done 1 product.
In addition to that partnership, a few products last call, I mentioned mature products. These 2 areas growing very fast, but Vishal, these things will take time. When you are looking for CDMO, always it's a longer -term perspective. And any CDMO starts with life cycle management once you have strong relationship built with innovators and go to the first one actually where you can start with the Phase III and converts to the commercial. That's where we are building infrastructure.
We are building -- started building resources this year, okay? That takes a couple of years for sure. So that's our CDMO. I'm not -- I'm very practical on this. It's easy to say CDMO can work with innovators but I don't want to go into that. Whatever we say we follow. So that's the second and third areas we are working very actively. But the first one, NCG, it takes time to be done.
So that's where we are building. We are looking at various opportunities.
If we get something on that area, some inorganic option, we are open

to look at. So, we are
looking continuously but we don't want to acquire just for sake of showcase something or showcase numbers. We are looking at the good asset if something comes out. So that's where we are looking on that. Hope I answered your question, Vishal?
Vishal Manchanda: Sir, just a follow -up on this basically. So, when you say specialty, you mean you do the -- so you do only the API, right, not the formulation but the API is basically, maybe it's a complex API look at? That's the...
Haribabu B.: Two things here, Vishal. Formulation, we have our own setup already. Most of our products, we do that way. I will explain that. This is -- mostly, these API, CDMO partnered with our formulation partners are reasonably complex or high potent because as you know, we have 2 high potent dedicated facilities.

Capability starts from as small as 0.5 kg or 1 kg to 100 kg batches. These capacities, very few companies are having that flexibility. That's where our strength with R&D scientists, we are able to do that. The formulation, as I mentioned in my remarks, we are moving into the complex. That's how we are building our R&D onco lab, which is getting ready soon, mostly this quarter and the next quarter.
We are moving into the complex products in formulation. The formulation is always partnership model, Vishal. What we do today, we develop the products once we have -- we identify the product and once we come up with proof of concept, we go to the partners, all big companies, and we work with them.
So, they pay for development and we continue development, we get approval and we do manufacture and profit share is mostly 50%, 50%. So, formulation entire business, what we do is directly or indirectly comes into the CDMO business. But it's mostly the big generic players like Cipla or Dr. Reddy's, all big players in the U.S. That's what we did.
Vishal Manchanda: Got it. And sir, like you said about INR200 crores of the business is currently CDMO. So, the top line in API is about INR1,500 crores, so roughly 15%. So over next 2, 3 years, would this become, say, about 30%, 35% of your top line, the CDMO business? And are these relationships with innovators very old or you have recently built this relationship and hence, there's a scope for you to ramp them up much larger?
Haribabu B.: Most of the relationships are very old, long, maybe last 10, 15 years, there are 2 things. One is relationship with Viyash, relationship with SeQuent animal health and also our past relationships where we work. Most of us, we work in big companies had experience with these guys. But most of the relationships are already commercially demonstrated. This INR200 crores business, it's coming from last 7, 8 years, the Se Quent bigger business is that.
But last 6, 9 months, that credibility or the relationship has improved for us. where we focus on the quality on the R&D products, our efficiencies, improving quality systems. That's where they started getting more comfort and looking for more products on that, Vishal. So, to answer to your question, maybe 90 %-plus is our existing relationships, 2, 3 products what we are anticipating approvals this year, next year. Those are the relationships we built in the last 2 years.
Moderator: The next question is from the line of Surabhi from NV Alpha.
Surabhi: Congrats on a good set of numbers. So, my first question is there is almost a INR13 crore quarterly gap between the reported PAT and the PAT, the minority. So, I wanted to understand, which subsidiary accounts for this minority interest? And what is the scale of the subsidiary in terms of revenue, EBITDA? And how is that going to grow in FY26? That's my first question.

Haribabu B.: So, we have -- I will start, maybe Ramakant can add if something I miss. We have 2 subsidiaries. One is in U.S.A., which is the human health formu

lation. We have manufacturing in the U.S.,
of course, R&D in Hyderabad that manufacturing is a subsidiary. We hav e majority control on that. And revenue, I think we reported that revenue is around INR425 crores revenue. And I don't know, EBITDA, Ramakant, he can tell. And other subsidiaries is in Spain. Both are having majority. We are working on that next 1, 2 years actually how to get that remaining thing.

We are working closely with that. We have option to buy back that. I think Spain -- Raja, correct me if I'm wrong, Spain by '28, I think there's option to buy back. And yes, we have option to exercise any time. We are looking at various options. Maybe we look at next 1, 2 years on that. The numbers specific to -- I don't know whether you factored specific PAT numbers, but overall percentage is maybe Ramakant can explain.
Ramakant S: Yes. So as doctor mentioned, the Appco , we own the U.S. formulations business, we own 60% of the stake and minority remains at around 40% and revenue -- annual revenue is about INR400 crores, INR425 crores. In Spain, again, we own 60% and the revenue from Spain is about INR550 crores for FY26. So currently, whatever you just mentioned, about 20% of the EBITDA or the profit margins are coming from minorities.
Abhishek Singhal: 20% of PAT.
Ramakant S: 20% of PAT is from minority.
Surabhi: Got it. And just if you could throw some more color on the animal health portfolio. You mentioned that since the last 5 years, it was kind of stable and this year, you will grow and more contribution from the innovators. So, what kind of products and geographies are you targeting? And how much of it will be companion health in this? And also, some color on the distribution partnership with Boehringer Ingelheim for the India portfolio?
Haribabu B.: So, 2, 3 things in animal health portfolio, what I mentioned. One is API. API, we do majority business with innovators. It goes to everywhere, every geography in the world. So, most of the products, what we have been doing till today last year are the mature products like Albendazole , okay, there are a few mix of large animal as well as companion animals. Most of the products are mature products.
Last 2 years, of course, we started a few new products, which are coming out of patent from '28 onwards. That's where our focus is going to be on API while expanding that existing matured product business, adding most important on the new API products, whi ch are coming out of patents. Up to 2035, we looked at -- our R&D started working up to '25. We identified almost 15, 20 products and 5, 6 products are very large products coming out of patents.
If you know a little bit on the liners, those are the big products on that. Another advantage of developing an API is since we are in the formulation of these things, we can extend to the formulation development also. That's what we are doing. So that's wh ere API business, a few products, existing clients are adding and few products, it's adding geography, one or two products they are doing for only India.
Now they started qualifying last year for all other geographies, which are bigger geographies like China or some of the Europe countries. That's where that INR100-odd crores, whatever I mentioned is the existing products adding geography on that. All new products, whatever is coming, it reflect from maybe '28, '29 on that. And also, it helps us to protect and lead formulation business with internal APIs. A couple of products are specialized APIs. It's not easy to get sourcing.

And even if you get -- there are very limited sources. That's how to protect and grow the product formulation, we are doing that. Coming to the formulation, there are 2 segments. One is the large animal thing where we had a lot of focus till last year

. Fro m last year, we are extending that
focus to companion animals.
One large animals, we are adding a few geographies like we are very strong in Spain. We are very strong in Turkey. Last 2 years, we started expanding geo expansion, trying to add all European countries because both sites are approved by EU GMP. And whateve r products we are manufacturing injectables at Turkey and powder solutions at Spain, we are expanding to Europe markets on the large animals. The same way, the Brazil, we have a manufacturing site for large animals that we are expanding to the Lat Am count ries.
And we see good growth from Mexico this year. Other area, a few other countries, Southeast

Asia countries like Vietnam, we just started our front -end activity. That's one of the bigger market for large animals. And also, we are exploring for Africa, all th ose in large animal products. Large animal products advantage is we covered almost 80%, 90% of the entire portfolio in that segment.
So, the growth comes on the market expansion on that. Coming to the companion animal, which is the strategic growth area for us next 5, 6 years. Multiple things we are doing. One is with the partnership with BI. That's the first that we started last quarter. We want to expand entire our companion animal platform content through this partnership.
We are going to distribute entire BI segment, whichever are coming in future also, we are going to do that. With that platform, we are able to develop and actually get into the market. And we're expanding a lot in the companion animals. We already initiate d R&D expansion. It's going to happen next 6 months. And the product development is going to increase by 5 x, 6x, whatever we are doing, a few products today .
It's going to add a large number -- at least we are looking at 7, 8 products per year. And most important, the products are coming out of patent may be '29 or '30. And some of those products are differentiated products, as you guys know, cat and dog, likewi se, various combinations on that. So, we are working on that a little bit differentiation and new products.
R&D started expansion. We are building -- we gave capex clearance for R&D on the company. People, we started hiring. And most important manufacturing infrastructure also we are adding this year. That gives a lot of opportunity to expand companion animals. So, India, we are expanding front end. Whatever product portfolio are going -- we are doing, we are going to launch everywhere.
Most focus areas are at first phase Europe and India and where we have presence today, strong presence like Turkey and Brazil. So, this year, FY27 is a building -- platform building for companion animals, R&D, manufacturing and front end wherever is required. And also, we are looking at some inorganic options for these things. We are looking at a few options. So that's a broader area of companion animals. So, this is a focus area on that.
Moderator: The next question is from the line of Sajal Kapoor from Antifragile Thinking.

Sajal Kapoor : Dr. Hari, pure -play intermediates and API companies such as Alivus Life Sciences have been reporting gross margins in the 55% to 60% range. Now given Viyash's exposure to formulations, API, CDMO, complex intermediates, how should we think about the sustain able gross margin profile and I mean, over the next 3 to 5 years, do you see gross margins inching up from here? We are already at a decent level, but when you add formulations, you expect a higher gross margin. Otherwise, there is absolutely no point doing formulations in addition to APIs.
Haribabu B.: Yes. I think you answered question itself when you say it's a decent gross margin, as I explained, intermediate and API stand -alone, maintaining 55% gross margin for generic play. It's not easy unless we have different strategy. That's how we follow

last 2 years. Our gross margins 3 years
back, if you compare our EBITDA, gross margin or PAT 3 years back, which was completely different. Why? Because mix of intermediates and API where we sell and large business actually intermediate contribution used to be much more.
That's how we changed our strategy to maintain or improve gross margins, what we have adopted wherever there are intermediate s where we have strong presence, try to do forward, forward integration. What it mean forward, forward, intermediate take it to API, take it API to formulation, wherever we can do that. The similar way, wherever we are strong in the formulation or API, try to backward integrate.
So, we try to optimize continuously taking out commodity products where we're not able to make good gross margin. Generally, commodity gross margins are 30%, 35% and making those products in highly regulated environment, you are able to survive, but it's not easy to improve. That's how we try to optimize the product mix. We did very well last 2 years. So, with that mix, we sell intermediate with a reasonable gross margins and also sell intermediate wherever we are using API so that we can utilize the capaci ty.
That's how we are trying to do that. So, with this mix strategy, moving to API, API to formulation, formulation to back, these are -- we are able to manage that gross margin but knowing this business last 30 years. Even if it improves plus or minus 1%, 2%, but less maybe after 5, 6 years, unless until we go to that I think these gross margins will be maintained. Once you move to CDMO and C -- maybe improve. But otherwise, at this stage, I feel this is reasonable, and we are confident to maintain those gross margins. Here or there, plus or minus 1%, 2% kind of thing.
Sajal Kapoor : No, that's helpful. That's helpful. And I was following the commentary from Zoetis management, the animal innovator leader in the U.S. and they sounded cautious in terms of generic opportunity. And the reason is that some of the American consumers are cons ciously shifting

into generic or more affordable drugs for their companion animals.
This was not a trend that was seen earlier. So, in this changing landscape, I mean, logically thinking companies like us should be able to gain more traction maybe through life cycle management and even directly offering our own IP, the generic molecules that is. I mean what is your thought process?

Haribabu B.: So that's exactly what we are trying to do. It's the entire companion animal segment, what we are projecting, what we are strategically working next 5 years. Europe, companion animals, it's moving a little faster genericization. Today, developed markets, i nnovative controls fully animal health segments, whether it's animal or companion animals. And under -developing countries have moved into the generic business, but developed countries still controlled by innovators.
For companion animals, it's moving fast. last 2, 3 years, if you see, still, it's a large opportunity because the volume is growing. So, there's no rocket science here; last 3, 4 years post COVID, pets are growing day by day, okay? Pets is like kids. So, every country is growing. I was surprised to see, in U.S.; there were 9.4 crores dogs and 9.2 crores cats. So that together, 18.6 crores, that means each family is having at least one. And Europe is growing every day. Surprisingly, cats are growing much fas ter than dogs.
When the volume is growing and another issue in this, especially Europe, unlike human health insurance coverage is not full. It's covered by 25%. We visited all distribution centers and hospitals, everything. So, insurance covered is by only 15%. So, the volume is growing, it's naturally it has to convert into generic. That's where we see the bigger opportunity.
That's how we want to do, start with Europe, India, where the bigg

er markets are growing. And
next step is go to U.S. , U.S. is still a little complicated, especially companion animals. Guidance is not very clear. Is it actually some of the solutions, we do something for human but BA/BE sometimes it's not acceptable, same as human.
It requires a little more studies. So, it's a little complex guidance in the U.S. That's where actually our next 2, 3 years focus is on where we can do faster growth. Europe base, since we have experience exposure, actually, we see that's a faster growth.
Next phase is going to U.S. by doing ourselves or look for something else. So exactly, we are doing that. That's the area where we are accelerating. That's the reason we decided to go quickly R&D expansion as well as manufacturing expansion for companion a nimals.
Sajal Kapoor : Very, very helpful. And lastly, this time around the receivables growth, and that's common. I mean, receivables often outpace the revenue growth in a scaling business. It's a common observation, nothing unique to us, but it has happened this time around. S o as manufacturing eases and next constraint may shift somewhere else, I mean, what is the next bottleneck you see in the system? And what operating discipline will keep cash conversion and execution quality intact as the complexity increases going forward?
Haribabu B.: A few things when you are -- when you want to grow faster and big, okay? These are the natural things, sometimes inventory receivables, a few countries, countries like Turkey, all these countries, credit period is very high when you are growing bigger thing. Where we don't see any risk -- but looking at various things, we always look at net working capital things.
And this year, our focus area, you might have seen this quarter when our EBITDA is INR200 crores versus PAT INR60 crores. That's one of the key focus area, how can we convert into EBITDA to PAT better. Various options, of course, our finance burden is going to come down. And we are looking at the tax structure also differently.

That's how we are moving a couple of subsidiaries from old tax regime to new tax regime. old tax regime in India, 34% to 35%, it's moving to 25%. So, we are looking at the various options, but sometimes it's exceptions receivable when the market demand. We are working closely on all these things. Ramakant, if you want to add something, you can.
Ramakant S: Yes. So just to add, I think absolute number does reflect the growth in revenues, absolute number of receivables, if you see that increase is majorly because of the revenue growth. But if you look at the number of days, it has been within a small range, ma ybe about 5, 6 days of increase that we have seen in Q4, which we believe is in control. We don't see any concerns there. But as doctor said, the focus continues to remain on how do we convert from EBITDA to net profit. How do we optimize that conversion or maximize that conversion is the focus area for the next couple of quarters.
Moderator: We'll take the next question from the line of Kumar Saurabh from Scientific Investing.
Kumar Saurabh: So, in last con-call, you had spoken about companion animals generic penetration being this

15%, 20%. If you can talk more about that data in terms of what is the total addressable market, both in India and globally? And what is relevant for us, how this market is growing ? If you can give more details on this?
Haribabu B.: I think our -- where we are focusing market, Raja, maybe you can add if I missed something. Companion animals, mainly Europe is the thing. U.S., we are not -- of course, bigger market is U.S. since most of the market is a branded market innovators. I think Europe is close to $1 billion market, right? Raja. Just say the addressable…
Rajaram N.: Yes. A bit more without -- the addressable market would be that if you leave out vaccines. Yes.

Haribabu B.: Yes. So, without actions where we are planning, it's close to $1 billion. And most of the products we are working on that. That's the thing. And also, we see that genericization also is improving on that market. That's a more developed market. India, market is not big, but we see at least it's going to grow. India, we are also looking at various things near future. At this point, mostly we look at medicines.
So that's what we distribute vaccines for BA, all products. But it's going to be a few hundred crores in India. But the addressable, what we are looking at a $1 billion market in Europe at this point. And we are preparing all for that, whether it is R&D, f rontend or manufacturing on that perspective.
U.S. is the next stage. That's the bigger market. So, we take it in the next phase. in between if something comes up right opportunity inorganic, we may look at. But our first priority is to address Europe and also to address countries like Brazil, these countries.
Rajaram N.: And if I may just add, I think the important thing is that unlike human generics where the pricing drops very drastically to almost 10%, 15% of the innovators' price. I think what happens in animal health generics is that the pricing drop to the generics is far slower. It tends to be more like 60%, 70% of the innovator's price.

And therefore, you're right in observing that, one, there is a 15% --genericization is much less in animal health. It is increasing very fast. Europe is an interesting opportunity. And also, because there is an opportunity if you have a front end to actually distribute branded generics at reasonably good margins. So, I think that's the other piece which is there.
Haribabu B.: The good thing about our strategy is now we have understanding on everything. Front end, we have a great understanding since already we are doing. And we are very strong on API. We are strong on operations. So, with the integrated play, definitely, we believe we can differentiate this and grow bigger.
Kumar Saurabh: One last question. And our performance has been commendable. I think what you guided for FY28, you achieved much before. And we are much above the 20% guided margin. But do you see further scope for synergies and cost advantages? Or like this is the optimum we should consider? Or is there more to extract in terms of optimizing the margins?
Haribabu B.: It's 2 things. We have to balance margin versus growth. So, this year, we are going to invest a lot. As I mentioned, our R&D investments are growing a lot, okay? Substantial investment is going to happen on finished product formulation, both human health and companion animals. And most of these are complex molecules. We are going to invest a lot on R&D.
And also, when you are building additional capacities, there will be some pre-opex on that. So, it's try to balance, but we are very confident to maintain these margins. But once you actually next phase is the investment phase, whatever we did last 2, 3 years, optimizing existing infrastructure existing.
But next 2 years, we are going to build and invest on the R&D all those things. But we are very confident to maintain these levels. I'm always trying to be practical on that, okay. If we get some few products, good thing, we may, but we are thinking at this level gross margins.
Moderator: We'll take the next question from the line of Chintan Modi from Oaklane Capital.
Chintan Modi: Sir, my first question is respect to the synergy benefits. I think we are targeting something like INR60 crores, INR70 crores. Can you tell us -- and you mentioned that there could be some more synergy benefits. How much has been accrued and how much more we can see in the next year?
Haribabu B.: So rough math, I can say annualized, we are accruing close to what you mentioned, INR50 crores, INR60 crore

s. Initially, when we decided this merger, we anticipated INR50 crores,
INR60 crores overall. But now we are going to do much more. So, at this point, I think tracking INR50 crores, INR60 crores annualized numbers. But again, the bigger portion also is coming to come in next 12 to 18 months because the synergies operations, we have to develop and file approval, all these things will take i ts own time.
And as you know, last quarter also, I mentioned, we invested capex for all kinds of capacity

increase in V iyash . So, we are waiting for approval. Once that comes, it's going to have further synergies. So, we are hoping altogether at least maybe INR125 crores, INR150 crores at this

point annualized. But at this rate, we are tracking at this point, INR60 crores. But next 12 to 18 months, it's going to happen that INR125 crores, INR150 crores.

Chintan Modi: Got it. Next question is, sir, because of the recent geopolitical issues, many chemical companies have been facing raw material availability issues as well as volatility in prices. Could you throw some color on that on how we are placed over next 1, 2 quar ters? And is the raw material availability secured for us?

Haribabu B.: So, as you know, it started beginning of March. There is a small impact in March, but it's not material, 2 things. We are able to manage on one is inventory, all key materials, we have enough inventory to manage 1 or 2 quarters. The bigger impact on 2 things. One is the solvent where we cannot keep inventory per month together.

And the second one is the freight. Freight impacted a little bit INR1 crores, INR2 crores in fourth quarter. Solvents, there was impact. But we are able to -- how we are balancing since we are recovering very efficient solvent that the consumption is we're trying to minimize whatever best possible. And another area, we are trying to in crease the prices.

We are able to increase the prices to balance these things. So far, we are able to manage very well till now. This quarter also, we are confident to manage. But if it continues further, okay, maybe next 1, 2 quarters, we need to see that how much we can in crease the price. But at this point, I don't see any material impact on that.

Whatever we do price increase versus raw material increase or freight increase, we are able to balance. But there may be a little impact, but I don't see bigger thing at least for this quarter. Next quarter, we need to work on that. We are managing very ef ficiently on that side.

Chintan Modi: Understood. Sir, with respect to tax rate, how much should we model for FY27 and '28 as a percent of PBT?

Haribabu B.: I think around 27%.

Ramakant S: Yes, yes. Average tax rate should be around 27%.

Chintan Modi: 27%.

Haribabu B.: So, this quarter was more because of we are moving from old regime to new regime, old regime, some of areas of 35%. There were some tax adjustments because of integration of merger. So, all these things are going away. That's also we are trying to optimize that. I think next year onwards, it's going to be 26%, 27% level.

Chintan Modi: Understood. And sir, one last question is with respect to, let's say, over next 5 years and given that we have multiple levers for growth lined up across formulation, API and CDMO, can we expect a growth rate of in the range of, let's say, 15% to 20% kind of is it possible given the market conditions and the initiatives that we are taking?

Haribabu B.: Yes, 15% definitely quite possible. Still, we are working on the detailed strategy. Maybe, sometime soon, we are trying to hold an investor meeting with the detailed strategic plan, what

we are going to do, how we are going to do that. We are able to tell you that looking at our current business and what -- I have idea, I think 15% is possible.

Modera

tor: The next question is from the line of Shreya Wazir from BMSPL Capital.

Shreya Wazir : Sir, I want to understand how you see the company's journey from EBITDA of INR700 crores that we do today to INR1,000 crores and then to INR1,500 crores. So, in how many years can we achieve these EBITDA growth targets? And how does margin volatility due to raw material cost volatility in different geographies that we do business in different business segments we operate in impact our EBITDA growth targets?

Haribabu B.: So, I'll answer the second question first, market volatility on raw material. As you know, -- we do most of our business, API business, especially is the quality markets, developed markets or regulatory markets. The pricing was reasonable, a little bit sustai nable. We are able to pass it on here and there. But with my experience last 5, 10 years, these are the things sometimes it comes we have to manage time to time.

With our base, with our product pipeline, with our market access, I don't see any volatility in going forward these businesses, what we do API. Formulation, there are a few businesses like US business, post -COVID, there were 3, 4 years, it was bad time. La rge number of players came from India; it became highly commodity business. That's how we restructured our business, try to move to entire internal API and also move manufacturing, that's where we are able to manage that.

Few markets, other markets like Turkey, volatile hyperinflation, whatever it is. We see the good growth last one year, FY26 also, we see the good volume growth in addition to whatever adjusting inflation. So, all looking at our product pipeline, market access, all those things, I don't see much volatility or impacting margins or growth.

The first one, whatever you asked, INR700 crores versus going to INR1,000 crores and INR1,500 crores -- we indicated INR800 crores FY27 or FY28. Somebody says FY28, somebody says 'FY28 but 'FY27, my internal target was FY27. But we are able to achieve that run rate now. You have seen last 2, 3 quarters start from quarter two numbers.

That's where we started integrating two companies. So, a couple of things synergies and market access happened better than what we anticipated. So INR1,000 crores, we are targeting. So maybe next 2, 3 years, of course, next session when we come in June meeting. So mostly, we'll be able to indicate. But at this point, INR1,000 crores . But I'll confirm this. Don't take it -- maybe 29% or whatever it is.

Ramakant S: We already said that annual growth rate could be 15% from the annual -- easy guess on when we'll hit INR1,000 crores.

Haribabu B.: But anyway, we'll come up during that Investor meeting.

Moderator: The next question is from the line of Krisha Shah from Mangal Keshav.

Krisha Shah: So, post the merger, we have been bullish on API as a business. But if we see the numbers recently on a quarterly and year -on-year basis, growth has been around 7% to 8%, like a single - digit growth. So, is there any particular reason for this, like taking into consideration that our business may be lumpy? Or is it sustainable? Or do we look forward to double -digit growth in the API business?

Haribabu B.: Yes, 2 things. Synergies is not on API, first of all, to answer to. Second thing is API, why this growth is single digit for this year. As I explained earlier, we try to optimize low -hanging actual commodity business intermediate business. So, we are growing API business, which is a quality business like animal health business, it has gone fr om INR350-odd crores to INR400 crores API also APIs are growing double digit.

And intermediate actually, we purposefully reduced that sales. So that's the reason the quality of the business is growing. But going forward, you can see double -digit growth. Now we are seeing a large number of approvals coming this year

, next year on hum an health APIs. And we see animal health APIs step up this year. So, you can see comfortably double -digit growth next year, more or less same as formulation growth.

Krisha Shah: Sir, one more question that I have is that now that we are expanding, do we have any plans on hiring more R&D talent or investing in R&D expansion or taking forward the scientists?

Haribabu B.: We are. API R&D, we have a big team. We are together close to including analytical process altogether close to 250 scientists. So, it's a very strong team, which is enough for API. And [inaudible 59:43] formulation, we are expanding the team, as I explained, large expansion in animal health and formulation also, we have a reasonable good number of team, human health around 55, 60 scientists. That's good enough.

Only wherever it requires specialized talent, we are adding in human health formulation. But animal health formulation, we are expanding a lot. That's the focus area this year. R&D scientists, capex, everything we are adding on that. So, we are going to add at big thing, capex also and R&D resources for animal health, we are adding.

Krisha Shah: And just one last question on the bookkeeping side. So, if you could give some color on the depreciation going forward, like if we see this quarter, our depreciation expense was slightly on the higher side. So, if we are doing further capex in the future, do we see it increasing? Or yes, some color on the depreciation?

Haribabu B.: The two things in this depreciation this quarter or this year, okay? Every quarter, there's close to INR25 crores depreciation on goodwill amortization. That's going to be reduced next quarter onwards. So last year, it was INR100 crores on that. This year, it's going to be INR35 crores. Second half, it's going to be INR25 crores, INR50 crores plus second quarter, maybe INR10 crores, INR15 crores. That depreciation is going to come down around INR65 crores from existing base annually. And the new capex, whatever we are adding, I don't think it will increase substantially because it's -- I think it's the run rate is going to go same level. Whatever is the new capex, the existing depreciation. I don' t see much difference on that...

Ramakant S: Yes, that's right. As doctor mentioned, in the current numbers, if you look at the annual number, about INR100 crores is depreciation or amortization coming from amortization of intangibles.

That will go away. In the next year, it is going to be at about INR35 crores. And the depreciation, excluding this amortization, we believe that it will be similar to the current year.
Moderator: Ladies and gentlemen, in the interest of time, we will take that as the last question for today. I now hand the conference back to the management for closing comments. Thank you, and over to you, sir.
Haribabu B.: Thank you, guys. Thank you. First of all, let me say thank you so much for your continued support. I know you guys had a lot of patience last 4, 5 years. And it's hard to believe also when we said this company is going to go turnaround.
But fortunately, we have a fantastic team. We are working as one team, both companies. And things are going well. I'm very confident this company will have great potential in future. Thank you. Thank you so much for your support. And we are always available if somebody needs any clarification or anything. whatever we can do. The timing is sensitive, wherever it is, we can explain, explain. Thank you, everyone.
Moderator: Thank you, sir. Thank you, members of the management. On behalf of Viyash Scientific Limited, that concludes this conference. We thank you for joining us, and you may now disconnect your lines. Thank you.